PRISM · PREDICTIVE RESEARCH INTELLIGENCE & SYNTHESIS MACHINE

Alphabet (GOOGL) — Valuation, Forecast & Positioning

*A platform deep dive on the multiples, sum-of-the-parts and DCF framework, with a four-year critical-ratio panel benchmarked to the peer standard deviation; sections on **total addressable market**, **patents & IP** and **geopolitical & structural risk**; litigation and government-policy shifts; a Wall Street comparison; and annual and quarter-over-quarter financial-statement analysis.*

Ticker GOOGL (Class A, Nasdaq) · GOOG (Class C)

Sector Communication Services · Interactive media, cloud & AI **As of** 2026-10-15 · $349.22 (15 Oct close)

WACC 10.4% · ROIC 36% **Content hash** e883f1d6c16fe9c0 **Status** Reviewed draft · sign-off pending

Governance & guardrails. Research only, **not investment advice** (Ethics 3.30). Market and statement data via yfinance. KPIs, TAM, patents, policy/geopolitics, litigation and analyst content were collected from company filings, industry sources and press by research agents, with per-item sources in Appendix C, as of 2026-10-15; re-verify before use. Q3-26 results (28 Oct) are not yet reflected. Scenario probabilities are analyst judgement anchored on published estimates. Forecasts are scenario anchors on a near-random-walk series.

EXECUTIVE BRIEF

Alphabet's operations are accelerating: revenue +24% YoY in Q2-26, Google Cloud +82% at a 36% margin, and a $514bn Cloud backlog. The stock already reflects much of this. At $349.22 it trades on 22.9× FY27 EPS, in line with the mega-cap group (23.6×) but above the broader peer median (19.1×). It is also on 24× EBITDA and 80× trailing FCF, because capex (guided to ~$200bn for 2026) has cut TTM free cash flow to $53bn and turned Q2-26 FCF negative. Our six methods span $240–$359, with a central $278 (-20%) and $307 in 12 months. The mega-cap multiple ($359) and the sum of the parts ($337) support today's price. The DCF does not unless the WACC is ~8%. The Street ($431) is betting that the AI capex earns its return.

- **Valuation:** 22.9× forward P/E (peers 19.1×, mega-caps 23.6×), 24.1× EV/EBITDA (peers 17.3×), 9.3× EV/Sales and 80× P/FCF. On a reported basis trailing P/E is a misleading 17.5×, because TTM net income includes $149bn of gains on equity stakes; ex gains it is 33.7×. Our DCF (WACC 10.4%) gives $148 / $240 / $296 (bear/base/bull). The sum of the parts gives $337, with Google Services worth $3.4tn at Meta's multiple.
- **Ratios FY2022–FY2025 vs peer σ:** Alphabet is a balance-sheet and returns outlier rather than a margin outlier. Operating margin (26–32%) is only +0.3 to +0.8σ above an 11-company peer set that includes Microsoft and Adobe. Gross margin is below peers (−0.4 to −0.6σ) because of TAC and infrastructure costs. ROA is +1.3σ, interest coverage +3 to +13σ, debt/equity −0.9 to −1.6σ and the current ratio +1.4 to +2.4σ. The deteriorating ratios are cash: FCF margin went from in line (FY22) to −0.4 to −0.9σ (FY23–25), and FCF conversion fell to 55% (−0.7σ) as capex/revenue doubled to 23%. On valuation, P/E was below the peer mean every year (−0.3 to −1.25σ), but EV/EBITDA (+1.2σ) and P/FCF (+1.6σ) turned rich in FY25.
- **Quarter-over-quarter:** revenue $96.4bn (Q2-25) → $102.3bn → $113.8bn → $109.9bn → **$119.8bn** (Q2-26, +24% YoY). Cloud went from $13.6bn to $24.8bn, with its margin rising from 20.7% to 35.6%. Operating margin was 34.0% (36.1% in Q1). Capex rose every quarter, from $22.4bn to $44.9bn, and quarterly FCF went from $24.6bn (Q4-25) to −$5.9bn. Q3-26 results are scheduled for **28 Oct** (per Alphabet's 6 Oct announcement cited in our KPI research) (consensus revenue ~$127.6bn, EPS ~$3.01).
- **Total addressable market:** the global ad market is ~$1.34tn in 2026 (WARC), of which search is ~$296bn. Google advertising ($295bn in 2025) is ~25% of all ad spend, with ~90% of worldwide search queries. Cloud infrastructure is a $500bn TTM market growing ~40%, where Google's share rose from 12% to 15%. AI spending reaches ~$2tn in 2026 (Gartner). Robotaxis are a ~$415bn 2035 TAM (Goldman), with Waymo at >500k paid rides a week. AI chatbots are still under 2% of US desktop search events. The risk is lower monetisation per query, not lost query share.
- **Patents and IP:** Google LLC received 1,782 US grants in 2025 (IFI #14, −13%) after a 2024 peak of 2,054 (#10). That is second-tier by volume: Samsung had 7,054, IBM 2,193 and Apple 2,722. It is first-tier in AI: #1 in US AI grants in 2024 (1,121) and #2 in 2025, with the foundational Transformer patent family and the #2 quantum portfolio. The moat is trade secrets, TPU design, data and distribution, not patent count. Assertions against Google are a nuisance (largest open: Touchstream, $339m). The real IP tail is AI-training copyright.

- **Geopolitical and structural risk:** the US break-up threat has faded. Mehta kept Chrome and the default payments; Brinkema rejected an AdX sale on 2 Sep 2026. The EU still favours an ad tech divestiture and imposed €890m of DMA fines. Every TPU is made at TSMC in Taiwan (Polymarket: ~13% odds of an invasion by end-2027). Our four-scenario overlay cuts value by 3% on 12-month odds and 7% on 5-year odds.
- **Lawsuits:** costs are largely provisioned. Accrued fines and settlements were $17.4bn at 30 Jun 2026; the $5.2bn EU Android fine was paid in Jul 2026. High-impact items are the DOJ's D.C. Circuit cross-appeal on search (argument as early as Dec 2026) and the EU ad tech remedy. Medium items include more than $3.2bn of ad tech damages claims cleared for trial in the S.D.N.Y. MDL (before trebling), EU Shopping follow-on damages, Epic, the UK CMA and AI copyright.
- **Wall Street vs PRISM:** 57 of 62 analysts rate it Buy (StockAnalysis), with an average target of $431 (+23%) and Morningstar at $433. We agree on FY27 revenue (~$600–620bn) but not the multiple. The Street pays 28.2× FY27 EPS, a premium to the mega-caps, and implicitly a ~8% discount rate.
- **Financial-statement health (Addendum):** strong but changing shape. FY25 revenue was $402.8bn and operating income $129.0bn. FCF was flat at ~$73bn for three years as capex rose from $32bn to $91bn. Alphabet began borrowing in earnest in 2025 (debt ex-leases $10.9bn → $46.5bn) and in 2026 added equity: debt reached $98.2bn, ~$49.6bn of common and preferred stock was issued, and buybacks went to zero. Liquidity is excellent ($242bn of cash and marketable securities). The health question is capital intensity, not solvency.

Confidence: MODERATE

WORKING PAPER

1 · What is driving Alphabet

Alphabet has four engines. **Google Search & other** ($63.3bn in Q2-26, +17%) is still the profit pool. AI Overviews and AI Mode (AI Mode has >1bn monthly users) have so far added queries rather than cannibalising them; paid clicks +13% and CPC +3% in Q2-26. **YouTube** ($11.1bn ads, +13%) leads US TV viewing time at 14.2% (Nielsen, July 2026). **Subscriptions, platforms & devices** ($12.9bn) rides 350m paid subscriptions. **Google Cloud** is the inflection: revenue +82% to $24.8bn, operating margin 35.6% (from 9.4% in Q1-24), a $514bn backlog, and Gemini API usage

of ~22bn tokens per minute. TPUs are now sold to third parties. The cost is capital: 2026 capex guidance was raised to $195–205bn (from $91bn in 2025), with a 'significant increase' flagged for 2027. Depreciation is up ~42% YoY, and Q2-26 free cash flow was negative for the first time. **Other Bets** lose ~$9bn a year, but Waymo (>500k paid rides a week, $126bn valuation in Feb 2026) is becoming a real asset. Large stakes in Anthropic and SpaceX produced ~$136bn of gains in H1-26.

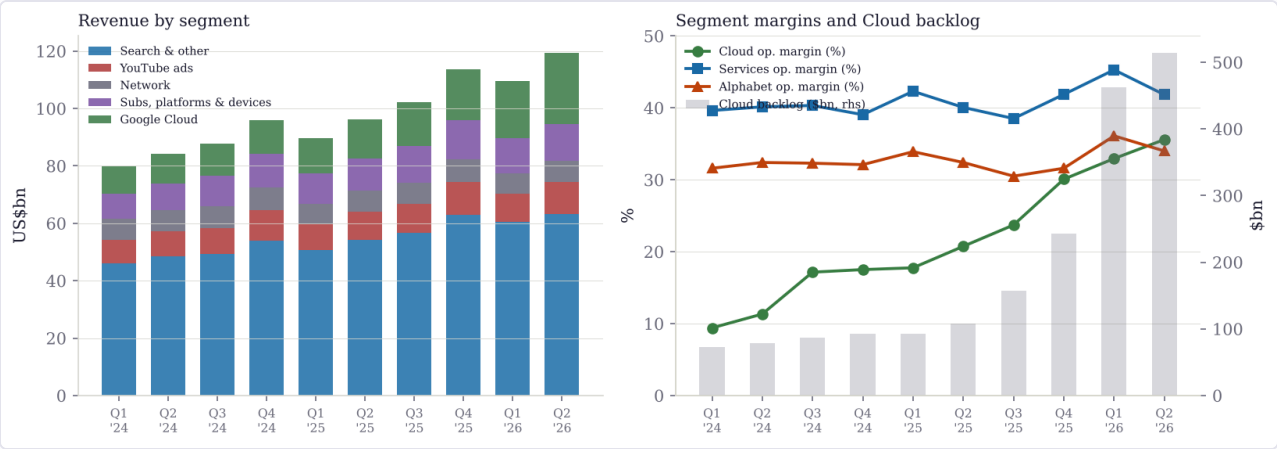


Fig. 1. The leading indicators: revenue by segment, segment margins and Cloud backlog, Q1-24 → Q2-26 (company releases).

2 · Where Alphabet trades vs. peers

The peer set is 11 companies in four lenses: **mega-cap platforms** (Microsoft, Amazon, Meta, Apple), **cloud & software** (Oracle, Salesforce, ServiceNow, Adobe), **ads & media** (Netflix, The Trade Desk) and **China internet** (Tencent; HK$ price converted to CNY). The software names were heavily de-rated in 2026 (Adobe, Salesforce and Oracle trade at 9–15× forward EPS), which pulls the full-peer median down. The mega-cap lens is the closest comparable. TTM runs to Q2-26 for Alphabet; trailing P/E excludes gains on equity securities.

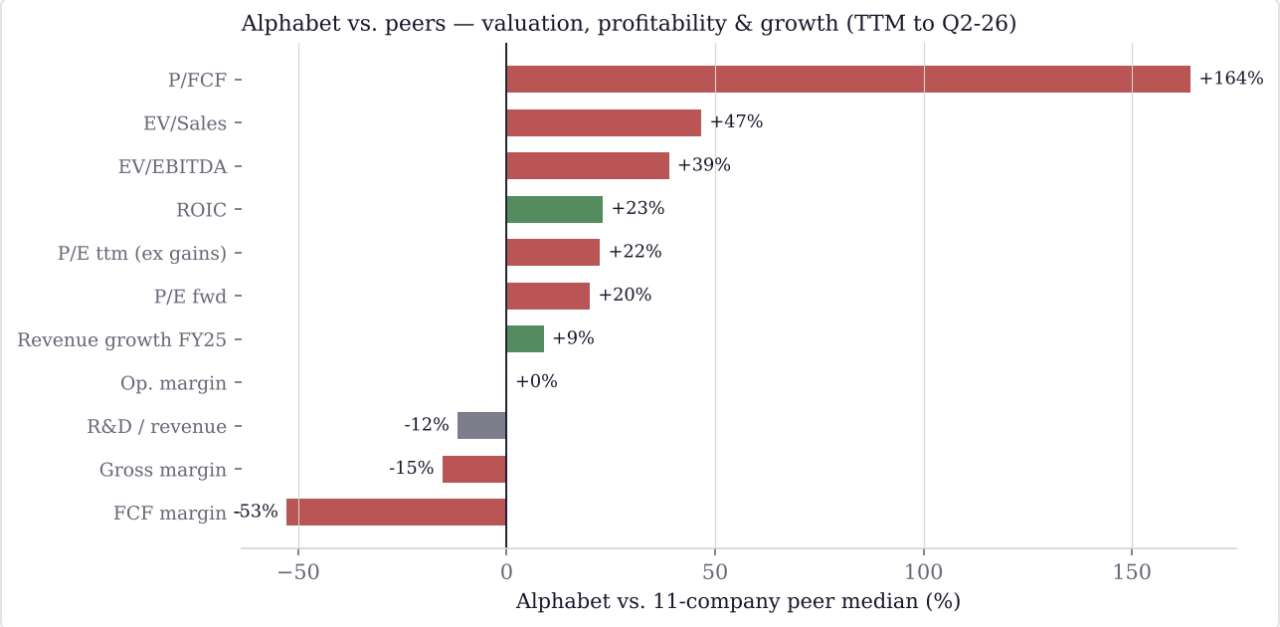


Fig. 2. Alphabet vs. the peer median. Red = richer multiple or weaker metric; green = cheaper or stronger; grey = descriptive.

Metric	Alphabet	Peer median	Read
P/E trailing, ex equity-security gains (TTM to Q2-26)	33.7	27.6	+22% richer
P/E forward (FY27 consensus)	22.9	19.1	+20% richer
EV/EBITDA (TTM)	24.1	17.3	+39% richer
EV/EBIT (TTM)	28.2	21.9	+29% richer
EV/Sales (TTM)	9.33	6.36	+47% richer
P/FCF (TTM)	80.2	30.4	+164% richer
Gross margin, FY25 %	59.7	70.5	-15% lower
Operating margin, TTM %	33.1	33.1	in line
FCF margin, TTM %	11.9	25.3	-53% lower
ROIC, FY25 %	35.8	29.1	+23% higher
Revenue growth, FY25 %	15.1	13.9	+9% higher
R&D / revenue, FY25 %	15.2	17.2	-12% (descriptive)
Dividend yield, TTM %	0.25	0.69	-64% lower

Net debt/EBITDA (negative = net cash)	-0.65	0.16	net cash vs peers in net debt

Table 1 — Alphabet vs. peer median (TTM; prices 15 Oct 2026).

Company	Lens	P/E fwd	EV/EBITDA	EV/Sales	P/FCF	Op. mgn %	ROIC %	ND/EBITDA	Div yld %
Alphabet ●	Subject	22.9	24.1	9.33	80.2	33.1	35.8	-0.65	0.25
Microsoft	Mega-cap platforms	22.7	20.1	12.01	59.8	46.8	37.2	-0.10	0.67
Amazon	Mega-cap platforms	24.4	19.3	3.91	356.0	11.2	nan	0.46	—
Meta Platforms	Mega-cap platforms	21.3	17.3	8.32	45.8	38.1	31.4	0.20	0.28
Apple	Mega-cap platforms	35.7	30.0	10.81	36.7	33.2	103.9	0.13	0.31
Oracle	Cloud & software	12.2	15.0	7.39	—	34.2	15.5	3.49	1.49
Salesforce	Cloud & software	15.4	17.4	5.31	13.4	21.5	11.2	2.27	0.70
ServiceNow	Cloud & software	29.7	57.2	10.68	33.6	11.4	18.5	1.38	—
Adobe	Cloud & software	9.1	10.1	3.91	9.5	35.7	59.3	0.11	—
Netflix	Ads & media	19.1	9.6	6.36	27.1	29.7	36.7	0.16	—
The Trade Desk	Ads & media	13.1	7.2	1.71	7.3	19.6	26.8	-1.47	—
Tencent	China internet	11.6	10.2	4.27	16.8	33.1	19.4	0.03	1.27

Table 2 — the comp set (● = Alphabet). P/E fwd = yfinance next-fiscal-year consensus. Lens forward-P/E medians: mega-cap 23.6×, cloud & software 13.8×, ads & media 16.1×, China 11.6×.

3 · Fair value — six methods

Method	Inputs	Implied	vs $349
Peer-median forward P/E × FY27 EPS	19.1× × $15.25	$291	-17%
Mega-cap platform forward P/E × FY27 EPS	23.6× (MSFT, AMZN, META, AAPL)	$359	+3%
Peer-median EV/EBITDA × TTM EBITDA	17.3× × $173bn, plus $243bn net cash & investments	$265	-24%

Peer-median EV/Sales × TTM revenue	6.36× × $446bn	$252	-28%
Sum of the parts	Services at Meta's EV/EBIT; Cloud at software EV/Sales; Waymo at last round	$337	-4%
DCF (FCFF, base case)	WACC 10.36%, g 3.5%, margin 33% → 35%	$240	-31%
PRISM central fair value (median of six)	**range $240–$359**	**$278**	**-20%**
12-month roll-forward (CoE less dividend yield)	+10.3%	$307	-12%
Policy/tail-weighted central (12m / 5y odds)	×0.973 / ×0.932	$270 / $259	-23% / -26%
Reference only: peer-median P/FCF × TTM FCF	30.4× × $53bn — excluded: FCF is at a capex peak	$132	-62%

Table 3 — implied GOOGL share price from each method (12.23bn shares; net cash and investments $243bn = $242bn cash & marketable securities + $131bn non-marketable investments − $113bn debt − $18bn preferred).

Why the methods disagree. The anchors that judge Alphabet as a mega-cap platform (mega-cap forward P/E $359, SOTP $337) bracket today's price. The anchors that compare it with a broader peer set dragged down by de-rated software (forward P/E $291, EV/EBITDA $265, EV/Sales $252) sit 15–30% below. So does our DCF ($240), because a 10.4% WACC punishes a decade of heavy reinvestment. We exclude P/FCF ($132) from the median, because TTM FCF is at a capex peak. The median of the six is $278: on our framework the price already assumes the AI build-out earns a market-beating return. ROIC explains none of the peer EV/EBITDA dispersion ($R^2 = 0.00$), so we use a sum of the parts instead of a ROIC regression.

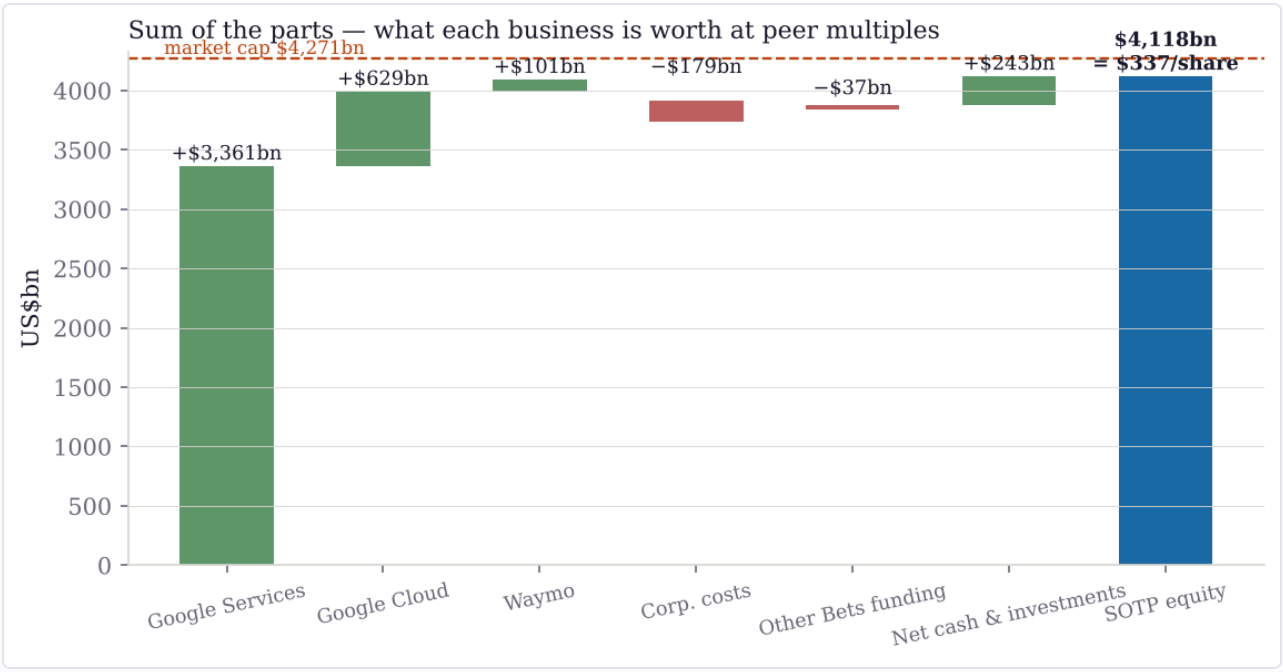


Fig. 3. Sum of the parts: Google Services at Meta's TTM EV/EBIT (21.9×) on $154bn of TTM segment operating income; Cloud at the cloud-and-software median EV/Sales (6.35×) on the Q2-26 run-rate ($99bn); Waymo at ~80% (assumed stake) of its $126bn Feb-2026 valuation; Alphabet-level unallocated costs ($-21.5bn TTM) capitalised at 10× after tax; an Other Bets funding allowance (TTM loss $8.9bn, 5× after tax, analyst judgement); plus net cash and investments.

Component	Value	Per share
Google Services (TTM segment EBIT × Meta EV/EBIT)	$3,361bn	$275
Google Cloud (Q2-26 run-rate revenue × cloud-software EV/Sales)	$629bn	$51
Waymo (~80% of $126bn Feb-2026 round)	$101bn	$8
Alphabet-level (unallocated) costs, capitalised at 10× after tax	$-179bn	$-15
Other Bets funding allowance (TTM Other Bets loss, 5× after tax; analyst judgement)	$-37bn	$-3
Net cash, marketable & non-marketable investments, less debt & preferred	$243bn	$20
SOTP equity value	**$4,118bn**	**$337**

Table 4 — sum-of-the-parts detail.

3a · DCF, sensitivity & reverse DCF

The DCF is an FCFF model: five years from an FY26E revenue base of $495bn (H1 actual, Q3 consensus $127.6bn, Q4 at +21% YoY), a 17% tax rate, and capex stepping down from 40% to 21% of revenue against D&A rising from 10% to 16% (the AI build-out depreciating). Working capital is 2% of incremental revenue, with mid-year discounting and a value-driver terminal value (g 3.5%, RONIC 25%). WACC is 10.36%: cost of equity 10.55% (normalised rf 4.5% + β 1.21 ×

5% ERP) and a 3% debt weight. Net cash and investments of $243bn are added. The terminal value is ~86% of EV, so the result is very sensitive to the discount rate.

Case	Revenue growth	Operating margin	2031 revenue	EV	TV share	Value/share	vs price
Bear	12%, 8%, 7%, 6%, 5%	30%, 29%, 29%, 28%, 28%	$713bn	$1,561bn	88%	**$148**	-58%
Base	22%, 16%, 13%, 11%, 9%	33%, 34%, 35%, 35%, 35%	$958bn	$2,696bn	86%	**$240**	-31%
Bull	25%, 20%, 16%, 14%, 12%	35%, 36%, 37%, 38%, 38%	$1100bn	$3,378bn	85%	**$296**	-15%

Table 5 — DCF scenarios (revenue growth and operating-margin paths 2027–31).

Margin ↓ / WACC →	7.50%	8.50%	9.50%	10.36% (base)	11.50%
30%	**$361**	$287	$238	$207	$177
33%	$396	$315	$261	$227	$194
35%	$420	**$334**	$276	$240	$205
38%	$455	**$362**	$299	$260	$222
40%	$479	$380	$315	$274	$233

Table 6 — base-case value per share by terminal operating margin (rows) and WACC (columns). Shaded cells are within ±8% of today's price. Rows fix the margin from 2029, so the 35% row ($240 at base WACC) is the base path. Reverse DCF: at base margins and WACC, today's price needs ~24% annual revenue growth for 2027–31; on base growth it needs a WACC of ~8.3%.

3b · Historical multiples vs. the industry (FY2022–FY2025)

Alphabet traded **below** the peer median on P/E, EV/EBITDA and EV/Sales at every fiscal year-end from FY22 to FY24, a discount usually attributed to antitrust and AI-disruption risk. In FY25 that reversed on EV/EBITDA (24.7× vs 17.2×) and EV/Sales (9.2× vs 8.3×), as the stock re-rated on Cloud and Gemini while software peers de-rated. P/E stayed below the median (28.6× vs 33.6×, about 15% lower), partly because FY25 EPS includes equity gains.

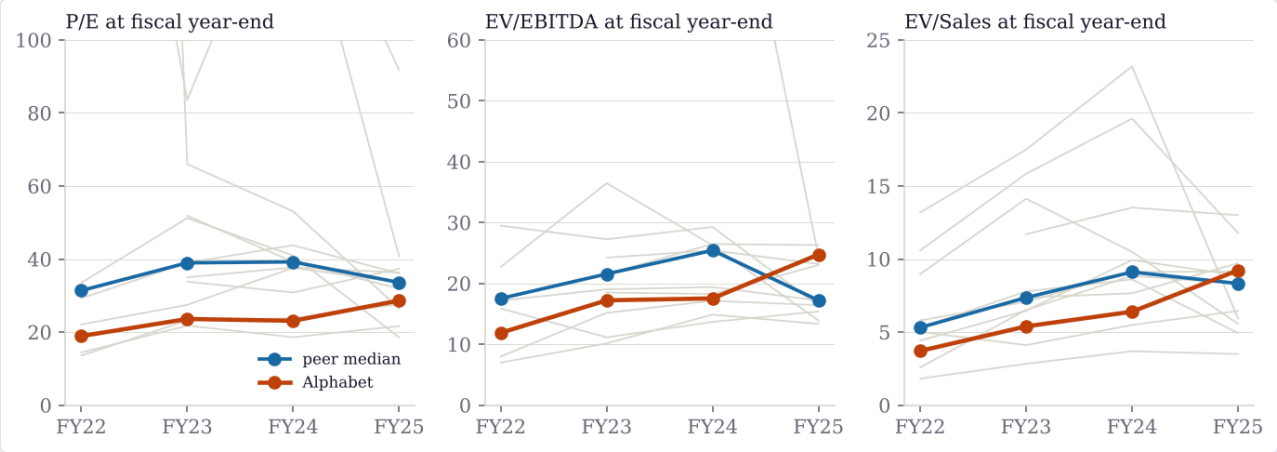


Fig. 4. Alphabet (orange) vs. peer median (blue) and each peer (grey), fiscal year-end multiples.

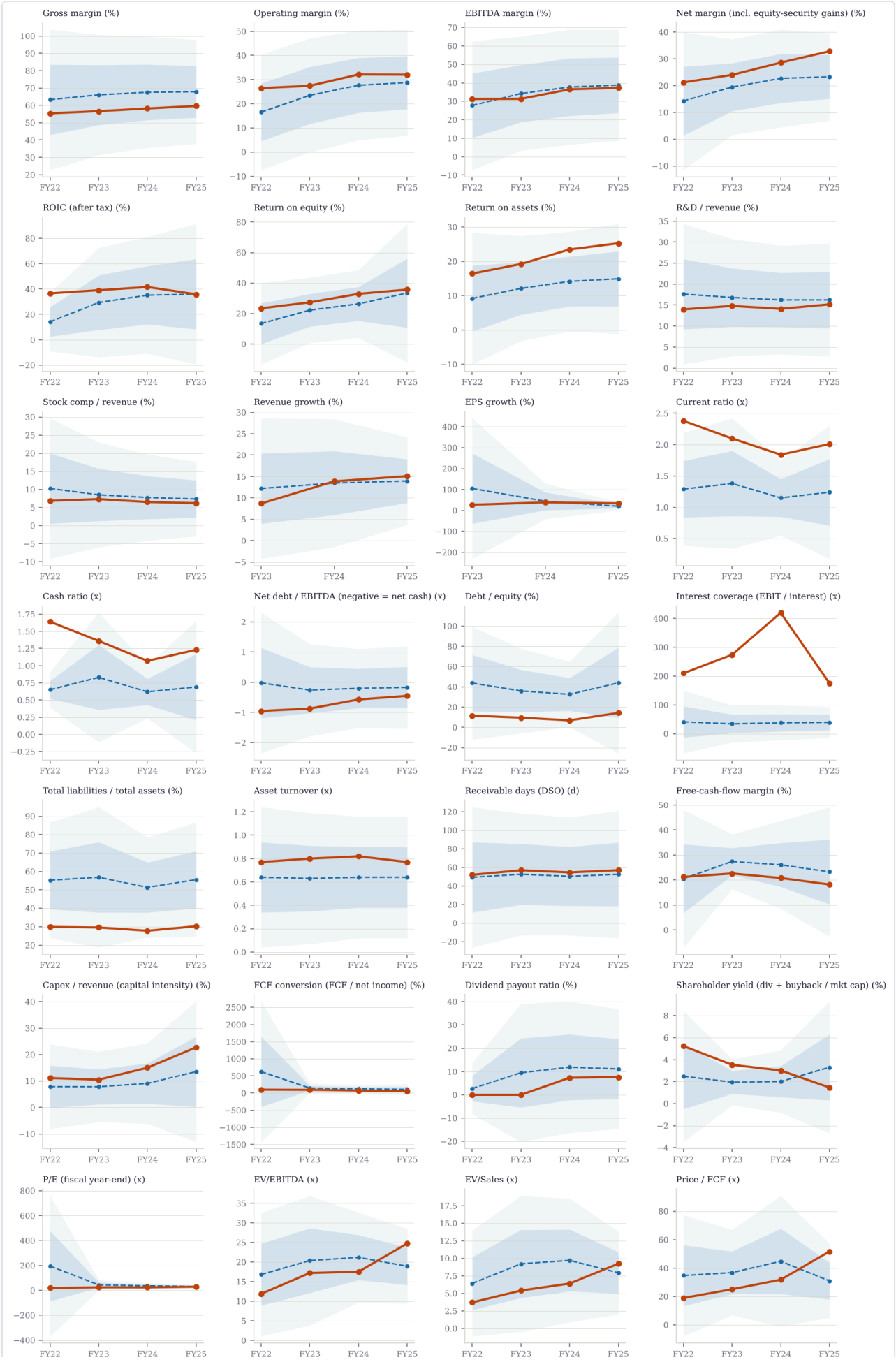
FY	GOOGL P/E	Peer P/E	GOOGL EV/EBITDA	Peer EV/EBITDA	GOOGL EV/Sales	Peer EV/Sales
FY22	18.9	31.4	11.9	17.5	3.7	5.3
FY23	23.6	39.0	17.2	21.6	5.4	7.4
FY24	23.1	39.2	17.5	25.4	6.4	9.1
FY25	28.6	33.6	24.7	17.2	9.2	8.3

Table 7 — Alphabet vs. peer-median multiples by fiscal year.

4 · Critical financial ratios: four-year trend vs. the peer standard deviation

NEW

We track **29 ratios** in eight families (profitability, innovation, growth, liquidity, leverage & solvency, efficiency, cash flow & shareholder returns, valuation) for Alphabet and all 11 peers, FY2022–FY2025. For each ratio and year we compute the peer mean and sample standard deviation (σ) and Alphabet's **z-score = (Alphabet − peer mean)/σ**. Peers more than 5 robust-σ (MAD-based) from the median are excluded before σ is computed, provided at least 7 peers remain. Peer fiscal years are mapped to the calendar year in which most of the year falls; Microsoft's June year is mapped to the calendar year in which it ends.


Gross margin (%)
Operating margin (%)
EBITDA margin (%)
Net margin (incl. equity-security gains) (%)
ROIC (after tax) (%)
Return on equity (%)
Return on assets (%)
R&D / revenue (%)
Stock comp / revenue (%)
Revenue growth (%)
EPS growth (%)
Current ratio (x)
Cash ratio (x)
Net debt / EBITDA (negative = net cash) (x)
Debt / equity (%)
Interest coverage (EBIT / interest) (x)
Total liabilities / total assets (%)
Asset turnover (x)
Receivable days (DSO) (d)
Free-cash-flow margin (%)
Capex / revenue (capital intensity) (%)
FCF conversion (FCF / net income) (%)
Dividend payout ratio (%)
Shareholder yield (div + buyback / mkt cap) (%)
P/E (fiscal year-end) (x)
EV/EBITDA (x)
EV/Sales (x)
Price / FCF (x)
FY22
FY23
FY24
FY25

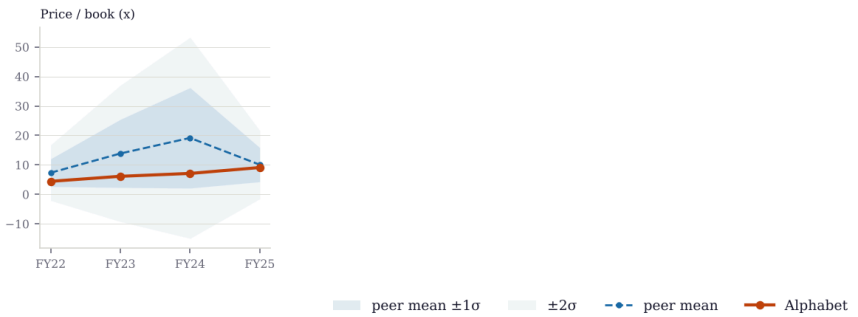
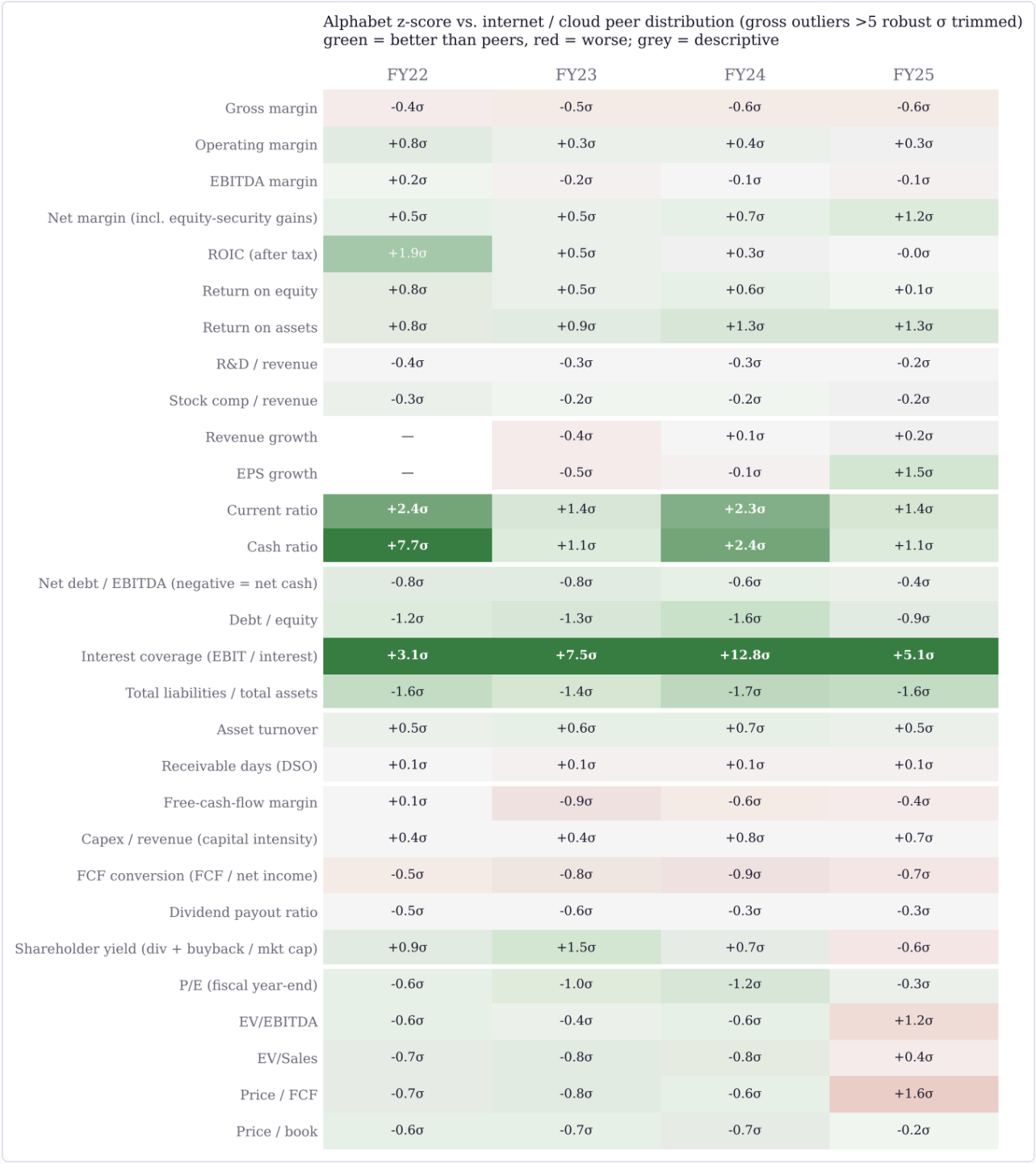


Fig. 5. Alphabet (orange) vs. peer mean (blue dashed) with ±1σ (dark) and ±2σ (light) bands, FY2022–FY2025.



	FY22	FY23	FY24	FY25
Gross margin	-0.4σ	-0.5σ	-0.6σ	-0.6σ
Operating margin	+0.8σ	+0.3σ	+0.4σ	+0.3σ
EBITDA margin	+0.2σ	-0.2σ	-0.1σ	-0.1σ
Net margin (incl. equity-security gains)	+0.5σ	+0.5σ	+0.7σ	+1.2σ
ROIC (after tax)	+1.9σ	+0.5σ	+0.3σ	-0.0σ
Return on equity	+0.8σ	+0.5σ	+0.6σ	+0.1σ
Return on assets	+0.8σ	+0.9σ	+1.3σ	+1.3σ
R&D / revenue	-0.4σ	-0.3σ	-0.3σ	-0.2σ
Stock comp / revenue	-0.3σ	-0.2σ	-0.2σ	-0.2σ
Revenue growth	—	-0.4σ	+0.1σ	+0.2σ
EPS growth	—	-0.5σ	-0.1σ	+1.5σ
Current ratio	**+2.4σ**	+1.4σ	**+2.3σ**	+1.4σ
Cash ratio	**+7.7σ**	+1.1σ	**+2.4σ**	+1.1σ
Net debt / EBITDA (negative = net cash)	-0.8σ	-0.8σ	-0.6σ	-0.4σ
Debt / equity	-1.2σ	-1.3σ	-1.6σ	-0.9σ
Interest coverage (EBIT / interest)	**+3.1σ**	**+7.5σ**	**+12.8σ**	**+5.1σ**
Total liabilities / total assets	-1.6σ	-1.4σ	-1.7σ	-1.6σ
Asset turnover	+0.5σ	+0.6σ	+0.7σ	+0.5σ
Receivable days (DSO)	+0.1σ	+0.1σ	+0.1σ	+0.1σ
Free-cash-flow margin	+0.1σ	-0.9σ	-0.6σ	-0.4σ
Capex / revenue (capital intensity)	+0.4σ	+0.4σ	+0.8σ	+0.7σ
FCF conversion (FCF / net income)	-0.5σ	-0.8σ	-0.9σ	-0.7σ
Dividend payout ratio	-0.5σ	-0.6σ	-0.3σ	-0.3σ
Shareholder yield (div + buyback / mkt cap)	+0.9σ	+1.5σ	+0.7σ	-0.6σ
P/E (fiscal year-end)	-0.6σ	-1.0σ	-1.2σ	-0.3σ
EV/EBITDA	-0.6σ	-0.4σ	-0.6σ	+1.2σ
EV/Sales	-0.7σ	-0.8σ	-0.8σ	+0.4σ
Price / FCF	-0.7σ	-0.8σ	-0.6σ	+1.6σ
Price / book	-0.6σ	-0.7σ	-0.7σ	-0.2σ

Fig. 6. Alphabet z-score heatmap, coloured so green always means better than peers.

What the four-year panel says.

- **Margins are good, not exceptional, against this peer set.** Operating margin (26–32%) is +0.3 to +0.8σ; EBITDA margin is in line (−0.2 to +0.2σ). Gross margin is below the mean (−0.4 to −0.6σ) because Alphabet pays TAC and runs its own infrastructure, where software peers run at 70–90%. Net margin reached +1.2σ in FY25 only because of equity gains.
- **Returns on assets lead; ROIC has converged.** ROA rose to +1.3σ (FY24–25). ROIC was +1.9σ in FY22 (36.6% vs 14.1%), but is in line in FY25 (35.8% vs 36.0%) as invested capital swelled with AI capex.
- **Growth is in line with peers** (revenue +8.7% / +13.9% / +15.1%, −0.4 to +0.2σ). EPS growth was +1.5σ in FY25, again flattered by gains.
- **Balance sheet is the standout.** Current ratio +1.4 to +2.4σ, debt/equity −0.9 to −1.6σ, liabilities/assets −1.4 to −1.7σ, interest coverage 175–419× (+3 to +13σ), net cash every year.
- **Cash is the deteriorating family.** FCF margin went from in line (FY22) to −0.4 to −0.9σ (FY23–25); FCF conversion fell from 100% to 55%; capex/revenue doubled from 11% to 23% (+0.4 to +0.8σ). Shareholder yield fell from +1.5σ (FY23) to −0.6σ (FY25), and buybacks stopped in 2026.
- **Innovation and dilution:** R&D/revenue (14–15%) is slightly below a software-heavy peer mean. Stock comp/revenue (6–7%) is below peers, a positive.
- **Valuation re-rated in FY25.** P/E below the peer mean every year (−0.3 to −1.25σ), EV/EBITDA from −0.4 to −0.6σ to **+1.2σ**, and P/FCF from −0.6 to −0.8σ to **+1.6σ**.

Ratio	FY22 GOOGL / peer μ±σ	z	FY23 GOOGL / peer μ±σ	z	FY24 GOOGL / peer μ±σ	z	FY25 GOOGL / peer μ±σ	z
Profitability								
Gross margin (%)	**55.4** 63.3±20.2	-0.4σ	**56.6** 66.0±17.3	-0.5σ	**58.2** 67.5±16.0	-0.6σ	**59.6** 67.8±14.9	-0.6σ
Operating margin (%)	**26.5** 16.5±11.9	+0.8σ	**27.4** 23.5±11.8	+0.3σ	**32.1** 27.6±11.3	+0.4σ	**32.0** 28.8±11.0	+0.3σ
EBITDA margin (%)	**31.2** 27.8±17.4	+0.2σ	**31.3** 34.2±15.4	-0.2σ	**36.5** 37.7±15.6	-0.1σ	**37.3** 38.8±15.0	-0.1σ
Net margin (incl. equity-security gains) (%)	**21.2** 14.3±12.8	+0.5σ	**24.0** 19.5±8.9	+0.5σ	**28.6** 22.7±9.1	+0.7σ	**32.8** 23.3±8.2	**+1.2σ**
ROIC (after tax) (%)	**36.6** 14.1±11.6	**+1.9σ**	**39.0** 29.3±21.5	+0.5σ	**41.6** 35.1±22.9	+0.3σ	**35.8** 36.0±27.6	-0.0σ
Return on equity (%)	**23.4** 13.4±13.3	+0.8σ	**27.4** 22.2±10.7	+0.5σ	**32.9** 26.4±11.1	+0.6σ	**35.7** 33.5±22.6	+0.1σ
Return on assets (%)	**16.4** 9.2±9.6	+0.8σ	**19.2** 12.1±7.7	+0.9σ	**23.5** 14.2±7.3	**+1.3σ**	**25.3** 14.9±8.0	**+1.3σ**
Innovation								

R&D / revenue (%)	**14.0** 17.6±8.3	-0.4σ	**14.8** 16.8±7.0	-0.3σ	**14.1** 16.2±6.5	-0.3σ	**15.2** 16.2±6.7	-0.2σ
Stock comp / revenue (%)	**6.8** 10.2±9.7	-0.3σ	**7.3** 8.5±7.2	-0.2σ	**6.5** 7.8±5.9	-0.2σ	**6.2** 7.3±5.1	-0.2σ
Growth								
Revenue growth (%)	—	—	**8.7** 12.2±8.2	-0.4σ	**13.9** 13.5±7.5	+0.1σ	**15.1** 13.9±5.1	+0.2σ
EPS growth (%)	—	—	**27.3** 105.1±167.4	-0.5σ	**38.7** 44.2±42.2	-0.1σ	**34.4** 20.3±9.6	**+1.5σ**
Liquidity								
Current ratio (x)	**2.38** 1.29±0.45	**+2.4σ**	**2.10** 1.38±0.52	**+1.4σ**	**1.84** 1.15±0.30	**+2.3σ**	**2.01** 1.24±0.53	**+1.4σ**
Cash ratio (x)	**1.64** 0.65±0.13	**+7.7σ**	**1.36** 0.83±0.47	**+1.1σ**	**1.07** 0.62±0.19	**+2.4σ**	**1.23** 0.69±0.48	**+1.1σ**
Leverage & solvency								
Net debt / EBITDA (negative = net cash) (x)	**-0.95** -0.02±1.16	-0.8σ	**-0.87** -0.26±0.76	-0.8σ	**-0.57** -0.20±0.65	-0.6σ	**-0.45** -0.17±0.68	-0.4σ
Debt / equity (%)	**11.6** 43.7±27.8	**-1.2σ**	**9.6** 36.0±20.8	**-1.3σ**	**6.9** 32.6±16.1	**-1.6σ**	**14.3** 43.9±34.6	-0.9σ
Interest coverage (EBIT / interest) (x)	**209.64** 41.34±54.06	**+3.1σ**	**273.68** 34.24±32.02	**+7.5σ**	**419.37** 37.97±29.79	**+12.8σ**	**175.32** 39.21±26.73	**+5.1σ**
Total liabilities / total assets (%)	**29.9** 55.2±15.7	**-1.6σ**	**29.6** 56.8±19.0	**-1.4σ**	**27.8** 51.3±13.6	**-1.7σ**	**30.2** 55.5±15.5	**-1.6σ**
Efficiency								
Asset turnover (x)	**0.77** 0.64±0.30	+0.5σ	**0.80** 0.63±0.28	+0.6σ	**0.82** 0.64±0.26	+0.7σ	**0.77** 0.64±0.26	+0.5σ
Receivable days (DSO) (d)	**52.0** 49.3±37.8	+0.1σ	**57.0** 52.5±32.7	+0.1σ	**54.6** 50.3±31.7	+0.1σ	**57.0** 52.5±34.2	+0.1σ
Cash flow & returns								
Free-cash-flow margin (%)	**21.2** 20.5±13.8	+0.1σ	**22.6** 27.4±5.4	-0.9σ	**20.8** 26.1±8.8	-0.6σ	**18.2** 23.3±12.9	-0.4σ
Capex / revenue (capital intensity) (%)	**11.1** 7.9±8.0	+0.4σ	**10.5** 7.8±6.6	+0.4σ	**15.0** 9.1±7.6	+0.8σ	**22.7** 13.5±13.3	+0.7σ
FCF conversion (FCF / net income) (%)	**100.1** 624.5±1022.5	-0.5σ	**94.2** 145.4±65.9	-0.8σ	**72.7** 123.5±56.4	-0.9σ	**55.4** 107.2±78.5	-0.7σ
Dividend payout ratio (%)	**-0.0** 2.7±5.5	-0.5σ	**-0.0** 9.5±14.8	-0.6σ	**7.3** 11.9±14.1	-0.3σ	**7.6** 11.1±12.8	-0.3σ
Shareholder yield (div + buyback / mkt cap) (%)	**5.2** 2.5±3.0	+0.9σ	**3.5** 1.9±1.0	**+1.5σ**	**3.0** 2.0±1.4	+0.7σ	**1.5** 3.3±3.0	-0.6σ
Valuation								
P/E (fiscal year-end) (x)	**18.90** 194.90±281.56	-0.6σ	**23.59** 43.28±19.91	-1.0σ	**23.09** 36.16±10.42	**-1.2σ**	**28.63** 31.02±7.24	-0.3σ

EV/EBITDA (x)	**11.88** 16.82±7.87	-0.6σ	**17.21** 20.38±8.25	-0.4σ	**17.53** 21.19±5.71	-0.6σ	**24.74** 18.94±4.76	+1.2σ
EV/Sales (x)	**3.71** 6.41±3.76	-0.7σ	**5.39** 9.21±4.84	-0.8σ	**6.40** 9.70±4.40	-0.8σ	**9.22** 7.93±2.95	+0.4σ
Price / FCF (x)	**18.89** 34.71±21.33	-0.7σ	**25.05** 36.79±14.95	-0.8σ	**31.77** 44.76±22.99	-0.6σ	**51.64** 30.99±12.95	+1.6σ
Price / book (x)	**4.43** 7.34±4.69	-0.6σ	**6.14** 13.88±11.54	-0.7σ	**7.11** 19.16±17.03	-0.7σ	**9.11** 10.06±5.77	-0.2σ

Table 8 — the full ratio panel. Each cell shows Alphabet (bold) above the peer mean ± σ, with the z-score alongside (green = favourable at $|z|\geq 1$, red = unfavourable).

5 · Total addressable market (TAM) NEW

Alphabet addresses four large markets. **Advertising**: ~$1.34tn worldwide in 2026 (WARC), with search ~$296bn, social ~$395bn, retail media ~$202bn and TV ~$176bn. **Cloud infrastructure**: $500bn TTM at Q2-26 (Synergy), growing at its fastest rate in eight years. **AI**: Gartner puts total AI spending at ~$2.0tn in 2026 and enterprise genAI spend reached $37bn in 2025 (Menlo). **Other Bets**: robotaxis ~$415bn by 2035 (Goldman Sachs) and quantum up to $72bn by 2035 (McKinsey). The in-app economy (iOS + Play) was $167bn in 2025.

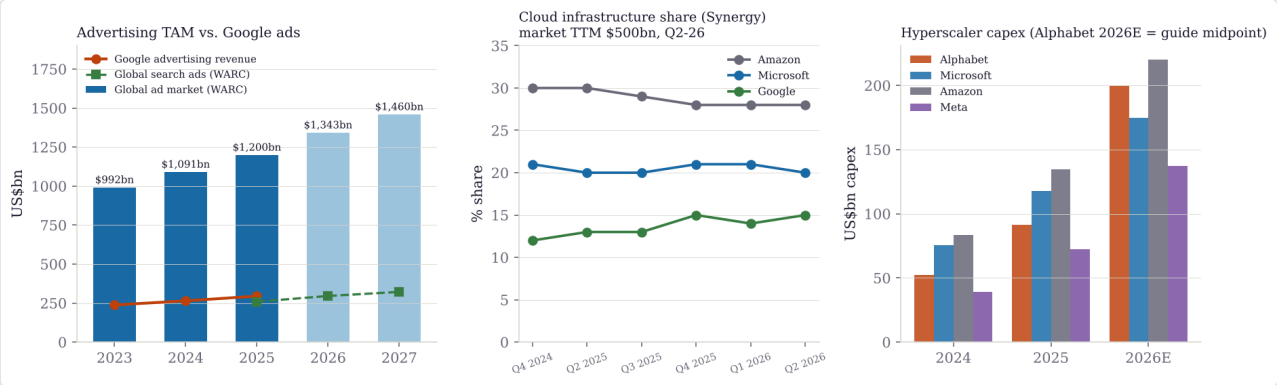


Fig. 7. Left: global ad market (WARC; 2026–27 forecast, lighter) with Google advertising revenue and global search ads. Centre: cloud infrastructure share (Synergy). Right: hyperscaler capex.

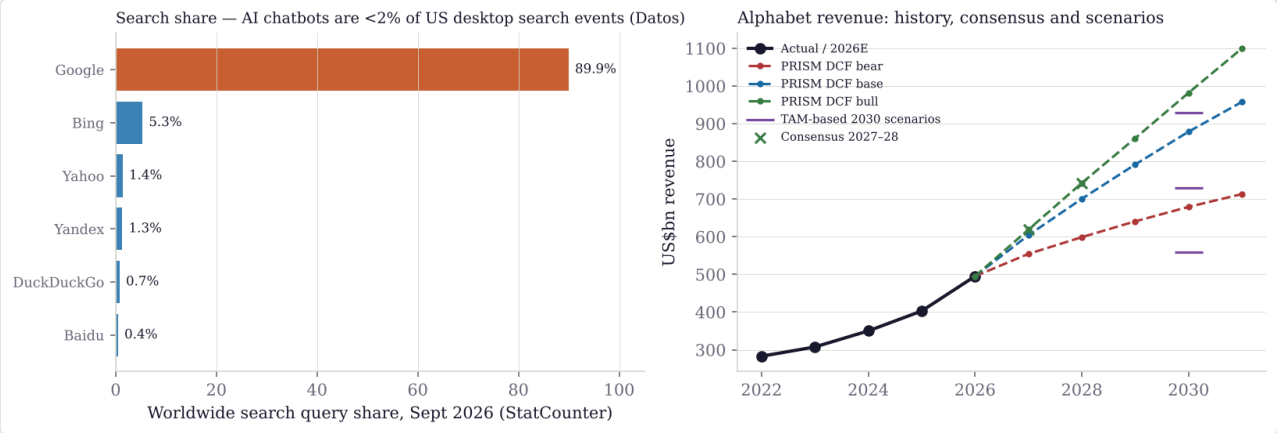


Fig. 8. Left: worldwide search query share, Sept 2026 (StatCounter). Right: Alphabet revenue history, consensus, PRISM DCF paths and TAM-based 2030 scenarios.

Market	Year	Size	Type	Source
Global advertising (total, all media)	2023	$992bn	derived	WARC Media Q3 2026 forecast (back-calculated from 2026 $1,343bn and st
Global advertising (total, all media)	2024	$1,091bn	derived	WARC Media Q3 2026 (back-calculated)
Global advertising (total, all media)	2025	$1,200bn	derived	WARC Media Q3 2026 (back-calculated; growth +10.0% stated)
Global advertising (total, all media)	2026	$1,343bn	forecast	WARC Media Global Ad Spend Forecast Q3 2026
Global advertising (total, all media)	2027	$1,460bn	forecast	WARC Media Q3 2026
Global advertising (total, all media)	2028	$1,570bn	forecast	WARC Media Q3 2026
Global advertising (total media) - EMARKETER	2026	$1,170bn	forecast	EMARKETER Worldwide Ad Spending H1 2026
Global search advertising (WARC; excl. retail media)	2025	$259bn	derived	WARC Q3 2026 (2026 $295.7bn / 1.142)
Global search advertising (WARC; excl. retail media)	2026	$296bn	forecast	WARC Q3 2026
Global search advertising (WARC; excl. retail media)	2027	$322bn	derived	WARC Q3 2026 (+8.8% 2027 growth stated; value derived)
Global generative-AI search advertising (WPP Media)	2026	$5bn	forecast	WPP Media Midyear 2026 (0.4% of global ad spend)
Global generative-AI search advertising (WPP Media)	2030	$100bn	forecast	WPP Media Midyear 2026 ('projected to exceed $100bn by 2030')
Global retail media (WARC)	2026	$202bn	forecast	WARC Q3 2026
Global social media advertising (WARC)	2026	$395bn	forecast	WARC Q3 2026
Global TV advertising (WARC)	2026	$176bn	forecast	WARC Q3 2026 (2027 -1.8%)

Cloud infrastructure services (IaaS+PaaS+hosted private cloud; Synergy)	2024	$330bn	actual	Synergy Research Group
Cloud infrastructure services (Synergy) - TTM to Q2 2026	2026	$500bn	actual	Synergy
Worldwide AI spending (Gartner, all categories)	2024	$988bn	actual	Gartner
Worldwide AI spending (Gartner, all categories)	2025	$1,479bn	forecast	Gartner
Worldwide AI spending (Gartner, all categories)	2026	$2,023bn	forecast	Gartner
Enterprise generative AI spend (Menlo Ventures)	2024	$12bn	actual	Menlo Ventures
Enterprise generative AI spend (Menlo Ventures)	2025	$37bn	actual	Menlo Ventures (3.2x YoY; apps $19bn, infra $18bn incl. model APIs $12
Global robotaxi market (Goldman Sachs)	2035	$415bn	forecast	Goldman Sachs Research (~6m vehicles; ~$150bn gross profit pool)
Quantum computing market (McKinsey)	2035	$72bn	forecast	McKinsey QTM 2025 (range $28-72bn; total quantum tech up to $97bn 2035

Table 9 — market sizes (US$bn). Sources in Appendix C.

Segment	TAM	Implied share
Google Search & other	Global search advertising: WARC ~$259bn 2025 / $295.7bn 2026 (excl. retail media); MAGNA keyword search $357bn 2025 incl. $140bn retailer search; WPP traditional+AI search >$270bn 2026	~87% of WARC search (gross vs net mismatch, overstated); ~63% of MAGNA keyword search incl. retail; 48.5% of US search ad spend (eMarketer 2026, incl. Amazon sponsored products); ~90% of worldwide search queries (StatCou
YouTube ads	Global short-form video ads $80bn (MAGNA 2025); long-form video $155bn incl. CTV $23bn (MAGNA 2025); WARC 2026 online video $55.2bn + VOD $48.4bn; TV $176.2bn. Serviceable: total video+TV ~$330-360bn	~50% of MAGNA short-form video; ~12% of total TV+online video; 14.2% of US TV-set viewing time (Nielsen Jul 2026) vs. a much smaller share of TV ad dollars (monetization gap = upside)
Google Network	Open-web display/programmatic (no clean global TAM gathered); part of MAGNA DPP $715bn	~4% of MAGNA digital pure-player ad revenue; structurally declining (impressions -7% in 2025)
Google advertising (total)	Global advertising ~$1.20tn 2025 / $1.343tn 2026 (WARC); digital ~$0.95-1.0tn 2026 (eMarketer)	~24.6% of all global ad spend 2025; ~41% of MAGNA digital pure-play; eMarketer has Meta ($243.5bn) overtaking Google ($239.5bn) in net digital ad revenue in 2026
Google subscriptions, platforms & devices	App IAP $167bn 2025 (Sensor Tower, iOS+Play; Play's cut is ~15-30% commission on its share); consumer subscriptions (YouTube Premium/Music 125m subs, YouTube TV, NFL Sunday Ticket,	Android 69.2% of mobile OS (StatCounter Sep 2026) but Google Play's share of app consumer spend is

	Google One 150m incl. Gemini AI plans); Pixel devices	far lower (iOS skews to spend); 350m total paid subscriptions (Q1 2026)
Google Cloud	Cloud infrastructure services $419bn 2025, $500bn TTM Q2 2026 (Synergy); Gartner AI spending $2.0tn 2026 (AI-optimized IaaS $37.5bn); enterprise genAI $37bn 2025 (Menlo). Google Cloud revenue also includes Workspace (SaaS) which is outside Synergy's IaaS/	15% of cloud infrastructure Q2 2026 (vs 12% Q4 2024); ~21% of enterprise LLM API spend 2025; backlog $514bn = >8× 2025 revenue
Other Bets (Waymo, Verily-deconsolidated, Wing, etc.)	Robotaxi: US $19bn 2030 / $48bn 2035; global ~$415bn 2035 (Goldman Sachs). Quantum computing: $28-72bn by 2035 (McKinsey), >$1bn revenue 2027 (Gartner)	Waymo is the clear Western robotaxi leader (>500k paid rides/week, 11 US cities Apr 2026) but revenue run-rate only ~$0.35bn (Sacra est.); Other Bets operating loss $7.5bn 2025
Alphabet total	n/a	n/a

Table 10 — segment-to-TAM mapping and implied shares (shares compare Google's gross revenue with forecasters' net figures, so they run high).

Metric	Value	Date
Google Cloud revenue backlog (RPO)	$514bn (Q2 2026), up >$50bn QoQ; $462bn Q1 2026; $242.8bn Dec 2025; just over 50% to be recognized within 24 months	2026-07-22
Google Cloud annual run-rate	>$70bn exiting 2025; Q2 2026 revenue $24.8bn (+82%), op margin 35.6%	2026-07-22
Gemini app MAU	750m (Q4 2025) → 950m (Q2 2026) → >1bn (announced 2026-08-11); DAU ~3x YoY. ChatGPT: >1bn weekly actives (Jul 2026)	2026-08-11
AI Mode in Search MAU	>1bn	2026-07-22
Gemini API tokens	~22bn tokens/minute (Q2 2026) vs 16bn (Q1) and 10bn (Q4 2025); ~90% of Fortune 100 use Gemini Enterprise	2026-07-22
Paid consumer subscriptions	325m (Q4 2025) → 350m (Q1 2026), led by YouTube and Google One	2026-04-29
YouTube Music & Premium subscribers	125m incl. trials	2025-03-05
Google One subscribers	150m	2025-05-15
NFL Sunday Ticket subscribers	~1.3m (2023 season, Antenna est.); no later official count found	2023-10-13
YouTube total revenue (ads + subscriptions)	>$60bn in 2025; Shorts >200bn daily views	2026-02-04
2026 capex guidance	$195-205bn (raised Jul 2026 from $180-190bn, originally $175-185bn)	2026-07-22
Waymo paid rides per week	>500k/week across 11 US cities (Q1 2026 call); 400k+ (Feb 2026); 450k (Dec 2025, Sacra); reported goal >1m rides/week by end-2026	2026-04-29

Waymo expansion	~20 new cities planned in 2026 incl. London and Tokyo; 15m rides in 2025, >20m cumulative (Feb 2026)	2026-02-03
Waymo valuation	$126bn post-money ($16bn round, Feb 2026), up from >$45bn (Oct 2024)	2026-02-03
Search & other growth	+17% YoY Q2 2026 ($63.3bn), +19% Q1 2026; paid clicks +6%, CPC +7% in 2025	2026-07-22

Table 11 — company-stated metrics and targets.

TAM read-through to valuation. Search query share is stable (~90%), and AI tools are under 2% of US desktop search events. But Google's share of US search *ad dollars* slipped below 50% as retail search grows. Cloud is the share gainer (12% → 15%). TAM-based 2030 revenue scenarios (analyst, not company): **bear** ~$560bn (6–7% CAGR; Search ~$250bn, Cloud prices fall on overbuilt capacity); **base** ~$730bn (~13%; Search ~$320bn, Cloud ~$230bn); **bull** ~$930bn (~18%; AI Mode monetises better, backlog converts, Waymo $15–25bn). Consensus already has $742bn for 2028, above the TAM base path, and our DCF base reaches $879bn in 2030. The price needs the bull case or a lower discount rate.

6 · Patents & intellectual property NEW

Alphabet's IP moat is real but not driven by patent counts. By volume Google is a second-tier US patentee. In quality and AI positioning it is first-tier. The durable moat is trade secrets plus scale: TPU and data-centre design, training recipes, data and distribution.

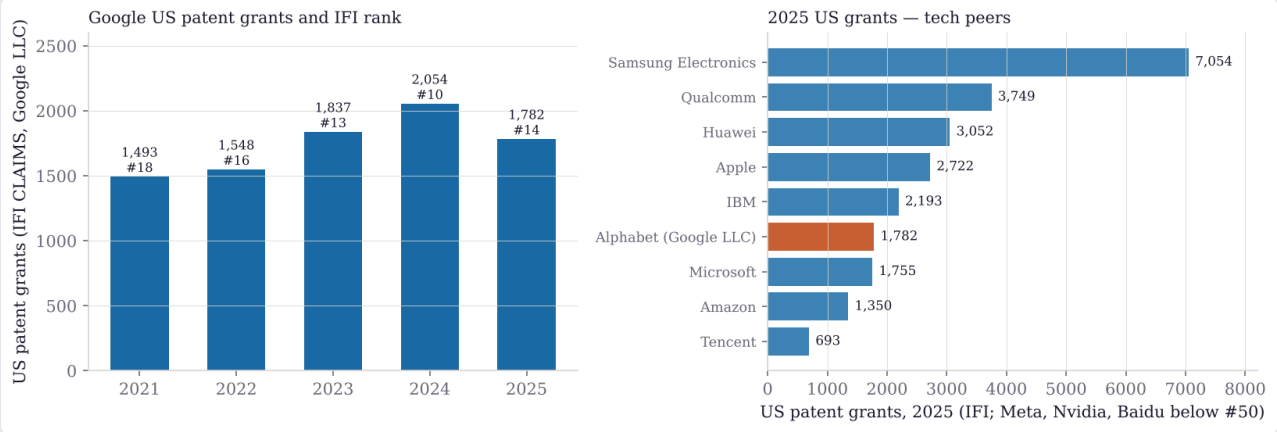


Fig. 9. Left: Google LLC US patent grants and IFI CLAIMS rank, 2021–2025. Right: 2025 US grants for tech peers (IFI Top 50).

Year	US grants	IFI rank	YoY	Notes
2021	1,493	#18	-18%	2020 comparator: 1,817 (#17). IBM (8,682) led. Google's PCT 2021 count was not retrieved.

2022	1,548	#16	+4%	Samsung took #1 (6,248) as IBM fell 49%. Google's PCT 2022 count was not retrieved.
2023	1,837	#13	+19%	PCT: 901 published applications by 'Google Inc.' in 2023 (WIPO).
2024	2,054	#10	+12%	Peak year and first IFI top-10 finish. PCT: 1,236 (#18). Harrity's 2025 AI Patent 100 ranks Alphabet #1 in US AI grants for 2024 (1,121).
2025	1,782	#14	-13%	Parent-level Alphabet: 2,249 US grants (#12, Harrity Patent 300). PCT: 1,020 (#23). IFI Global 250: Alphabet has 23,108 active families worldwide (#46, Sept 2026), down from 23,776 (#42, July 2025).

Table 12 — Google patent statistics (IFI CLAIMS, Google LLC entity). Parent-level Alphabet: 2,249 US grants in 2025 (Harrity #12). ~23,100 active patent families worldwide (IFI Global 250 #46, Sept 2026).

- **Peers (2025 US grants, IFI):** Samsung 7,054 (#1), Qualcomm 3,749, Huawei 3,052, Apple 2,722, IBM 2,193, **Google 1,782 (#14)**, Microsoft 1,755, Amazon 1,350, Tencent 693. Meta and Nvidia are below the top 50.
- **AI and quantum:** #1 in US AI grants in 2024 (1,121) and #2 in 2025 (1,057, Harrity). Owns the Transformer family (US 10,452,978 and continuations to ~2038). #2 quantum portfolio after IBM. WIPO's GenAI landscape ranks it #8 (443 families), which understates it because Chinese filers file mostly at home.
- **Posture:** defensive and open: the Open Patent Non-Assertion pledge, LOT Network, PAX, OIN, royalty-free codecs, Apache-licensed TensorFlow and open-weight Gemma. Google rarely asserts patents.

Area	Evidence
AI patents (US grants), absolute leadership	Harrity AI Patent 100: Alphabet was #1 in US AI patent grants in 2024 with 1,121 (+12%), ahead of Samsung (986) and IBM (912). It was #2 in 2025 with 1,057, behind Samsung (1,082) and ahead of IBM (840), Amazon (620), Microsoft (617) and Nvidia (374).
Generative AI (global patent families, 2014-2023)	WIPO GenAI Patent Landscape (July 2024): 54,000 GenAI families worldwide. Top applicants: Tencent 2,074, Ping An 1,564, Baidu 1,234, Chinese Academy of Sciences 607, IBM 601, Alibaba 571, Samsung 468, Alphabet 443 (#8), ByteDance 418, Microsoft 377.
Transformer architecture	US 10,452,978 B2, 'Attention-based sequence transduction neural networks' (Vaswani, Shazeer, Parmar, Uszkoreit, Jones, Gomez, Kaiser, Polosukhin). Priority 2017-05-23, granted 2019-10-22, assignee Google LLC, projected expiry 2038-05-23.
DeepMind patents and AI patent eligibility	DeepMind Technologies Ltd files under its own name, so it is excluded from IFI's 'Google LLC' count. Ex parte Desjardins (Appeal 2024-000567) concerned a DeepMind application (real party in interest: DeepMind Technologies Limited) on continual learning that avoids catastrophic forgetting.
Quantum computing	PatentVest (Aug 2025), 2015-2025: Alphabet is #2 worldwide in quantum computing publications (1,223 publications, 231 families) behind IBM (1,860 / 601), ahead of Origin Quantum, Microsoft and Baidu. GreyB counts 319 Google filings (95.6% under Google LLC) vs IBM 1,194, Baidu 460 and Origin Quantum 2,487 families.
AI accelerators / TPU (trade secrets plus	TPU and SmartNIC design and supercomputer orchestration software are protected mainly as trade secrets, as US v. Linwei Ding shows (1,255 documents, about 14,000 pages). TPU-

patents)	related patents were challenged in Singular Computing v. Google, which sought about $1.67B and settled in Jan 2024.

Table 13 — technology areas and evidence of IP depth.

Dispute	Status	Exposure	Significance
Sonos v. Google (smart speakers / 'zone scenes'), plus Google's counter-patents Patent infringement (both directions); ITC + district court	In May 2023 a jury found Google infringed the Sonos '885 zone-scene patent and awarded $32.5M ($2.30/unit). In Oct 2023 Judge Alsup vacated the verdict on prosecution laches. The Fed. Cir. reversed on 2025-08-28 (nonprecedential, No. 2024-1097) and reinstated the verdict. latest: 2026-06-09	Low: $32.5M plus interest and a possible ongoing royalty on legacy Google Home/Nest speakers.	Immaterial financially.
Singular Computing v. Google (TPU) Patent infringement	Settled on 2024-01-24, before closing arguments, on undisclosed terms. Singular had sought about $1.67B, claiming TPU v2/v3 used its low-precision arithmetic patents. latest: 2024-01-24	Closed;	Shows the size of claims against Google's custom AI silicon.
EcoFactor v. Google (Nest smart thermostats) Patent infringement; damages-expert admissibility	A 2022 jury awarded about $20M. On 2025-05-21 the en banc Fed. Cir. (8-2; Moore, C.J.; latest: 2025-05-21	Low (at most about $20M).	Positive for Google and other large defendants: it tightens judicial gatekeeping of plaintiff damages experts in every patent case.
Flypsi (Flyp) v. Google (Google Voice) Patent infringement + IPR	A Feb 2024 jury awarded $12M. The PTAB later invalidated all claims of the five patents, and on 2026-05-13 the Fed. Cir. affirmed (Rule 36), effectively mooting the verdict. latest: 2026-05-13	Effectively none.	Shows how Google uses IPR to unwind jury verdicts, a tool now being narrowed by USPTO discretionary-denial policy.
Touchstream v. Google (Chromecast) Patent infringement + IPR	A Jul 2023 jury awarded $338.7M. Google's IPR appeals failed: on 2025-10-14 the Fed. Cir. issued a Rule 36 affirmance of PTAB decisions in IPR2022-00793/794/795, which went against Google. The status of Google's appeal of the district judgment is unverified as of this writing. latest: 2025-10-14	Moderate in absolute terms (about $339M plus interest), immaterial for Alphabet.	The largest recent open patent verdict against Google, and a reminder of Western District of Texas jury risk for consumer hardware.
Personalized Media Communications v. Google (YouTube) Patent infringement	A unanimous jury verdict of non-infringement on PMC's four 'signal processing' patents (7,747,217; 7,769,344; 8,601,528; latest: 2020-12-01	None (closed).	Historical win.
Google LLC v. Oracle America (Java SE	Decided 2021-04-05, 6-2 (Breyer, J.): Google's copying of about 11,500 lines of Java API declaring code was fair use.	None (closed).	Removed a multibillion-dollar Android liability.

APIs in Android) Copyright	Oracle had sought about $8.8B. Closed. latest: 2021-04-05		
Waymo v. Uber (lidar trade secrets) Trade secrets	Settled in Feb 2018, during trial. Uber gave Waymo 0.34% of its equity (about $245M) and agreed not to use Waymo hardware or software technology. latest: 2018-02-09	None (closed;	Established Alphabet as an aggressive enforcer of autonomous-driving trade secrets.
Levandowski: arbitration and criminal case (U.S. v. Levandowski) Trade secrets (criminal) / contract arbitration	Arbitration award to Google of about $179M ($120M plus interest and fees), confirmed in Mar 2020, after which Levandowski filed Chapter 11. In 2020 he pleaded guilty to 1 of 33 counts and was sentenced on 2020-08-04 to 18 months. He was pardoned on 2021-01-20. latest: 2022-02	None (Alphabet was the claimant).	Historical.
U.S. v. Linwei Ding (AI supercomputer / TPU trade secrets) Trade secrets / economic espionage (criminal)	Indicted in Mar 2024. On 2026-01-29 a jury convicted him on all 14 counts (7 economic espionage, 7 trade-secret theft) for taking 1,255 documents (about 14,000 pages) on TPU, GPU and SmartNIC systems and orchestration software. On 2026-08-21 the judge vacated the 7 espionage counts for insufficient evidence of intent to benefit the PRC government; latest: 2026-09-01	None (Alphabet is the victim).	Confirms Google's AI-infrastructure know-how is a trade-secret moat, and shows how hard it is to protect against insider exfiltration and how weak the deterrent sentences are.
In re Google Generative AI Copyright Litigation (Zhang et al. v. Google) and related suits Copyright (AI training data)	Filed 2023-07-11; authors and artists allege Gemini, Imagen and other models were trained on their works. Class certification was argued around 2026-02-20, with discovery stayed pending the decision; latest: 2026-09-09	Uncertain but potentially large.	The main open IP risk to Gemini.
Penske Media v. Google and Chegg v. Google (AI Overviews use of publisher content) Antitrust (content/IP-adjacent)	Both dismissed on 2026-09-30 for failure to plead Sherman Act violations (coerced reciprocal dealing; tying of AI Overviews to Search). Whether the dismissal was with prejudice, and whether there will be appeals, is unverified. latest: 2026-09-30	Low after dismissal.	Removes, for now, an antitrust route to forcing payment for AI Overviews use of content.

Table 14 — IP disputes, current and precedent-setting. Sources in Appendix C.

IP assessment. Patent litigation risk is chronic but immaterial. Sonos ($32.5m, reinstated), Touchstream (~$339m, the largest open item), EcoFactor and Flypsi (largely neutralised) and Singular (settled) are rounding errors against $130bn+ of operating income. USPTO curbs on inter partes review and pro-eligibility AI guidance raise non-practising-entity leverage at the margin. The real IP tail risk is **copyright over AI training**: the consolidated N.D. Cal. class action (certification pending) and the new Hachette/Cengage suit could carry statutory damages in the billions. Anthropic's $1.5bn settlement is the benchmark; Oracle-era fair-use precedent and Google's licences are mitigants. Trade-secret theft is the other exposure: the Linwei Ding TPU case ended in a ~12-month sentence after the espionage counts were vacated, which shows limited deterrence.

7 · Geopolitical & structural risk NEW

For Alphabet, the 'geopolitical' risks are partly legal-structural (a forced break-up) and partly physical (Taiwan). **Break-up:** the US threat has faded. Mehta's remedies kept Chrome, Android and the Apple payments, and Brinkema rejected an AdX divestiture on 2 Sep 2026 in favour of six years of behavioural remedies. Legal experts surveyed by the Daily Journal call the DOJ's D.C. Circuit cross-appeal a long shot. The EU still prefers an ad tech divestiture. **Taiwan:** every TPU is made at TSMC, and Nvidia GPUs and most AI-server makers depend on Taiwan too. A disruption would freeze Cloud capacity growth and strand ~$200bn a year of capex plans. **US–EU trade:** Washington has threatened Section 301 tariffs over EU fines and 100% tariffs over digital services taxes, while the OECD side-by-side deal exempts US groups from parts of Pillar Two. **China:** Google is largely blocked, but Chinese advertisers (Temu, Shein) are an estimated 3–6% of ad revenue.

Item	Status	Likelihood	Magnitude	Direction
US-China: AI chip export controls (H200 licensing with 25% fee; Blackwell barred; draft global licensing rule) US-China & supply chain · latest 2026-05-15	A Commerce framework of 13 Jan 2026 permits Nvidia H200 sales to China with 25% of sales remitted to the US government. About 10 Chinese buyers were cleared, but as of May 2026 none had shipped because Beijing had not approved purchases.	High that controls stay.	Direct revenue exposure is about zero, since Google does not sell Cloud or TPUs in China. Analyst judgement: a global AI-accelerator licensing regime could slow external TPU sales and overseas Cloud capacity in some markets, a low single-digit % drag on Cloud growth in the worst...	Mixed
China market exposure: Chinese advertisers (Temu, Shein) and the end of US de minimis	Google's consumer services are blocked in China, but it sells ads to Chinese exporters. Estimates put that above $3B in 2018, up about 60% y/y	Already occurred for the US.	Not disclosed by Alphabet. Analyst judgement: China-based advertisers are about 3-6% of Google ad revenue,	Negative

US-China & supply chain · latest 2025-05-02	(The Information), and Temu was reported to be among Google's top-5 advertisers.		mostly booked in APAC ($19.3B/qtr, +17% y/y in Q2-26).	
China rare-earth export controls: one-year suspension of the Oct-2025 measures expires 10 Nov 2026 US-China & supply chain · latest 2026-04-27	After the Nov 2025 trade truce, China suspended its expanded October 2025 rare-earth controls, including the extraterritorial rules, for 12 months, to 10 Nov 2026. The April 2025 licensing of seven medium and heavy rare earths (Sm, Gd, Tb, Dy, Lu, Sc, Y) and permanent-magnet materials remains in fo...	Analyst judgement: about 60% extended, about 25% selectively reinstated, about 15% fully reimposed.	Analyst judgement: indirect and small for Alphabet. It affects magnets in HDDs, fans, power and cooling equipment, and devices, so it could add cost or delay to data-centre build-outs and Pixel.	Negative
TPU and accelerator supply concentration: every TPU is made at TSMC (Taiwan), plus CoWoS, HBM and ODM dependencies US-China & supply chain · latest 2026-06-12	TSMC manufactures every Google TPU: Ironwood/TPUv7 on N3P, with TPUv8 targeting N2 and tape-outs in 2026-27. CoWoS packaging is an allocation market, with TSMC targeting 140k wafers/month by end-2026.	Concentration is ongoing and certain.	Cloud revenue is $24.8B/qtr (+82%) and Cloud operating income $8.8B/qtr. The 2026 capex guide of $195-205B (guide raised Jul 2026) is mostly servers and accelerators.	Negative
Tariffs: Section 232 semiconductors (25% narrow AI-chip tariff with data-centre exemption) and Pixel sourcing shift US-China & supply chain · latest 2026-08-18	Proclamation 11002, effective 15 Jan 2026, imposes a 25% Section 232 tariff on a narrow annex of AI-critical chips, but exempts imports for US data centres, R&D, startups and other domestic uses. A broader semiconductor tariff with an offset for US investment was signalled.	The narrow tariff has occurred, and Alphabet's US data-centre imports are likely exempt.	Analyst judgement: if a broad 25% tariff applied to imported servers without offsets, roughly 25% of the imported content of $195-205B (guide raised Jul 2026) capex, it could add several $B a year to capex (depreciated over about 6 years). The current exemption limits this to ne...	Negative

Table 15 — US–China and supply-chain items. Likelihood and magnitude as assessed by the research agent from cited sources.

Published probability estimates.

- **(a) Structural break-up: forced divestiture of Chrome, Android-related assets and/or ad te:** Barclays (Ross Sandler): probability of a Chrome divestiture 'low but increased' — Low (qualitative); risk later realised as no divestiture in Sept 2025 remedies; Legal experts surveyed by Daily Journal on the DOJ's D.C. Circuit cross-appeal — 'Long shot' (qualitative, low); Judge Brinkema, US ad tech remedies (2 Sept 2026) — 0% in US ad tech at trial level: AdX/DFP divestiture rejected; European Commission preliminary view in ad tech decision (reiterated by Ribera) — 'Only divestment ... would address the situation'; a structural remedy 'seems to be needed' (qualitative, elevated)
- **(b) Taiwan disruption (blockade, quarantine or conflict) cutting off TSMC-made TPU/GPU, Co:** Polymarket, 'Will China invade Taiwan by December 31, 2027?' (via Orrery, 29 Jul — 13%; Polymarket same contract (via

SimpleFunctions, 9 Jul 2026) — 14%; SimpleFunctions aggregate, 'China x Taiwan military clash before 2027' — 9%; Eurasia Group Top Risks 2026 — US-China conflict called a 'red herring' for 2026 (qualitative, low near-term)

- **(c) Global AI-regulation and tax tightening: EU AI Act/DMA enforcement escalates, new DSTs:** Senate vote stripping the 10-year state-AI-law moratorium (99-1), indicating lim — Federal preemption failed in 2025 (qualitative signal that state AI rules persist); European Commission (Ribera): 'Brussels will not compromise its regulatory frame — Qualitative: continued DMA enforcement (high); Eurasia Group Top Risks 2026, #8 'AI eats its users' — Ranked top-10 global risk (qualitative): backlash against extractive AI business models; Sen. Warren et al. letters probing Big Tech AI tax breaks (28 Sept 2026) — Qualitative: rising political scrutiny of OBBBA expensing

Scenario	P (12m)	P (5y)	Value hit	US$/share
Status quo (behavioural remedies, gradual AI-search transition)	82%	60%	+0%	$278
Structural break-up / default-payment ban (Chrome, Android or ad tech)	4%	12%	-20%	$222
Taiwan disruption halts TPU/GPU supply for 3+ months	3%	8%	-35%	$181
Multi-front AI-regulation & tax tightening	11%	20%	-8%	$256
Probability-weighted value	**12m ×0.973 · 5y ×0.932**		**—**	**$270 / $259**

Table 16 — PRISM scenario overlay on the central value ($278). Probabilities are analyst judgement. The Taiwan scenario is a 3+-month halt of TSMC exports, not any invasion: Polymarket prices ~13% for an invasion by end-2027, while the research agent puts a halt serious enough to strand TPU supply at 5–8% by end-2028, so we use 3% (12m) and 8% (5y). Break-up odds follow legal-expert views (a long shot in the US, 20–30% for an EU ad tech divestiture, which carries a small value hit). Value hits are analyst judgement: break-up/default-payment ban −20% (Barclays: 15–25% downside); Taiwan TPU disruption −35% (EPS −30–50%, partly offset by industry-wide impact); AI-regulation and tax tightening −8%.

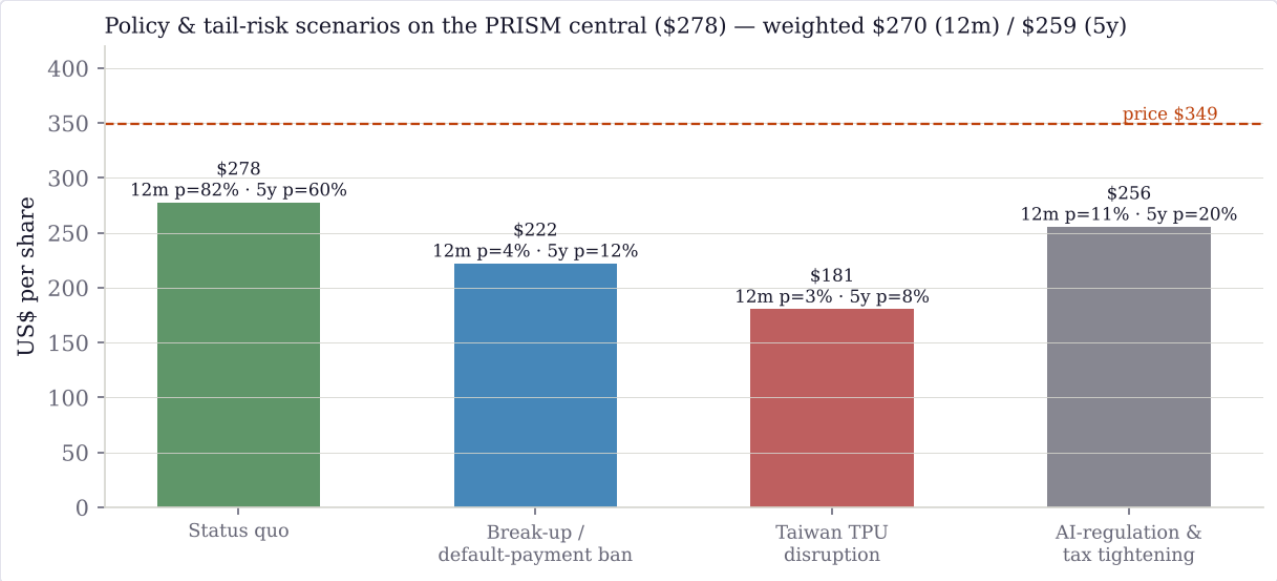


Fig. 10. Scenario values per share and probability-weighted outcomes vs. the share price.

How much tail risk is in the price? Little. At 22.9× forward earnings Alphabet trades in line with the mega-cap group, so there is no explicit discount for the search appeal or Taiwan. Our overlay takes 3% off on 12-month odds and 7% off on 5-year odds. That is modest because the most likely adverse outcomes (EU conduct remedies, DST levies) cost single-digit percentages, while the severe ones (a default-payment ban, a Taiwan blockade) are low-probability. Unlike TSMC, Alphabet's Taiwan exposure is shared with every AI competitor, so relative position would hold even if absolute value fell.

8 · Headwinds

Capex payback: ~$200bn in 2026 and more in 2027. Each extra $10bn of capex adds ~$2bn of annual depreciation, and the operating margin held at 34% only because revenue grew 24%. **AI-search monetisation:** AI Overviews reduce click-through to publishers and possibly ad load. Retail media (Amazon) has taken Google's share of US search ad spend below 50% (eMarketer). **Regulation:** EU DMA fines and the AI-assistant opening order, UK CMA conduct rules, Japan's MSCA and the DOJ cross-appeal. **Capital return reversal:** buybacks went from $62bn (2024) to zero in 2026, and Alphabet is now an equity issuer ($40bn at-the-market programme). **Supply chain:** TPUs depend on TSMC (Taiwan), plus power availability for data centres. **Earnings quality:** GAAP EPS in 2026 is dominated by mark-to-market gains on private stakes, which can reverse.

9 · Ongoing lawsuits & legal contingencies NEW

Alphabet's Q2-26 10-Q (Note 10) records liabilities where a loss is probable and estimable. It discloses no aggregate reasonably-possible-loss range, and for the US ad tech cases and the EU DMA it 'cannot estimate a possible loss'. **Accrued fines and settlements were $15.6bn at end-2025 and $17.4bn at 30 Jun 2026**, mainly EC fines. That includes the €2.95bn ad tech fine and $2.1bn for PriceRunner in Q2-26. The $5.2bn Android fine was paid in July 2026, and a ~€890m DMA charge is expected in Q3-26. Legal risk has shifted from break-ups to conduct remedies and damages. The US search judgment bans exclusive defaults and mandates data sharing, but payments continue. The ad tech liability finding fuels damages claims: more than $3.2bn (before trebling) is cleared for trial in the S.D.N.Y. MDL, alongside the Texas-led AG case and EU publisher claims.

Matter / forum	Status	Exposure & provision	Impact
US v. Google (Search) - DOJ and states, D.D.C. (Judge Mehta) US (D.D.C. / D.C. Circuit)	Liability ruling Aug 5 2024; remedies opinion Sep 2 2025; six-year final judgment entered Dec 5 2025 (bars exclusive default contracts for Search,	No monetary penalty. Provision: None	High

	Chrome, Gemini/AI apps; latest: 2026-10-05	(Alphabet: no estimate of loss;	
EU Commission Ad Tech decision (AT.40670) - €2.95bn fine and remedies EU (European Commission / General Court)	Decision Sep 5 2025: abuse through self-preferencing of AdX across buy-side (Google Ads, DV360) and sell-side (DFP). €2.95bn fine and cease-and-desist. Google proposed behavioral remedies Nov 13-14 2025 (publisher-set per-bidder floors, interoperability, 3-year trustee). latest: 2026-01-14	Fine €2.95bn (~$3.5bn) already expensed. Provision: $3.5bn charge recognized Q3 2025.	High
US v. Google (Ad Tech) - DOJ and 17 states, E.D. Va. (Judge Brinkema) US (E.D. Va. / 4th Circuit)	Liability Apr 17 2025: Google unlawfully monopolized the publisher ad server and ad exchange markets and unlawfully tied DFP to AdX. Advertiser-side market and the DoubleClick/AdMeld acquisition claims rejected. Remedies trial Sep 2025, closing arguments Nov 21 2025. latest: 2026-10-02	No fine. Provision: None (Alphabet: 'cannot estimate a possible loss').	Medium
Texas et al. v. Google (Ad Tech) - state AG coalition, E.D. Tex. (Judge Jordan), No. 4:20-cv-00957 US (E.D. Tex.)	Filed Dec 2020 by a Texas-led coalition (about 16-17 states and territories) under federal antitrust law and state deceptive trade practices laws (DTPA). Jury trial was set for Mar 2025, then Aug 11 2025, then postponed in Jul 2025 until after the E.D. Va. remedies decision. That decision issued Sep 2 2026, so a trial is now expected, but I could not verify a new trial date. latest: 2026-09-02	States seek monetary relief, including civil penalties under state DTPA statutes, plus injunctive relief. Provision: None (Alphabet: cannot estimate a possible loss).	Medium
Private ad tech damages suits (In re Google Digital Advertising Antitrust Litig., S.D.N.Y. MDL, Judge Castel; Teads; EU follow-on claims) US (S.D.N.Y.); France; Netherlands; other EU	S.D.N.Y. MDL: on Sep 30 2026 Judge Castel let AdX-related publisher claims go to jury trial and rejected Google's challenge to the damages models. USA Today Co. (formerly Gannett) seeks ~$0.9-1.0bn, Daily Mail ~$0.6bn and a ~5,000-publisher class ~$1.7bn, a total of >$3.2bn BEFORE trebling. Some claims were dismissed. latest: 2026-09-30	>$3.2bn claimed by the three main S.D.N.Y. plaintiff groups before trebling (up to ~$9.6bn if trebled). Provision: None disclosed specifically.	Medium
EU Digital Markets Act non-compliance decisions (Search self-preferencing; Google Play anti-steering) EU (European Commission / General Court)	Proceedings opened Mar 25 2024; preliminary findings Mar 2025. On Jul 23 2026 the EC adopted two non-compliance decisions with total fines of €890m: €460m for Search self-preferencing (shopping, hotels, transport, sports) and €430m for Play	€890m fine (~$1.0bn). Provision: Not in the Q2 2026 10-Q, because the decision came after the quarter.	Medium

	anti-steering and fee levels. latest: 2026-10-08		
EU Google Shopping decision (2017; CJEU affirmed Sep 2024) and follow-on damages (PriceRunner/Klarna, Idealo, Producto, 7Pixel) EU (Sweden, Germany, Italy, other member states)	Court of Justice upheld the €2.42bn Shopping fine on Sep 10 2024; Google paid $3.0bn in 2024. Follow-on damages: the Stockholm Patent and Market Court awarded PriceRunner ~$2.1bn in principal plus interest and costs (July 2026; latest: 2026-07-22	Accrued: PriceRunner ~$2.1bn. Provision: $2.1bn accrued Q2 2026 for PriceRunner ($1.5bn principal in G&A, Google Services segment;	Medium
EU AI content antitrust investigation (use of publisher and YouTube content for AI Overviews/AI Mode/Gemini) EU (European Commission)	Formal Art. 102 investigation opened Dec 9 2025 into whether Google uses publishers' web content and YouTube creators' content for AI on unfair terms and disadvantages rival AI developers. No Statement of Objections verified as of Oct 2026. latest: 2025-12-09	Possible fine up to 10% of global turnover (theoretical maximum) and conduct remedies on AI Overviews, AI training and opt-outs. Provision: None.	Medium
Epic Games v. Google (Google Play) - injunction US (N.D. Cal., Judge Donato / 9th Cir. / SCOTUS)	Jury verdict Dec 2023. Injunction Oct 2024 (3 years): allow third-party app stores in Play and access to the Play catalog, no exclusivity deals or Play Billing mandate, and allow links and alternative payments. 9th Cir. affirmed Jul 31 2025. latest: 2026-07-16	No damages (Epic sought none). Provision: None.	Medium
UK Competition Appeal Tribunal collective actions (Coll - Play Store consumers; Rodger - developers; Stopford - search advertising) UK (CAT)	Coll v Alphabet (Play Store commissions, ~20m UK users, >£1bn claimed): 7-week trial opened Oct 6 2026. Rodger (UK developers): £260m settlement (£160m to developers), with an approval hearing Sep 15 2026; reportedly approved Sep 2026. latest: 2026-10-06	Coll >£1bn. Provision: £260m Rodger settlement presumably accrued (UNVERIFIED).	Medium
UK CMA - Strategic Market Status (DMCC Act): general search and search advertising; mobile platforms; ad tech Statement of Objections UK (CMA)	Google designated with SMS in general search and search advertising in Oct 2025. Proposed conduct requirements Jan 28 2026: publisher controls over AI use, fair ranking (including AI Overviews/AI Mode), choice screens on Android and Chrome, data portability. The first conduct requirement was imposed Jun 3 2026: publisher opt-out from AI features and fine-tuning, plus attribution in AI results, with a 9-month impleme... latest: 2026-06-03	Conduct requirements, not fines. Provision: None.	Medium

Canada - Competition Bureau v. Google (ad tech), Competition Tribunal Canada (Competition Tribunal)	Application filed Nov 28 2024 seeking divestiture of DFP and AdX and an administrative monetary penalty (up to 3x benefit or 3% of worldwide revenue under the amended Act). The Tribunal dismissed Google's constitutional challenge to AMPs on Mar 4 2026. The case continues, and no hearing date was verified. latest: 2026-03-04	Divestiture of Canadian-relevant ad tech, plus an AMP that could in theory be large (3% of global revenue) but is untested. Provision: None.	Medium
AI copyright suits - In re Google Generative AI Copyright Litigation (authors, artists) and Hachette/Cengage/Elsevier/Turow class action over Gemini training US (N.D. Cal., Judge Eumi Lee; other US courts)	Consolidated authors' and visual artists' class action (Imagen, Gemini/Bard training). Class certification motion filed Oct 2025, with a hearing ~Feb 20 2026. Ruling on class certification UNVERIFIED. latest: 2026-07-13	Statutory damages of up to $150k per work for willful infringement mean theoretical exposure is very large. Provision: None disclosed.	Medium
EU Android decision (AT.40099) - €4.1bn fine EU (Court of Justice)	EC decision Jul 2018 (€4.34bn). General Court reduced the fine to €4.125bn in Sep 2022. The Court of Justice dismissed Google's appeal in July 2026 (reported Jul 2 2026), making the decision final. latest: 2026-07-02	Resolved. Provision: Originally $5.1bn charge (2018), reduced by $217m (2022).	Low
EU AdSense for Search decision (€1.49bn) - EC appeal of annulment EU (Court of Justice)	EC decision Mar 2019. General Court annulled the decision and fine in Sep 2024. EC appeal to the Court of Justice is pending. latest: 2024-09-18	€1.49bn fine at stake; Provision: $1.7bn charge recognized in 2019.	Low
Android Auto / Enel X interoperability (Italy AGCM; CJEU preliminary ruling) EU / Italy	Italian AGCM fined Google ~€102m (2021) for refusing to make Enel X's JuicePass interoperable with Android Auto. On Feb 25 2025 the CJEU (C-233/23) ruled that a dominant platform must grant interoperability even where the platform is not 'indispensable', subject to limited justifications. The case returned to the Italian Council of State. latest: 2025-02-25	~€102m fine (amount from public reporting; Provision: Not separately disclosed.	Low
Google Play state AG and consumer settlement ($700m) and US developer class US (N.D. Cal.)	$700m settlement ($630m to consumers, $70m to states) with 50 states, DC, PR and USVI, reached 2023. Funded to escrow May 2024. Preliminary approval Nov 2025. latest: 2026-08-19	Resolved. Provision: Charge recognized in 2023;	Low

Japan - JFTC cease-and-desist (search distribution) and Mobile Software Competition Act Japan (JFTC)	Apr 2025 JFTC cease-and-desist order on Android search distribution agreements (pre-installation/default deals), with no monetary penalty. The Mobile Software Competition Act (designations of Google and Apple) took full effect Dec 2025. The JFTC has published compliance reports, including a second report (MLex, ~Oct 2026). latest: 2025-12-18	No fine to date. Provision: None.	Low
India - CCI Android (₹1,337.76 crore) and Play Store billing (₹936.44 crore reduced to ~₹217 crore) cases; other CCI probes India (CCI / NCLAT / Supreme Court)	Android case: the CCI penalty of ₹1,337.76 crore (Oct 2022) was upheld by the NCLAT in Mar 2023. Google's appeal is pending before the Supreme Court. Play billing case: the CCI penalty of ₹936.44 crore (Oct 2022) was reduced by the NCLAT to ~₹216-217 crore in Mar 2025 with partial upholding. latest: 2025-07-24	~₹1,550 crore (~$180-190m) in penalties. Provision: Not separately disclosed (immaterial;	Low
South Korea - KFTC YouTube Premium/YouTube Music bundling consent decision; app store matters South Korea (KFTC)	On May 22 2025 the KFTC suspended its investigation and started consent-decision proceedings. Google offered a standalone ad-free YouTube plan and ₩30bn in support for consumers and the music industry. Final consent decision status UNVERIFIED as of Oct 2026. latest: 2025-05-22	₩30bn (~$22m) commitment. Provision: Not disclosed (immaterial).	Low
Turkey - Competition Authority fines (ad tech, hotel search, others) Turkey	TL 2.61bn (~$75m) ad tech self-preferencing fine on Dec 13 2024, with a 6-month compliance order and daily fines for non-compliance. TL 482m hotel-search fine in Jun 2024. Several earlier fines (Android, shopping, local search). latest: 2024-12-13	~$75m plus smaller fines. Provision: Not disclosed (immaterial).	Low
Australia - ACCC search distribution settlement Australia	In Aug 2025 Google agreed to a settlement requiring changes to Android agreements and a penalty (A$55m per public reporting; amount UNVERIFIED in this session). Court-approved Dec 2025. latest: 2025-12	Resolved. Provision: Charge recognized Q2 2025 (per 10-K).	Low
Rodriguez v. Google (Web & App Activity privacy class action) US (N.D. Cal., Judge Seeborg / 9th Cir.)	Jury verdict Sep 3 2025: ~$425.7m for invasion of privacy and intrusion (plaintiffs had sought ~$31bn). Seeborg denied plaintiffs' $2.36bn disgorgement request on ~Jan 30	~$425m judgment plus interest and fees. Provision: Not separately	Low

	2026, and rejected Google's decertification and post-trial challenges (including in late Aug 2026). Google filed a notice of appeal to the 9th Cir. on Sep 21 2026. latest: 2026-09-21	disclosed (likely accrued if probable, UNVERIFIED).	
Brown v. Google (Chrome Incognito) and individual follow-on suits US (N.D. Cal. / California state courts)	Class settlement approved 2024 with no cash payment (deletion of data, disclosures). Individual damages suits by class members remain pending (several thousand claimants in California state court, per earlier reporting; current count UNVERIFIED). latest: 2026-04-20	Individual damages claims, likely small in aggregate. Provision: None disclosed.	Low
Texas privacy settlement (biometrics, location, Incognito) - $1.375bn US (Texas state court)	Announced May 2025: $1.375bn to resolve Texas AG suits over biometric data (Photos, Nest, Assistant), location tracking and Incognito. The 10-K states that Google 'finalized a $1.4 billion settlement of certain privacy matters' in Oct 2025, which is likely this settlement (link inferred, not stated in the filing). latest: 2025-10	Resolved. Provision: Charged in 2025 (exact quarter UNVERIFIED).	Low
Publisher antitrust suits over AI Overviews (Penske Media/Rolling Stone; Chegg; Helena World Chronicle; Emmerich) US (D.D.C., Judge Mehta)	On Sep 30 2026 Judge Mehta granted Google's motions to dismiss Penske Media Corp. v. Google (No. 25-cv-3192, including the tying claim) and Chegg v. Google (No. 25-cv-543). He had earlier in 2026 rejected similar claims by Helena World Chronicle and Emmerich Newspapers. Whether the dismissals were with prejudice, and any appeals, are UNVERIFIED. latest: 2026-09-30	Low after dismissals. Provision: None.	Low
Securities class action - AMI Government Employees Provident Fund v. Alphabet, Google and Pichai, No. 3:23-cv-01186-RFL (N.D. Cal.) US (N.D. Cal., Judge Lin)	Alleges misstatements about ad tech/auction practices and self-preferencing (class period ~Sep 14/15 2020 - Jan 23 2023, ending at the DOJ ad tech suit). Class certified May 18 2026. Opt-out deadline Sep 16 2026. latest: 2026-09-16	Damages based on stock-drop inflation over the class period, unquantified. Provision: None disclosed.	Low
Shareholder derivative litigation (antitrust oversight) - $500m compliance settlement US (N.D. Cal. / Cal. state court)	In Jun 2025 Alphabet agreed to spend $500m over 10 years on a board-level compliance overhaul to settle consolidated derivative suits over antitrust and regulatory oversight. Preliminary approval 2025. Final	$500m over 10 years in compliance spending (an operating expense, not a damages payment). Provision: None	Low

	approval status UNVERIFIED. latest: 2025-06	(spending as incurred).	
Tax disputes - IRS audits, foreign transfer pricing and permanent establishment assessments, non-income taxes, DSTs US and multiple foreign jurisdictions	IRS is examining the 2019-2021 returns. Google has received assessments in multiple foreign jurisdictions asserting transfer-pricing adjustments or permanent establishment, and is defending them (10-K). Gross unrecognized tax benefits were $11.5bn at Dec 31 2025 and $12.1bn at Jun 30 2026 ($10.3bn would affect the ETR). latest: 2026-06-30	Uncertain tax positions are largely reserved ($12.1bn UTB). Provision: Gross UTB $12.1bn (Jun 30 2026).	Low

Table 17 — legal matters (status as of 16 Oct 2026; impact is analyst judgement). Sources in Appendix C.

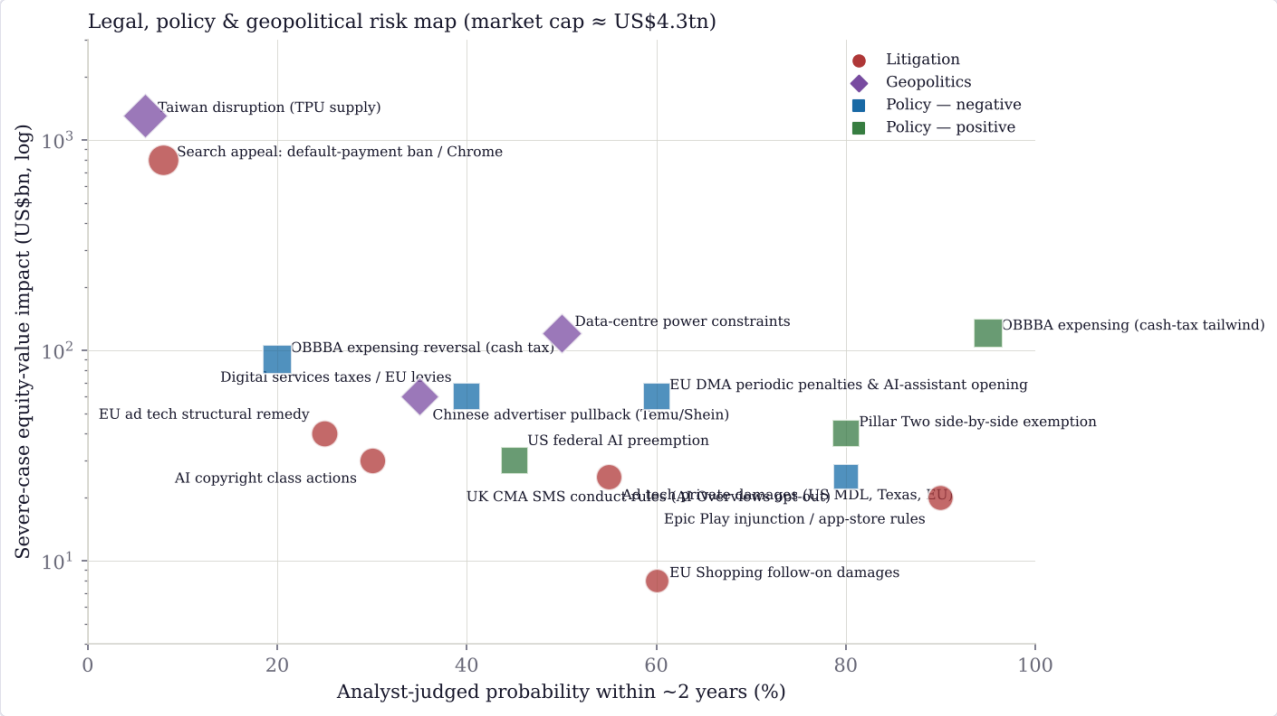


Fig. 11. Legal, policy and geopolitical risk map: analyst-judged probability vs. severe-case equity-value impact (US$bn, log scale). Placements are judgement, not model outputs. Positive items (green) are plotted at the size of the potential tailwind.

10 · Government policy & regulatory shifts NEW

Policy risk has moved from break-up to **slower erosion through regulation**, with the EU as the most active front. In July 2026 it imposed €890m of DMA fines, ordered Android opened to rival AI assistants, and ordered search-data sharing from 2027. The UK CMA requires publisher opt-outs from AI Overviews, and Japan's smartphone act is live. Washington is pushing back with tariff threats and the Pillar Two side-by-side deal. US AI policy is deregulatory (federal preemption executive order), while the EU AI Act's GPAI obligations have been enforceable since Aug 2026

(fines up to 3% of turnover). The OBBBA's full expensing cut Alphabet's cash taxes from $27.4bn to $21.5bn in 2025 (per press reports), a sizeable FCF tailwind during the capex surge, but it carries political risk. The $100k H-1B fee and data-centre power rules (FERC large-load reform, PJM) are cost and timing factors.

Policy	Status	Likelihood	Estimated effect	Direction
US v. Google (Search): Mehta remedies under cross-appeal at the D.C. Circuit (Chrome divestiture and default-payment ban back in play) Competition & platform rules · latest 2026-10-29 (scheduled)	Remedies were ordered in Sept 2025. They are behavioural: no Chrome sale, default payments to Apple and others allowed, plus exclusivity limits and data-sharing.	Low that the appeal court orders a Chrome divestiture.	Search & other was $63.3B in Q2-26, 53% of revenue. Barclays (June 2025) estimated a 15-25% share-price fall and up to a 30% EPS hit if Chrome had to be divested, noting that Chrome carries about 35% of search revenue.	Negative
US v. Google (Ad tech): Brinkema rejects AdX divestiture and imposes behavioural remedies with a 6-year monitor Competition & platform rules · latest 2026-10-02	The order of 2 Sept 2026 rejected the divestiture of AdX, the open-sourcing of DFP's auction logic, and a contingent sale of DFP. The opinion was unsealed on 15 Sept. The remedies are: AdX-Prebid integration, real-time bids to rival ad servers, a ban on first/last look and unified pricing rules, no...	Certain that behavioural remedies apply once judgment is entered.	Google Network revenue was $7.3B in Q2-26, about 6% of revenue and down 1% y/y. Analyst judgement: the remedies may cost 5-15% of Network revenue over 2-3 years through take-rate pressure, which is under 1% of group revenue and less of EPS given Network's low margin.	Mixed
EU ad tech antitrust: €2.95B fine with a structural remedy still under consideration Competition & platform rules · latest 2026-09-02	The Commission fined Google €2.95B in Sept 2025 and stated a preliminary view that 'only the divestment by Google of part of its services would address the situation'. Google offered behavioural remedies instead: bidder-specific floors in Ad Manager and more interoperability.	Analyst judgement: about 20-30% that the EU formally orders an AdX (or wider ad tech) divestiture by end-2027.	The fine is already paid or accrued, at about 0.8% of annual revenue. A divestiture would affect part of the Network segment ($7.3B/qtr gross, low margin).	Negative
EU Digital Markets Act: €890M non-compliance fines (search self-preferencing and Play anti-steering), plus Android AI-assistant and search-data specification de	On 23 July 2026 the Commission imposed €460M (search) and €430M (Play), with a 60-day deadline to comply, which ran to about 21 Sept 2026. Google redesigned EU search in Sept 2026, giving vertical search	Fines: occurred.	€890M is about $1.0B, roughly 0.2% of annual revenue. Periodic penalties can reach 5% of average daily worldwide turnover, about $65M/day at the Q2-26 run-rate.	Negative

Competition & platform rules · latest 2026-09-09	services prominence and warning of 'lower quality'.			
UK DMCC Act: CMA Strategic Market Status for Google search, with conduct requirements on publisher AI controls, fair ranking and choice screens Competition & platform rules · latest 2026-06-03	Google was designated with SMS in general search in Oct 2025. Proposed conduct requirements were published on 28 Jan 2026: fair ranking including in AI Overviews and AI Mode, Android and Chrome choice screens, publisher opt-outs, and data portability.	High that more conduct requirements follow, including fair ranking and choice screens.	UK revenue is not disclosed separately (it sits within EMEA, 27% of revenue). DMCC fines go up to 10% of worldwide turnover.	Negative
Japan Mobile Software Competition Act (MSCA) in force Competition & platform rules · latest 2025-12-17	In force from 17 Dec 2025, with Google and Apple designated by the JFTC. Google introduced search and browser choice screens on Android and in Chrome on iOS, extended user-choice billing to all apps, and launched a programme allowing purchases on developers' websites.	Occurred.	Analyst judgement: a small hit to Play take-rate and search share in Japan, well under 0.5% of group revenue. Japan sits inside APAC ($19.3B/qtr).	Negative
Other platform rules: India (CCI), Korea, Brazil, Australia Competition & platform rules · latest 2026-04-23	India: the CCI's ₹936 crore Play billing penalty (2022) was cut to ₹216 crore by the NCLAT, and the Android case remains before the Supreme Court. The USTR said in April 2026 it is running Section 301 probes of digital regulation in South Korea, Australia and the EU, and Korea's platform rules have...	Medium.	Analyst judgement: immaterial individually, under 0.5% of revenue combined over the next 2 years.	Negative
EU AI Act: GPAI obligations live and AI Office enforcement powers from 2 Aug 2026; Digital Omnibus delays high-risk rules but not GPAI AI regulation · latest 2026-07-27	GPAI obligations under Arts 53-55 have applied since 2 Aug 2025: technical documentation, copyright policy, a training-data summary, and for systemic-risk models (≥10^25 FLOPs) evaluations, adversarial testing, incident reporting and cybersecurity. The AI Office gained enforcement and fining powers...	High that compliance costs are incurred.	GPAI fines are capped at the greater of €15M or 3% of worldwide turnover, a theoretical maximum of about $14B at the run-rate. The AI Office can also restrict or withdraw a model from the EU market.	Mixed

US federal AI policy: preemption executive order (EO 14365), DOJ AI Litigation Task Force, EO 14409; no statutory preemption AI regulation · latest 2026-06-02	EO 14365 of 11 Dec 2025, 'Ensuring a National Policy Framework for AI', did the following. It created a DOJ AI Litigation Task Force, operating from 10 Jan 2026.	High that the federal posture stays deregulatory through 2028.	Analyst judgement: avoids a patchwork of state compliance costs (tens to low hundreds of $M per year). No direct revenue effect.	Positive
State AI laws: California SB 53 and AI Transparency Act; Colorado AI Act repealed and re-enacted (SB 26-189) AI regulation · latest 2026-08-02	California's SB 53 (Transparency in Frontier AI Act) took effect in Jan 2026, with frontier-developer safety frameworks, incident reporting and whistleblower protections. California's training-data transparency law (AB 2013) and the CPPA's automated decision-making rules also took effect in Jan 202...	Occurred.	Analyst judgement: compliance and disclosure cost immaterial (under 0.1% of opex). The main risk is litigation and discovery exposure from training-data disclosures.	Negative
Copyright and AI training: publisher and author suit over Gemini; Anthropic $1.5B settlement benchmark; AI Overviews antitrust suits dismissed AI regulation · latest 2026-09-30	In July 2026 Hachette, Cengage, Elsevier and Scott Turow sued Google in New York over Gemini training on Google Books copies, pirate sources and paywalled scrapes. Internal documents allegedly called book training 'highly problematic'.	Medium that Google settles some training claims within 2-3 years (analyst judgement).	Analyst judgement: settlement exposure from low single-digit $B up to about $10B in an adverse multi-case outcome, scaled from Anthropic's $1.5B for about 500k works. That is under 3% of one year's net income and a one-off.	Negative
US 'One Big Beautiful Bill Act' (OBBBA): 100% bonus depreciation and immediate domestic R&D expensing cut Alphabet's cash taxes sharply Tax & trade · latest 2026-09-28	Enacted July 2025. Income taxes paid fell from $27.4B (FY24) to $21.5B (FY25) even as US pre-tax profit rose about 32% to $143.6B.	Occurred.	Cash taxes fell by about $5.9B in FY25 (-21%), despite profit growth. With 2026 capex guided at $195-205B (guide raised Jul 2026), roughly double FY25's $91B, analyst judgement puts the cash-tax deferral at about $10-15B per year in 2026-27, around 14-21% of FY25 free cash flow ...	Positive
OECD Pillar Two 'side-by-side' agreement exempts US-parented groups from the IIR and UTPR Tax & trade · latest 2026-01-05	The OECD/Inclusive Framework agreed this on 5 Jan 2026. For fiscal years from 1 Jan 2026, US-parented groups electing the side-by-side safe	High that it is implemented in most jurisdictions by 2027.	Analyst judgement: small. Alphabet's ETR (about 16-19%) is already above 15%.	Positive

	harbour are outside the IIR and UTPR.			
Digital services taxes and US retaliation threats (100% tariff threat; Section 301) Tax & trade · latest 2026-06-26	Ten countries levy DSTs: Austria, Denmark, France, Hungary (0%), Italy, Poland, Portugal, Spain, Turkey (cut to 5% in Jan 2026) and the UK. Poland has drafted a 3% DST from 1 Jan 2027, and Germany's coalition is weighing a 10% platform or ad levy.	High that existing DSTs persist.	Tax Foundation tallies DST receipts across all payers: UK €1,042M (2025), France €891M, Italy €455M, Spain €410M, Turkey €395M, Austria €137M. That is about €3.3B a year in total.	Mixed
US-EU trade tensions over tech regulation: Section 301 probe threatened or planned after the Google DMA fine Tax & trade · latest 2026-09-02	The day after the €890M DMA fine (24 July 2026), Trump threatened 'a substantial TARIFF' and said the fines should be reversed. USTR Greer said the fine created uncertainty for the US-EU deal.	Medium-high that a formal Section 301 action is launched against the EU over digital rules.	Not directly quantifiable. Upside: US pressure may slow DMA and ad tech enforcement, protecting some of the €0.9-3B per year of fine and remedy risk.	Mixed
Data-centre power policy: FERC large-load interconnection reform, PJM co-location rules, nuclear PPAs Energy & infrastructure · latest 2026-08-17	After a DOE directive of 23 Oct 2025, FERC issued show-cause orders to all six RTOs/ISOs on 18 June 2026. It preliminarily found existing large-load rules may be unjust, proposed defining large loads as ≥50 MW at ≥69 kV, and required greater transparency on network-upgrade costs.	High that large loads bear more of their interconnection and upgrade costs.	Analyst judgement: higher grid and transmission cost allocation could add about 5-15% to data-centre power costs. Power is roughly 10-15% of data-centre operating cost, so the effect is low single-digit bps on Cloud margin.	Mixed
Russia: astronomical fines, seized subsidiary and YouTube throttling Other · latest 2026-01	Russian courts' fines on Google exceeded 34.5bn roubles by end-2024, plus the symbolic compounding penalty of about 2 undecillion roubles over blocked state-media YouTube channels. The Russian subsidiary's bank accounts were seized and it went bankrupt;	Ongoing.	Immaterial. Russian ad monetisation was suspended in 2022, and Google has said it expects no material adverse effect.	Negative
India: DPDP Rules (localisation for significant data fiduciaries), competition cases, and a $15B AI-hub investment	The DPDP Rules were notified on 14 Nov 2025, with core obligations phased in over 18 months, to about May 2027. Significant Data Fiduciaries must keep specified personal and traffic data in India	High that Google is designated an SDF.	Analyst judgement: compliance and localisation costs are partly absorbed by the planned $15B India capex. Immaterial to group EPS.	Mixed

Other · latest 2025-11-14	(categories to be notified) and conduct annual audits and DPIAs.			
National-security AI: Gemini for classified Pentagon networks Other · latest 2026-04-29	On 29 Apr 2026 Google agreed to provide Gemini on DoD classified networks for 'any lawful use', following similar OpenAI and xAI deals. About 600 employees protested.	Occurred.	Analyst judgement: incremental Google Public Sector revenue in the hundreds of $M to low $B a year over time, under 1% of revenue. Reputational and talent risk (a Project Maven-style backlash) is the offset.	Positive
Immigration: $100,000 H-1B fee on new petitions and a wage-weighted lottery Other · latest 2025-12-24	A $100k fee applies to H-1B petitions for workers outside the US, or who cannot change or extend status. It does not apply to existing H-1B holders or to in-country changes of status such as F-1 students.	Occurred.	Analyst judgement: if Alphabet files 1,000-2,000 fee-liable petitions a year, the cost is $0.1-0.2B, under 0.1% of operating expenses. The weighted lottery favours high-wage employers like Google.	Negative

Table 18 — policy and regulatory shifts with potential to move Alphabet's results or valuation. Sources in Appendix C.

11 · What Wall Street says, and how our figures compare NEW

The Street is overwhelmingly positive. StockAnalysis has 57 of 62 analysts at Buy or better (average **$430.51**, median $430); MarketBeat has 51 of 55 (average $425.04); TipRanks has 25 Buy and 4 Hold (average $426.16). Targets range from $340 to $515 (Citizens JMP). After Q2-26 (22 Jul) revenue beat ($119.8bn vs $116.9bn), but adjusted EPS slightly missed ($2.85 vs $2.89) and capex guidance was raised to $195–205bn. The stock fell 7.1% the next day and many targets were trimmed (JPMorgan $460 → $420, Piper Sandler $445 → $395). Some recovered in Sep–Oct (Evercore $450, Tigress $485, JPMorgan $425). Morningstar raised its fair value to $433 (wide moat). Bulls cite Cloud, TPU sales, the resilience of Search and Waymo. Bears cite capex, negative FCF, the delayed Gemini launch and regulation.

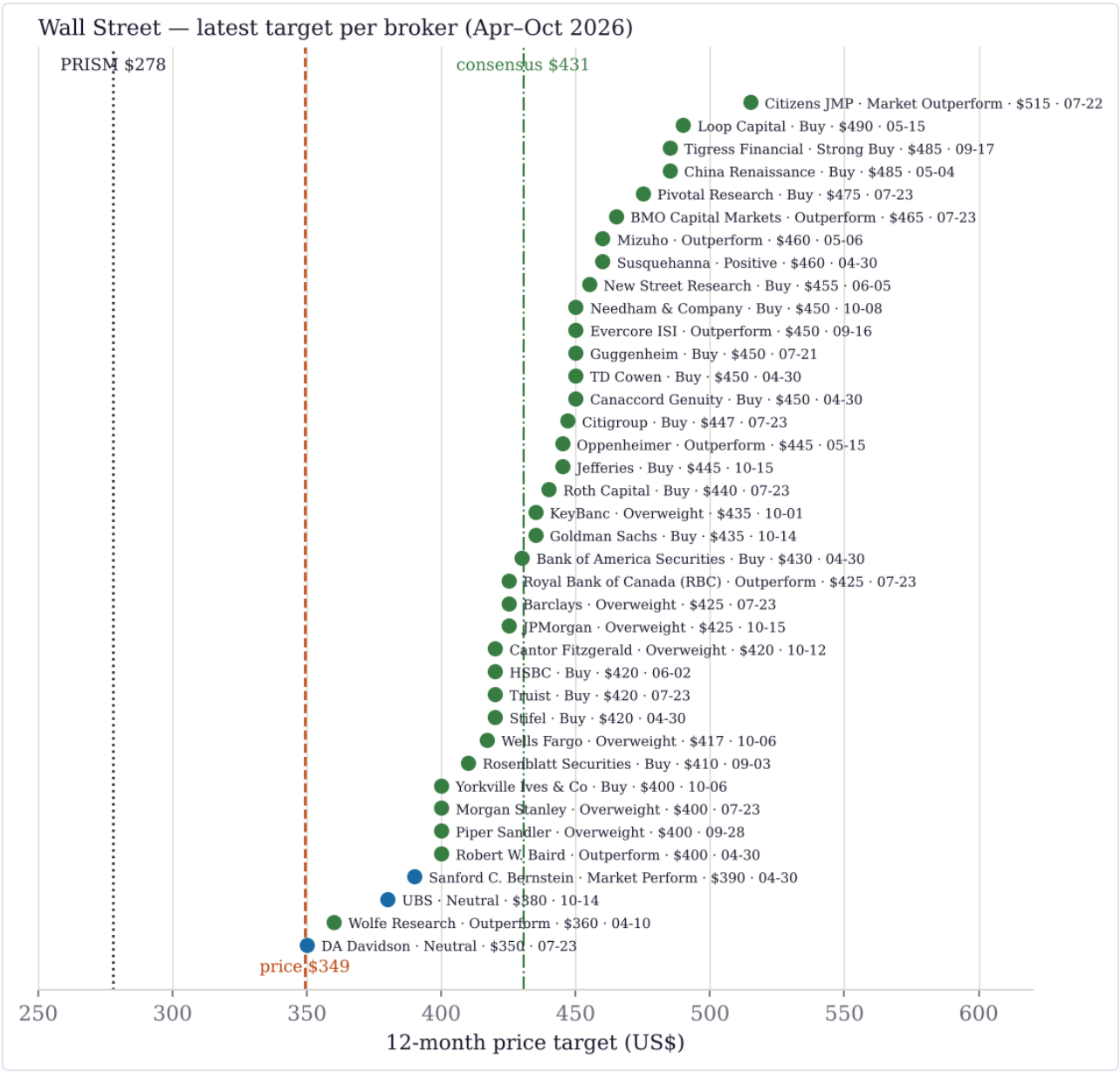


Fig. 12. Latest target per broker (green Buy/Overweight, blue Neutral/Market Perform) vs. price, consensus and the PRISM central value.

Date	Firm	Rating	Target	Rationale (as reported)
2026-10-15	JPMorgan	Overweight	$420→$425	Pre-Q3 raise;
2026-10-15	Jefferies	Buy	$445	Reiterated ahead of Q3.
2026-10-14	UBS	Neutral	$379→$380	Pre-Q3 nudge.
2026-10-14	Goldman Sachs	Buy	$435	Reiterated.
2026-10-12	Cantor Fitzgerald	Overweight	$420	Reiterated.

2026-10-08	Needham & Company	Buy	$450	Reiterated.
2026-10-06	Wells Fargo	Overweight	$411→$417	Pre-Q3 raise;
2026-10-06	Yorkville Ives & Co	Buy	$400	New coverage;
2026-10-01	KeyBanc	Overweight	$445→$435	Pre-Q3 trim;
2026-09-28	Piper Sandler	Overweight	$395→$400	External TPU revenue modeled at about $8B in 2026, $51B in 2027 and up to $104B in 2028, at roughly 30% hardware operating margin.
2026-09-17	Tigress Financial	Strong Buy	$415→$485	AI leadership is driving Search, Cloud and YouTube.
2026-09-16	Evercore ISI	Outperform	$420→$450	August survey: 78% of respondents use Google as their core search engine, up four quarters running.
2026-09-03	Rosenblatt Securities	Buy	$410	Reiterated.
2026-07-23	JPMorgan	Overweight	$460→$420	Cut after the capex raise;
2026-07-23	Cantor Fitzgerald	Overweight	$435→$420	Called Q2 'strong' but cut the target on higher spending.
2026-07-23	Piper Sandler	Overweight	$445→$395	Alphabet 'needs a leading frontier model to justify its valuation'.
2026-07-23	Morgan Stanley	Overweight	$415→$400	Post-Q2 cut;
2026-07-23	Truist	Buy	$430→$420	Post-Q2 cut;
2026-07-23	DA Davidson	Neutral	$375→$350	Post-Q2 cut;
2026-07-23	BMO Capital Markets	Outperform	$455→$465	Post-Q2 raise;
2026-07-23	Barclays	Overweight	$405→$425	Post-Q2 raise;
2026-07-23	Roth Capital	Buy	$435→$440	Rising capital needs are a long-term concern, but the spend is necessary;
2026-07-23	Pivotal Research	Buy	$470→$475	Post-Q2 raise;
2026-07-23	Citigroup	Buy	$447	AI-driven gains in Search and Cloud.
2026-07-23	Evercore ISI	Outperform	$420	'Core long thesis remains intact' despite higher capex and a larger expected hit to 2027 FCF.

2026-07-23	Royal Bank of Canada (RBC)	Outperform	$425	Reiterated.
2026-07-22	Citizens JMP	Market Outperform	$515	Street-high target.
2026-07-21	Wells Fargo	Overweight	$435→$416	Pre-Q2 cut, listed as a recent change in a 2026-07-21 Benzinga preview;
2026-07-21	UBS	Neutral	$410→$400	Pre-Q2 cut, listed as recent in a 2026-07-21 Benzinga preview;
2026-07-21	Guggenheim	Buy	$450	'Competitive noise creates attractive entry for full-stack AI leader'.
2026-07-10	KeyBanc (KeyCorp)	Overweight	$425→$445	Pre-Q2 raise;
2026-06-05	New Street Research	Buy	$450→$455	No rationale captured.
2026-06-02	HSBC	Buy	$435→$420	No rationale captured.
2026-05-15	Oppenheimer	Outperform	$425→$445	Not stated.
2026-05-15	Loop Capital	Buy	$355→$490	No rationale captured.
2026-05-09	JPMorgan	Overweight	$395→$460	Calls the Cloud backlog expansion to $462B 'the most impressive metric of this earnings season'.
2026-05-06	Mizuho	Outperform	$420→$460	Post-Q1 raise;
2026-05-04	Jefferies	Buy	$400→$445	Not stated in the MT Newswires item.
2026-05-04	China Renaissance	Buy	$400→$485	No rationale captured.
2026-04-30	Bank of America Securities	Buy	$370→$430	Q1 Search +19% and Cloud +63% beat.
2026-04-30	Susquehanna	Positive	$400→$460	Called Google Cloud growth a 'monster' AI inflection point.
2026-04-30	Canaccord Genuity	Buy	$415→$450	Ad growth accelerated about 200 bps vs Q4 2025 as Gemini is deployed across ad infrastructure.
2026-04-30	TD Cowen	Buy	$375→$450	Cloud results (grouped with the 'monster' AI-inflection commentary).
2026-04-30	Stifel	Buy	$387→$420	Cloud grew 63% y/y vs 47% consensus;
2026-04-30	Truist	Buy	$385→$415	Its 36% operating margin is the clearest sign yet that capex is paying off.

2026-04-30	UBS	Neutral	$375→$410	Kept Neutral: elevated and possibly rising capex into 2027 is the main overhang on near-term EPS.
2026-04-30	Goldman Sachs	Buy	$400→$450	Post-Q1 raise;
2026-04-30	Sanford C. Bernstein	Market Perform	$345→$390	Raised target but stayed neutral;
2026-04-30	Guggenheim	Buy	$375→$450	Post-Q1 raise;
2026-04-30	Robert W. Baird	Outperform	$380→$400	Post-Q1 raise;
2026-04-10	Wolfe Research	Outperform	$390→$360	Target cut before Q1 results;

Table 19 — broker actions, Apr–Oct 2026.

Item	Wall Street	PRISM (this report)	Read
12-month value	Avg **$431** (median $430; 62 analysts, StockAnalysis); MarketBeat $425; range $340–$515	Central **$278** today, **$307** in 12 months (policy/tail-weighted $270)	**PRISM ~29% below the Street**
Implied return vs $349.22	+23%	-12% (12m) plus ~0.25% dividend	Opposite signs
Rating skew	57 of 62 Buy or better (StockAnalysis); 51 of 55 (MarketBeat); Holds: UBS, DA Davidson, Bernstein	Equivalent to **Underweight** on our peer-relative and DCF anchors; **fair** on the mega-cap lens and SOTP	Closest Street views: DA Davidson (Neutral, $350), UBS (Neutral, $380)
FY2026 EPS	~$20.6 GAAP (Yahoo/MarketScreener, incl. ~$136bn of pre-tax equity gains in H1); ~$13.1 ex gains (StockAnalysis; sources do not fully reconcile)	Not used: gains are non-operating and unrepeatable	Use FY27
FY2027 EPS / revenue	$15.25 (yfinance/StockAnalysis; Yahoo $15.07) / $620bn (+24%)	Our base DCF has FY27 revenue of $604bn (+22%) at a 33% operating margin	**Broad agreement**

P/E the target implies	$431 ÷ $15.25 = **28.2× FY27** (23.9× FY28)	Price is 22.9× FY27; PRISM central 18.2× vs peer median 19.1× and mega-cap 23.6×	The Street pays an AI/Cloud premium over the mega-cap group
What the price needs	Street: Cloud backlog ($514bn) converts; capex earns its return	Reverse DCF: 24% annual revenue growth for 2027–31 at base margins, or a 8.3% WACC on the base case	Main disagreement: discount rate and capex payback
Cash conversion	Look through capex as AI investment	TTM FCF $53bn (12% margin); Q2-26 FCF −$5.9bn; buybacks paused; $49.6bn of equity raised	Shareholder yield has collapsed
Probability ≥ $431 in 12m	—	~24% (driftless bootstrap Monte Carlo)	Options: 38.2% implied vol to 2027-03-19

Table 20 — Wall Street vs. PRISM, side by side.

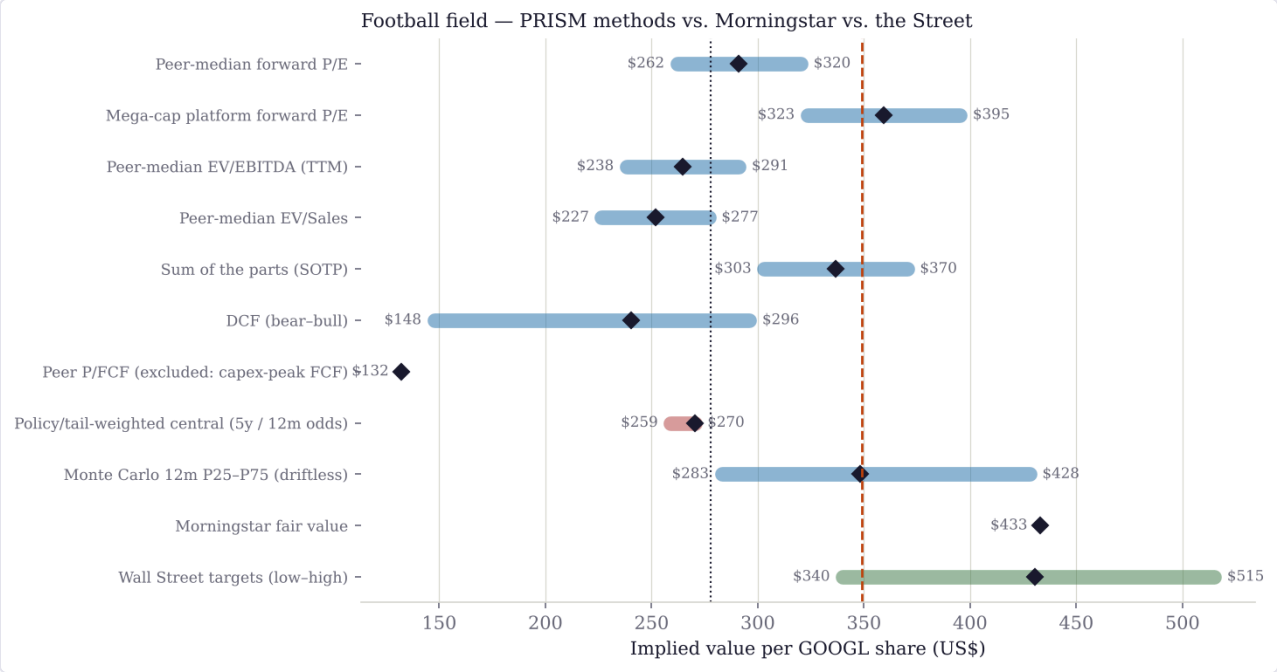


Fig. 13. Football field: PRISM methods (blue, ±10% bands; DCF bear–bull), the excluded P/FCF reference (grey), the policy/tail-weighted value (red), Morningstar and the Street range.

Reconciling the gap. We agree with the Street on revenue: FY27 consensus of ~$620bn is close to our base path ($604bn). The ~$153 gap is the multiple and the discount rate. The Street's $431 is 28.2× FY27 EPS, a premium to the mega-cap median (23.6×), which only a lower discount rate

supports. At an 8.5% WACC and a 35% terminal margin our DCF gives $334; at 7.5%, $420. If Q3/Q4 show Cloud margins holding above 30% while capex intensity peaks in 2026–27, the mega-cap multiple ($359) and SOTP ($337) become the right anchors, and the stock is fairly valued rather than expensive. A Street target above $400 needs both: AI-capex returns and a sub-9% cost of capital.

12 · Technical read



Fig. 14. Three-year price with MA50/MA200 and Bollinger bands, with catalyst markers.

Indicator	Reading
MA50 / MA200	$344.92 / $340.77. Price above both; golden cross intact.
RSI(14)	52.8 (neutral)
Bollinger %B	62% (mid-band; bands $336.86–$356.86)
52-week range	$250.46–$402.62 (-13.3% off high)
Performance	YTD +11.6% · 1-year +39.1%
Realised vol (90d) / implied vol	32.0% / 38.2% (ATM, 2027-03-19)

Table 21 — technical dashboard (15 Oct 2026 close).

The stock is consolidating 13% below its high, with the 50- and 200-day averages converging in the $340s, which is the support zone. Implied volatility (to Mar-2027) is above realised, partly reflecting the scheduled 28 Oct earnings.

13 · Price forecast (1 / 3 / 6 months): ETS, ARIMA & VAR

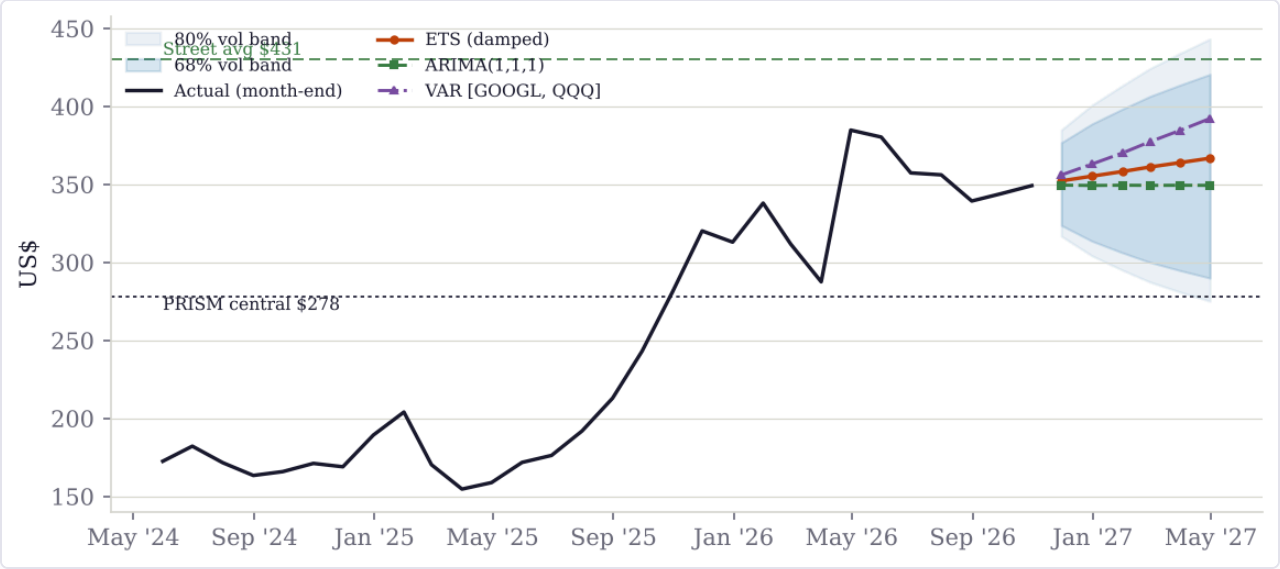


Fig. 15. ETS (damped trend), ARIMA(1,1,1) and a VAR on monthly log-returns of [GOOGL, QQQ], with 68% and 80% volatility bands.

Horizon	ETS	ARIMA	VAR	68% vol band
1 month	$352	$350	$356	$324–$377
3 months	$358	$349	$370	$306–$398
6 months	$367	$349	$392	$290–$421

Table 22 — point forecasts and the 68% volatility band. Scenario anchors, not predictions.

Reading the models. The price is non-stationary (ADF p = 0.991) with a strong 10-year uptrend. ETS extrapolates the damped trend to ~$367 at six months, and the VAR (0 lags selected, so it reduces to the historical mean return) to ~$392. ARIMA is flat (~$349). The useful output is the band: $290–$421 at six months. It brackets our 12-month value ($307) and sits below the Street's $431.

14 · Monte Carlo & events

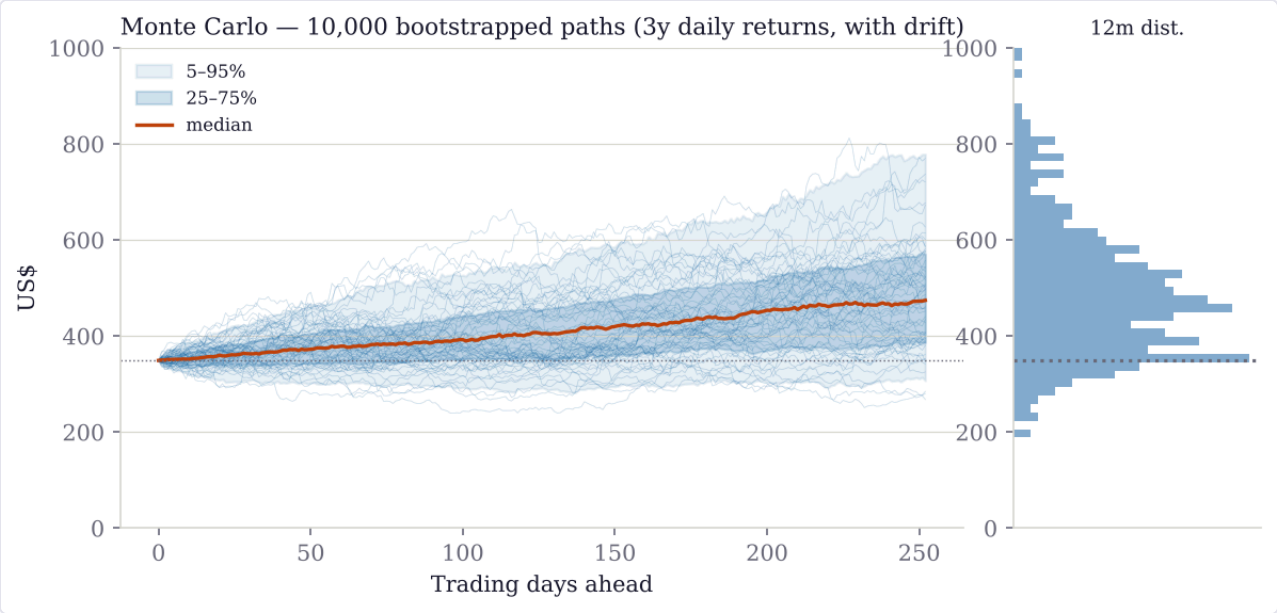


Fig. 16. 10,000 bootstrapped one-year paths from three years of daily returns (with drift).

Horizon	P5	P25	Median	P75	P95	P(>current)
6mo (with drift)	$285	$353	$407	$472	$579	76%
12mo (with drift)	$288	$387	$475	$585	$782	84%
6mo (driftless)	$244	$302	$349	$404	$495	50%
12mo (driftless)	$211	$283	$348	$428	$572	49%

Table 23 — Monte Carlo percentiles (with drift and driftless). The with-drift run carries forward GOOGL's strong 2023–26 returns and should be read as an upper bound. The driftless run is the neutral case.



Fig. 17. GOOGL's largest single-day moves over 10 years (one per 15-day window) and the price each would imply from today.

Date	1-day move	Likely catalyst	If repeated from $349
2020-03-16	-11.6%	COVID-19 crash — global selloff	$309
2023-10-25	-9.5%	Q3-23: Google Cloud growth miss	$316
2022-10-26	-9.1%	Q3-22: ad slowdown, YouTube decline	$317
2025-09-03	+9.1%	Mehta search remedies — no Chrome/Android divestiture	$381
2019-07-26	+9.6%	Q2-19 beat and $25bn buyback	$383
2025-04-09	+9.7%	US 90-day reciprocal-tariff pause	$383
2026-04-30	+10.0%	Q1-26 beat: Cloud +63%, Search +19%	$384
2024-04-26	+10.2%	Q1-24 beat; first dividend and $70bn buyback	$385

Table 24 — the biggest GOOGL price events. Attributions are analyst-reconstructed from the dates. The tails are earnings (Cloud misses, capital-return announcements) and legal events: the Mehta remedies day was +9.1%. A repeat of the Q3-23 Cloud miss (−9.5%) from today would imply ~$316.

15 · Competitive landscape

Search: Google holds ~90% of queries worldwide. Bing (5%) and AI assistants (ChatGPT >1bn weekly users, Perplexity) compete for intent, and Amazon dominates product search. **Cloud:** AWS 28%, Azure 20% and Google 15% (Synergy, Q2-26). Oracle and neoclouds (CoreWeave) compete for AI capacity, and Google's differentiation is TPUs plus Gemini. **AI models:** Gemini competes with OpenAI, Anthropic (in which Alphabet holds a stake), Meta's Llama and xAI. Menlo Ventures put Google at 21% of enterprise LLM API spend in 2025, against Anthropic's 40%. **Video:** YouTube competes with Netflix, TikTok and CTV platforms. **Ads:** eMarketer forecasts Meta overtaking Google in net digital ad revenue in 2026, and retail media is growing fastest. Alphabet's moats are distribution (Android, Chrome, the default deals), data and full-stack AI (TPU silicon, models, cloud and consumer surfaces).

16 · SWOT

STRENGTHS

- ~90% search query share; Google ads ≈25% of global ad spend
- Full AI stack: TPUs, Gemini, Cloud ($514bn backlog), >1bn-user surfaces
- Fortress balance sheet: $242bn cash, interest coverage 175×
- ROA +1.3σ vs peers; Cloud margin 35.6%

WEAKNESSES

- FCF margin below peers (−0.4 to −0.9σ) and negative in Q2-26
- Gross margin below software peers (TAC, infrastructure)
- Earnings quality: 2026 EPS dominated by equity mark-ups
- Other Bets lose ~$9bn a year

OPPORTUNITIES

- Cloud and TPU sales to third parties (Anthropic, others)
- Waymo scaling: ~20 new cities planned for 2026
- AI Mode monetisation and Gemini subscriptions
- Stake value: Anthropic, SpaceX

THREATS

- AI chat erodes search monetisation per query
- DOJ appeal (default-payment ban) and EU ad tech divestiture
- AI capex overbuild and pricing pressure in 2028+
- Taiwan / TSMC supply disruption

17 · Pairs trades to watch

Long GOOGL / short QQQ isolates Alphabet's Cloud and AI execution from the Nasdaq beta. The VAR found no lead from QQQ to GOOGL. **Long GOOGL / short META** is a bet on diversification: Cloud plus Waymo against a pure ad business on similar multiples (22.9× vs 21.3×

forward). **Long MSFT / short GOOGL** is the reverse view: Azure's integration with enterprise software against Search disruption risk. **GOOG vs GOOGL**: the voting class trades at a 1.25% premium (1-year mean 0.35%), a small mean-reversion trade. All should be sized for 32% realised volatility (38.2% implied) and the 28 Oct earnings date.

18 · Next steps

- Re-run after Q3-26 results (28 Oct): Cloud growth and margin, the 2027 capex outlook, depreciation guidance and any resumption of buybacks.
- Watch the D.C. Circuit argument on the search cross-appeal (from Dec 2026), the final ad tech judgment, and the EU's ad tech remedy decision.
- Build a Cloud-only DCF with backlog conversion (just over 50% within 24 months) and TPU external revenue.
- Track AI Mode monetisation (ads per query) and Search paid clicks against AI chatbot query share (Datos/Similarweb).
- Mark the Anthropic and SpaceX stakes quarterly. They are ~3% of market value but dominate GAAP EPS.
- Monitor TSMC/Taiwan risk indicators and data-centre power interconnection timelines.

19 · References

1. Liu, J., Nissim, D., & Thomas, J. (2002). Equity Valuation Using Multiples. *Journal of Accounting Research*, 40(1), 135–172.
2. Bhojraj, S., & Lee, C. M. C. (2002). Who Is My Peer? A Valuation-Based Approach to the Selection of Comparable Firms. *Journal of Accounting Research*, 40(2), 407–439.
3. Alford, A. W. (1992). The Effect of the Set of Comparable Firms on the Accuracy of the Price-Earnings Valuation Method. *Journal of Accounting Research*, 30(1), 94–108.
4. Mauboussin, M. J., & Callahan, D. Valuation Multiples. *Counterpoint Global Insights*, Morgan Stanley Investment Management.
5. Ohlson, J. A. (1995). Earnings, Book Values, and Dividends in Equity Valuation. *Contemporary Accounting Research*, 11(2), 661–687.
6. Nissim, D., & Penman, S. H. (2003). Financial Statement Analysis of Leverage and How It Informs About Profitability and Price-to-Book Ratios. *Review of Accounting Studies*, 8, 531–560.
7. Koller, T., Goedhart, M., & Wessels, D. (2020). *Valuation: Measuring and Managing the Value of Companies* (7th ed.). Wiley.
8. Damodaran, A. (2012). *Investment Valuation* (3rd ed.). Wiley — DCF, reverse DCF and sum-of-the-parts.
9. Mauboussin, M. J., & Rappaport, A. (2001). *Expectations Investing*. Harvard Business School Press.
10. Rochet, J.-C., & Tirole, J. (2003). Platform Competition in Two-Sided Markets. *Journal of the European Economic Association*, 1(4), 990–1029.

11. Boyle, P. P. (1977). Options: A Monte Carlo Approach. *Journal of Financial Economics*, 4(3), 323–338.

ADDENDUM — FINANCIAL STATEMENT ANALYSIS & HEALTH CHECK (ANNUAL FY2022–FY2025 AND QUARTER-OVER-QUARTER)

This addendum applies the **finance:financial-statements** workflow. It shows statements in multi-column format with period-over-period dollar and percentage variance, scaled materiality thresholds, driver decomposition of material variances and key-metric summaries. It adds a **quarter-over-quarter (QoQ)** layer covering the last five reported quarters (Q2-25 → Q2-26) with sequential and year-over-year variance, plus ten quarters of segment KPIs from Alphabet's releases. Alphabet reports under US GAAP on a calendar year. Statement data are the standardised yfinance feed ($m); segment KPIs come from company releases. Because 2025–26 net income is dominated by gains on equity securities, operating income is the better trend measure.

> **Verdict: strong, but shifting from cash machine to capital-intensive builder.** FY2022–25 revenue grew from $282.8bn to $402.8bn and operating income from $74.8bn to $129.0bn (margin 26.5% → 32.0%). FCF was flat at $60–73bn because capex nearly tripled ($31.5bn → $91.4bn). The QoQ data show the shift accelerating. Capex went from $22.4bn (Q2-25) to $44.9bn (Q2-26), FCF turned negative (−$5.9bn), buybacks stopped after Q4-25, and Alphabet issued ~$49.6bn of common and mandatory convertible preferred equity plus ~$56bn of new debt in H1-26. Liquidity is not a concern: there is $242bn of cash and marketable securities, debt is $98bn ex-leases, and interest coverage is very high. The health questions are **return on the AI build-out** and **earnings quality** (H1-26 GAAP net income of $174.7bn includes ~$136bn of equity gains).

Dimension	Rating	Evidence
Revenue & demand	Green	Revenue +8.7% / +13.9% / +15.1% (FY23–25); quarterly growth accelerated to +24% YoY (Q2-26). Cloud +82%, Search +17%.
Profitability	Green	Operating margin 26.5% → 27.4% → 32.1% → 32.0% (FY22–25); 36.1% (Q1-26), 34.0% (Q2-26). Gross margin 55.4% → 59.7%. Large legal charges (EU fines ~$3.5bn in Q3-25, $1.5bn PriceRunner in Q2-26) are individually one-off but have recurred in most years.
Liquidity	Green	Current ratio 1.8–2.4×; cash and marketable securities $126.8bn (FY25) → $242.5bn (Q2-26) after capital raises.
Leverage & solvency	Green / Amber	Debt ex-leases $10.9bn (FY24) → $46.5bn (FY25) → $98.2bn (Q2-26) plus $18bn of preferred. Still net cash, but debt-funded capex (since 2025) and equity issuance (2026) are new.
Cash generation	Amber	CFO $91.5bn → $101.7bn → $125.3bn → $164.7bn; capex $31.5bn → $32.3bn → $52.5bn → $91.4bn; FCF $60.0bn → $69.5bn → $72.8bn → $73.3bn. Quarterly FCF $24.6bn (Q4-25) → $10.1bn → −$5.9bn (Q2-26).

Capital allocation	Amber	Buybacks $59.3bn → $61.5bn → $62.2bn → $45.7bn → zero in H1-26. Dividends since Q2-24 ($10.0bn in FY25). Equity issuance (~$49.6bn) and a $40bn ATM programme in Q2-26 reverse the shrinking share count.
Earnings quality	Amber	Gains on equity securities: $24.2bn (FY25), $37.0bn (Q1-26), $98.8bn (Q2-26), mostly unrealised. Net margin ex gains is 28.4% (Q2-26) vs 93.6% reported.

Table 25 — financial health scorecard (FY2022–FY2025 with QoQ trajectory into Q2-26).

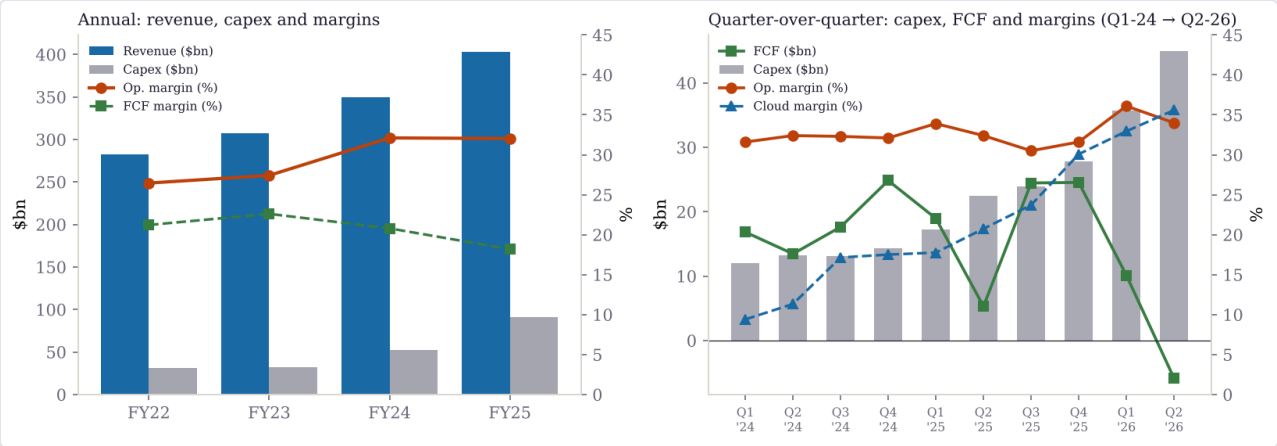


Fig. 18. Left: annual revenue, capex, operating margin and FCF margin. Right: quarterly capex, FCF, Alphabet operating margin and Cloud margin, Q1-24 → Q2-26.

A.1 · Annual income statement

Income statement ($m)	FY22	FY23	FY24	FY25	Δ FY23 vs FY22	Δ FY24 vs FY23	Δ FY25 vs FY24
Revenues	**282,836**	**307,394**	**350,018**	**402,836**	+24,558 / +9%	+42,624 / +14%	+52,818 / +15%
Cost of revenues (incl. TAC, depreciation, content)	(126,203)	(133,332)	(146,306)	(162,535)	-7,129 / -6%	-12,974 / -10%	-16,229 / -11%
Gross profit	**156,633**	**174,062**	**203,712**	**240,301**	+17,429 / +11%	+29,650 / +17%	+36,589 / +18%
Research & development	(39,500)	(45,427)	(49,326)	(61,087)	-5,927 / -15%	-3,899 / -9%	-11,761 / -24%
Sales & marketing	(26,567)	(27,917)	(27,808)	(28,693)	-1,350 / -5%	+109 / +0%	-885 / -3%
General & administrative (incl. legal charges)	(15,724)	(16,425)	(14,188)	(21,482)	-701 / -4%	+2,237 / +14%	-7,294 / -51%
Operating income	**74,842**	**84,293**	**112,390**	**129,039**	+9,451 / +13%	+28,097 / +33%	+16,649 / +15%
Interest income	2,174	3,865	4,482	4,337	+1,691 / +78%	+617 / +16%	-145 / -3%
Interest expense	(357)	(308)	(268)	(736)	+49 / +14%	+40 / +13%	-468 / -175%
Gains on equity securities, net	(6,173)	(2,061)	2,262	24,238	+4,112 / +67%	+4,323 / +210%	+21,976 / +972%

Other non-operating, net*	842	(72)	949	1,948	-914 / -109%	+1,021 / n/m	+999 / +105%
Income before taxes	**71,328**	**85,717**	**119,815**	**158,826**	**+14,389 / +20%**	**+34,098 / +40%**	**+39,011 / +33%**
Provision for income taxes	(11,356)	(11,922)	(19,697)	(26,656)	-566 / -5%	**-7,775 / -65%**	**-6,959 / -35%**
Net income attributable to common	**59,972**	**73,795**	**100,118**	**132,170**	**+13,823 / +23%**	**+26,323 / +36%**	**+32,052 / +32%**
Diluted EPS ($)	4.56	5.80	8.04	10.81	+1.24 / +27%	+2.24 / +39%	+2.77 / +34%

*Table 26 — Alphabet consolidated income statement, FY2022–FY2025 (calendar year, US GAAP, $m; expenses in parentheses). Shaded Δ cells breach the materiality threshold (lines >$50bn: ≥$2.5bn and ≥5%; $5–50bn: ≥$1bn and ≥10%; <$5bn: ≥$250m and ≥15%). *Derived/balancing line.*

Read. Revenue compounded at 12.5% a year (FY22–25). Gross margin rose 4.3pp as TAC grew more slowly than revenue and Cloud turned profitable, despite depreciation rising from $13.5bn to $21.1bn. R&D rose 55% over three years to $61.1bn (15.2% of revenue). Sales and marketing was flat in dollars, so operating margin expanded by 5.5pp. G&A is volatile because of legal charges: ~$3.5bn for the EU ad tech fine was booked in FY25. Below the line, results swung from a $6.2bn loss on equity securities (FY22) to a $24.2bn gain (FY25), which is why reported EPS growth (+34% in FY25) overstates the operating trend (+15% ex gains).

A.2 · Annual key metrics

Metric	FY22	FY23	FY24	FY25	Δ latest
Gross margin (%)	55.4	56.6	58.2	59.7	+1.5pp
Operating margin (%)	26.5	27.4	32.1	32.0	-0.1pp
R&D / revenue (%)	14.0	14.8	14.1	15.2	+1.1pp
Effective tax rate (%)	15.9	13.9	16.4	16.8	+0.3pp
Net margin, reported (%)	21.2	24.0	28.6	32.8	+4.2pp
Net margin ex equity gains (%)	22.9	24.5	28.1	28.1	-0.0pp
Current ratio (x)	2.38	2.10	1.84	2.01	+0.17
Total debt ex-leases ($bn)	12.9	11.9	10.9	46.5	+35.7
Cash & marketable securities ($bn)	113.8	110.9	95.7	126.8	+31.2
Capex / revenue (%)	11.1	10.5	15.0	22.7	+7.7pp
FCF ($bn)	60.0	69.5	72.8	73.3	+0.5
FCF margin (%)	21.2	22.6	20.8	18.2	-2.6pp
SBC / revenue (%)	6.8	7.3	6.5	6.2	-0.3pp
Buybacks + dividends / FCF (%)	98.8	88.5	95.6	76.1	-19.5pp

Revenue growth (%)	—	8.7	13.9	15.1	+1.2pp

Table 27 — annual key metrics. Δ = FY25 vs FY24.

A.3 · Annual balance sheet

Balance sheet ($m)	FY22	FY23	FY24	FY25	Δ FY23 vs FY22	Δ FY24 vs FY23	Δ FY25 vs FY24
Cash, cash equivalents & marketable securities	113,762	110,916	95,657	126,843	-2,846 / -3%	**-15,259 / -14%**	**+31,186 / +33%**
Accounts receivable	40,258	47,964	52,340	62,886	**+7,706 / +19%**	**+4,376 / +9%**	**+10,546 / +20%**
Other current assets*	10,775	12,650	15,714	16,309	+1,875 / +17%	+3,064 / +24%	+595 / +4%
Total current assets	**164,795**	**171,530**	**163,711**	**206,038**	**+6,735 / +4%**	**-7,819 / -5%**	**+42,327 / +26%**
Non-marketable & other equity investments	30,492	31,008	37,982	68,687	+516 / +2%	**+6,974 / +22%**	**+30,705 / +81%**
Property & equipment, net	127,049	148,436	184,624	261,818	**+21,387 / +17%**	**+36,188 / +24%**	**+77,194 / +42%**
Goodwill & intangibles	28,960	29,198	31,885	33,380	+238 / +1%	+2,687 / +9%	+1,495 / +5%
Other non-current assets (incl. lease ROU, deferred tax)*	13,968	22,220	32,054	25,358	+8,252 / +59%	+9,834 / +44%	-6,696 / -21%
Total assets	**365,264**	**402,392**	**450,256**	**595,281**	**+37,128 / +10%**	**+47,864 / +12%**	**+145,025 / +32%**
Accounts payable	5,128	7,493	7,987	12,200	**+2,365 / +46%**	+494 / +7%	**+4,213 / +53%**
Accrued expenses & other payables*	34,653	42,728	61,030	66,421	+8,075 / +23%	+18,302 / +43%	+5,391 / +9%
Deferred revenue (current)	3,908	4,137	5,036	6,578	+229 / +6%	+899 / +22%	**+1,542 / +31%**
Current debt	—	—	—	—	—	—	—
Other current liabilities (incl. accrued fines, taxes)*	25,611	27,456	15,069	17,546	+1,845 / +7%	-12,387 / -45%	+2,477 / +16%
Total current liabilities	**69,300**	**81,814**	**89,122**	**102,745**	**+12,514 / +18%**	**+7,308 / +9%**	**+13,623 / +15%**
Long-term debt	12,857	11,870	10,883	46,547	-987 / -8%	-987 / -8%	**+35,664 / +328%**
Finance/other lease liabilities	14,345	12,460	11,691	12,744	**-1,885 / -13%**	-769 / -6%	+1,053 / +9%
Other non-current liabilities (incl. income taxes payable)*	12,618	12,869	13,476	17,980	+251 / +2%	+607 / +5%	+4,504 / +33%
Total liabilities	**109,120**	**119,013**	**125,172**	**180,016**	**+9,893 / +9%**	**+6,159 / +5%**	**+54,844 / +44%**
of which: preferred stock (in equity)	0	0	0	0	—	—	—
Stockholders' equity	**256,144**	**283,379**	**325,084**	**415,265**	**+27,235 / +11%**	**+41,705 / +15%**	**+90,181 / +28%**

Total liabilities & equity	**365,264**	**402,392**	**450,256**	**595,281**	**+37,128 / +10%**	**+47,864 / +12%**	**+145,025 / +32%**

*Table 28 — Consolidated balance sheet at 31 December ($m). *Derived balancing line.*

A.4 · Annual cash flow

Cash flow statement ($m)	FY22	FY23	FY24	FY25	Δ FY23 vs FY22	Δ FY24 vs FY23	Δ FY25 vs FY24
Net income	59,972	73,795	100,118	132,170	**+13,823 / +23%**	**+26,323 / +36%**	**+32,052 / +32%**
Depreciation & amortisation	13,475	11,946	15,311	21,136	**-1,529 / -11%**	**+3,365 / +28%**	**+5,825 / +38%**
Stock-based compensation	19,362	22,460	22,785	24,953	**+3,098 / +16%**	+325 / +1%	+2,168 / +10%
(Gains) on equity securities	5,519	823	(2,671)	(24,620)	**-4,696 / -85%**	**-3,494 / -425%**	**-21,949 / -822%**
Deferred income taxes	(8,081)	(7,763)	(5,257)	8,348	+318 / +4%	**+2,506 / +32%**	**+13,605 / +259%**
Change in working capital	(2,235)	(3,845)	(8,406)	618	**-1,610 / -72%**	**-4,561 / -119%**	**+9,024 / +107%**
Other operating items*	3,483	4,330	3,419	2,108	+847 / +24%	-911 / -21%	-1,311 / -38%
Net cash from operating activities	**91,495**	**101,746**	**125,299**	**164,713**	**+10,251 / +11%**	**+23,553 / +23%**	**+39,414 / +31%**
Purchases of property & equipment (capex)	(31,485)	(32,251)	(52,535)	(91,447)	-766 / -2%	**-20,284 / -63%**	**-38,912 / -74%**
Net (purchase) / sale of marketable securities	16,567	6,734	12,597	(24,882)	**-9,833 / -59%**	**+5,863 / +87%**	**-37,479 / -298%**
Acquisitions (incl. Wiz)	(6,969)	(495)	(2,931)	(1,592)	**+6,474 / +93%**	**-2,436 / -492%**	**+1,339 / +46%**
Other investing*	1,589	(1,051)	(2,667)	(2,370)	-2,640 / -166%	-1,616 / -154%	+297 / +11%
Net cash from investing activities	**(20,298)**	**(27,063)**	**(45,536)**	**(120,291)**	**-6,765 / -33%**	**-18,473 / -68%**	**-74,755 / -164%**
Debt issued	52,872	10,790	13,589	64,564	**-42,082 / -80%**	**+2,799 / +26%**	**+50,975 / +375%**
Debt repaid	(54,068)	(11,550)	(12,701)	(32,427)	**+42,518 / +79%**	-1,151 / -10%	**-19,726 / -155%**
Share repurchases	(59,296)	(61,504)	(62,222)	(45,709)	-2,208 / -4%	-718 / -1%	**+16,513 / +27%**
Dividends paid	0	0	(7,363)	(10,049)	—	-7,363 / n/m	**-2,686 / -36%**
Taxes on net share settlement of equity awards	(9,300)	(9,837)	(12,190)	(14,167)	-537 / -6%	**-2,353 / -24%**	**-1,977 / -16%**
Other financing (incl. 2026 equity & preferred issuance)*	35	8	1,154	400	-27 / -77%	+1,146 / n/m	-754 / -65%
Net cash from financing activities	**(69,757)**	**(72,093)**	**(79,733)**	**(37,388)**	**-2,336 / -3%**	**-7,640 / -11%**	**+42,345 / +53%**

FX & other*	0	0	0	0	—	—	—
Net change in cash & equivalents	**1,440**	**2,590**	**30**	**7,034**	+1,150 / +80%	-2,560 / -99%	+7,004 / n/m
Free cash flow (CFO − capex)	**60,010**	**69,495**	**72,764**	**73,266**	+9,485 / +16%	+3,269 / +5%	+502 / +1%

*Table 29 — Consolidated statement of cash flows, indirect method ($m). *Derived balancing line.*

Read. Operating cash flow rose 80% over FY22–25, but capex absorbed almost all of the increase, so FCF only rose from $60bn to $73bn. Capital returns took 76–99% of FCF in every year: buybacks of ~$60bn a year, plus dividends from 2024. FY25 was the first year Alphabet issued materially more debt than it repaid (+$32bn net).

A.5 · Quarter-over-quarter (QoQ) analysis NEW

Sequentially, Q2-26 revenue rose 9.0% QoQ to $119.8bn. Gross profit rose $5.2bn, but gross margin slipped 0.8pp to 61.6% as depreciation kept climbing (+$0.6bn QoQ in the cash-flow statement). G&A jumped $2.2bn on the $1.5bn PriceRunner charge, so operating income rose only 2.7% to $40.8bn (margin 34.0% vs 36.1%). Net income nearly doubled to $112.1bn on a $98.8bn equity-securities gain. **Year over year**, revenue was +24% and operating income +30% (margin +1.6pp). The QoQ balance sheet shows the funding shift. Net PP&E rose $42bn in a quarter. Cash and marketable securities rose $116bn on the equity and preferred raise, new notes and securities purchases. Long-term debt rose $21bn and equity $162bn. Cash flow shows capex of $44.9bn above CFO of $39.1bn, which made FCF negative, with Q2 tax and working-capital outflows (−$11.7bn).

Quarterly income statement ($m)	Q2-25	Q3-25	Q4-25	Q1-26	Q2-26	Δ Q3-25 vs Q2-25	Δ Q4-25 vs Q3-25	Δ Q1-26 vs Q4-25	Δ Q2-26 vs Q1-26	YoY Q2-26 vs Q2-25
Revenues	**96,428**	**102,346**	**113,829**	**109,896**	**119,796**	+5,918 / +6%	+11,483 / +11%	-3,933 / -3%	+9,900 / +9%	**+24%**
Cost of revenues (incl. TAC, depreciation, content)	(39,039)	(41,369)	(45,767)	(41,271)	(45,943)	-2,330 / -6%	-4,398 / -11%	+4,496 / +10%	-4,672 / -11%	**-18%**
Gross profit	**57,389**	**60,977**	**68,062**	**68,625**	**73,853**	+3,588 / +6%	+7,085 / +12%	+563 / +1%	+5,228 / +8%	**+29%**
Research & development	(13,808)	(15,151)	(18,572)	(17,032)	(18,219)	-1,343 / -10%	-3,421 / -23%	+1,540 / +8%	-1,187 / -7%	**-32%**
Sales & marketing	(7,101)	(7,205)	(8,215)	(7,606)	(8,403)	-104 / -1%	-1,010 / -14%	+609 / +7%	-797 / -10%	**-18%**
General & administrative (incl. legal charges)	(5,209)	(7,393)	(5,341)	(4,291)	(6,461)	-2,184 / -42%	+2,052 / +28%	+1,050 / +20%	-2,170 / -51%	**-24%**

Operating income	**31,271**	**31,228**	**35,934**	**39,696**	**40,770**	**-43 / -0%**	**+4,706 / +15%**	**+3,762 / +10%**	**+1,074 / +3%**	**+30%**
Interest income	1,050	1,076	1,209	1,381	1,430	+26 / +2%	+133 / +12%	+172 / +14%	+49 / +4%	**+36%**
Interest expense	(261)	(143)	(298)	(533)	(1,278)	+118 / +45%	**-155 / -108%**	**-235 / -79%**	**-745 / -140%**	**-390%**
Gains on equity securities, net	1,382	10,713	2,289	36,950	98,839	**+9,331 / +675%**	**-8,424 / -79%**	**+34,661 / n/m**	**+61,889 / +167%**	**n/m**
Other non-operating, net*	491	1,113	(17)	(82)	(1,008)	+622 / +127%	-1,130 / -102%	-65 / -382%	-926 / n/m	**-305%**
Income before taxes	**33,933**	**43,987**	**39,117**	**77,412**	**138,753**	**+10,054 / +30%**	**-4,870 / -11%**	**+38,295 / +98%**	**+61,341 / +79%**	**+309%**
Provision for income taxes	(5,737)	(9,008)	(4,662)	(14,834)	(26,560)	**-3,271 / -57%**	**+4,346 / +48%**	**-10,172 / -218%**	**-11,726 / -79%**	**-363%**
Net income attributable to common	**28,196**	**34,979**	**34,455**	**62,578**	**112,107**	**+6,783 / +24%**	**-524 / -1%**	**+28,123 / +82%**	**+49,529 / +79%**	**+298%**
Diluted EPS ($)	2.31	2.87	2.82	5.11	9.11	+0.56 / +24%	-0.05 / -2%	+2.29 / +81%	+4.00 / +78%	**+294%**

Table 30 — Quarterly income statement, Q2-25 → Q2-26 ($m). Δ columns are sequential quarter-over-quarter (QoQ); the last column is year-over-year (Q2-26 vs Q2-25). Quarterly materiality thresholds are half the annual dollar thresholds. Q3-26 results are due 28 Oct 2026.

Metric	Q2-25	Q3-25	Q4-25	Q1-26	Q2-26	Δ latest
Gross margin (%)	59.5	59.6	59.8	62.4	61.6	-0.8pp
Operating margin (%)	32.4	30.5	31.6	36.1	34.0	-2.1pp
R&D / revenue (%)	14.3	14.8	16.3	15.5	15.2	-0.3pp
Effective tax rate (%)	16.9	20.5	11.9	19.2	19.1	-0.0pp
Net margin, reported (%)	29.2	34.2	30.3	56.9	93.6	+36.6pp
Net margin ex equity gains (%)	28.1	25.9	28.7	30.4	28.4	-2.0pp
Current ratio (x)	1.90	1.75	2.01	1.92	2.72	+0.80
Total debt ex-leases ($bn)	23.6	21.6	46.5	77.5	98.2	+20.7
Cash & marketable securities ($bn)	95.1	98.5	126.8	126.8	242.5	+115.6
Capex / revenue (%)	23.3	23.4	24.5	32.5	37.5	+5.0pp
FCF ($bn)	5.3	24.5	24.6	10.1	-5.9	-16.0
FCF margin (%)	5.5	23.9	21.6	9.2	-4.9	-14.1pp
SBC / revenue (%)	6.2	6.2	6.2	6.1	6.6	+0.5pp
Buybacks + dividends / FCF (%)	297.7	57.4	32.7	25.1	—	—

Table 31 — quarterly key metrics. Δ = Q2-26 vs Q1-26 (QoQ). 'Ex equity gains' removes gains on equity securities at a 21% tax rate.

KPI	Q1-24	Q2-24	Q3-24	Q4-24	Q1-25	Q2-25	Q3-25	Q4-25	Q1-26	Q2-26	QoQ Δ

Total revenue ($m)	80,539	84,742	88,268	96,469	90,234	96,428	102,346	113,828	109,896	119,796	**+9,900**
Google Search & other ($m)	46,156	48,509	49,385	54,034	50,702	54,190	56,567	63,073	60,399	63,271	**+2,872**
YouTube ads ($m)	8,090	8,663	8,921	10,473	8,927	9,796	10,261	11,383	9,883	11,055	**+1,172**
Google Network ($m)	7,413	7,444	7,548	7,954	7,256	7,354	7,354	7,828	6,971	7,303	**+332**
Subscriptions, platforms & devices ($m)	8,739	9,312	10,656	11,633	10,379	11,203	12,870	13,578	12,384	12,911	**+527**
Google Cloud revenue ($m)	9,574	10,347	11,353	11,955	12,260	13,624	15,157	17,664	20,028	24,768	**+4,740**
Google Cloud operating income ($m)	900	1,172	1,947	2,093	2,177	2,826	3,594	5,313	6,598	8,814	**+2,216**
Google Cloud margin (%)	9.4	11.3	17.1	17.5	17.8	20.7	23.7	30.1	32.9	35.6	**+2.6pp**
Google Services operating income ($m)	27,897	29,674	30,856	32,836	32,682	33,063	33,527	40,132	40,589	39,544	**-1,045**
Other Bets operating income ($m)	-1,020	-1,134	-1,116	-1,174	-1,226	-1,246	-1,426	-3,617	-2,100	-1,799	**+301**
Operating margin (%)	31.6	32.4	32.3	32.1	33.9	32.4	30.5	31.6	36.1	34.0	**-2.1pp**
TAC ($m)	12,946	13,387	13,719	14,848	13,748	14,705	14,876	16,597	15,228	16,179	**+951**
Capex ($m)	12,012	13,186	13,061	14,276	17,197	22,446	23,953	27,851	35,674	44,924	**+9,250**
Free cash flow ($m)	16,836	13,454	17,637	24,837	18,953	5,301	24,461	24,551	10,116	-5,855	**-15,971**
Share repurchases ($m)	15,696	15,684	15,291	15,551	15,068	13,238	11,504	5,499	0	0	**+0**
Diluted EPS ($)	1.89	1.89	2.12	2.15	2.81	2.31	2.87	2.82	5.11	9.11	**+4.00**
Headcount	180,895	179,582	181,269	183,323	185,719	187,103	190,167	190,820	194,668	198,933	**+4,265**
Paid clicks growth YoY (%)	5	6	4	—	2	4	7	—	13	13	**+0pp**
Cost-per-click growth YoY (%)	8	7	8	—	7	8	7	—	5	3	**-2pp**
Cloud backlog ($bn)	72.5	78.8	86.8	93.2	92.4	108.2	157.7	242.8	462.3	513.9	**+51.6**

Table 32 — operating KPIs by quarter from Alphabet's earnings releases and 10-Qs (Q1-24 → Q2-26), with the latest QoQ change. EPS from Q1-25 onwards includes large gains on equity securities.

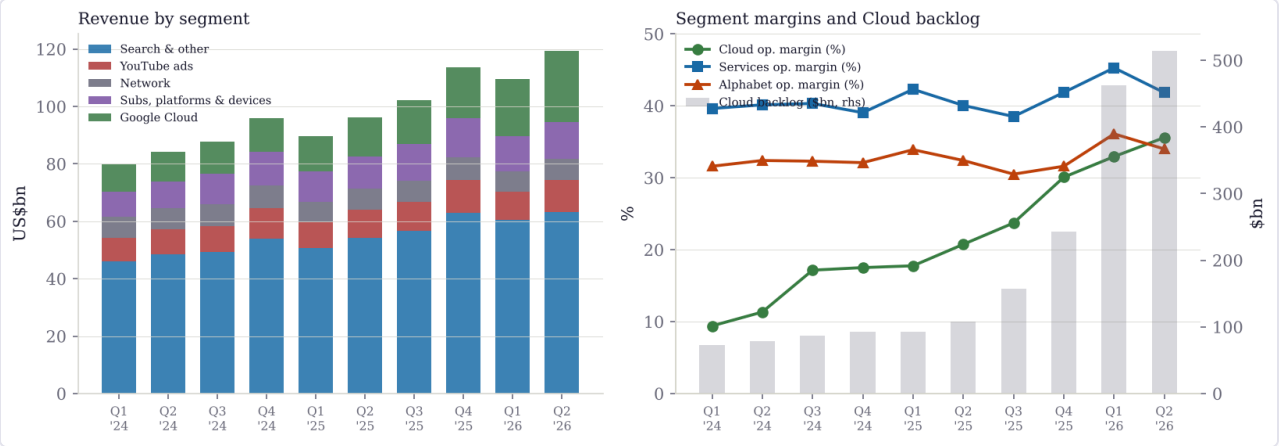


Fig. 19. Ten quarters of revenue by segment, segment operating margins and Cloud backlog, Q1-24 → Q2-26 (company releases).

Quarterly balance sheet ($m)	Q2-25	Q3-25	Q4-25	Q1-26	Q2-26	Δ Q3-25 vs Q2-25	Δ Q4-25 vs Q3-25	Δ Q1-26 vs Q4-25	Δ Q2-26 vs Q1-26	YoY Q2-26 vs Q2-25
Cash, cash equivalents & marketable securities	95,148	98,496	126,843	126,840	242,474	+3,348 / +4%	**+28,347 / +29%**	-3 / -0%	**+115,634 / +91%**	**+155%**
Accounts receivable	55,048	57,148	62,886	62,999	69,175	+2,100 / +4%	**+5,738 / +10%**	+113 / +0%	**+6,176 / +10%**	**+26%**
Other current assets*	16,020	18,303	16,309	23,914	31,875	+2,283 / +14%	-1,994 / -11%	+7,605 / +47%	+7,961 / +33%	+99%
Total current assets	**166,216**	**173,947**	**206,038**	**213,753**	**343,524**	**+7,731 / +5%**	**+32,091 / +18%**	**+7,715 / +4%**	**+129,771 / +61%**	**+107%**
Non-marketable & other equity investments	52,574	63,800	68,687	106,946	131,461	**+11,226 / +21%**	**+4,887 / +8%**	**+38,259 / +56%**	**+24,515 / +23%**	**+150%**
Property & equipment, net	217,486	238,311	261,818	296,529	338,906	**+20,825 / +10%**	**+23,507 / +10%**	**+34,711 / +13%**	**+42,377 / +14%**	**+56%**
Goodwill & intangibles	32,335	33,269	33,380	67,218	66,933	+934 / +3%	+111 / +0%	**+33,838 / +101%**	-285 / -0%	**+107%**
Other non-current assets (incl. lease ROU, deferred tax)*	33,442	27,142	25,358	19,473	41,159	-6,300 / -19%	-1,784 / -7%	-5,885 / -23%	+21,686 / +111%	+23%
Total assets	**502,053**	**536,469**	**595,281**	**703,919**	**921,983**	**+34,416 / +7%**	**+58,812 / +11%**	**+108,638 / +18%**	**+218,064 / +31%**	**+84%**
Accounts payable	8,347	10,546	12,200	16,852	20,258	**+2,199 / +26%**	**+1,654 / +16%**	**+4,652 / +38%**	**+3,406 / +20%**	**+143%**
Accrued expenses & other payables*	54,727	58,954	66,421	73,227	83,613	+4,227 / +8%	+7,467 / +13%	+6,806 / +10%	+10,386 / +14%	+53%
Deferred revenue (current)	4,969	5,542	6,578	7,162	7,154	**+573 / +12%**	**+1,036 / +19%**	+584 / +9%	-8 / -0%	**+44%**
Current debt	—	—	—	—	—	—	—	—	—	—

Other current liabilities (incl. accrued fines, taxes)*	19,267	24,508	17,546	13,947	15,086	+5,241 / +27%	-6,962 / -28%	-3,599 / -21%	+1,139 / +8%	-22%
Total current liabilities	**87,310**	**99,550**	**102,745**	**111,188**	**126,111**	**+12,240 / +14%**	**+3,195 / +3%**	**+8,443 / +8%**	**+14,923 / +13%**	**+44%**
Long-term debt	23,607	21,607	46,547	77,501	98,165	-2,000 / -8%	**+24,940 / +115%**	**+30,954 / +67%**	**+20,664 / +27%**	**+316%**
Finance/other lease liabilities	11,952	12,106	12,744	12,983	14,591	+154 / +1%	+638 / +5%	+239 / +2%	**+1,608 / +12%**	**+22%**
Other non-current liabilities (incl. income taxes payable)*	16,268	16,339	17,980	23,501	42,636	+71 / +0%	+1,641 / +10%	+5,521 / +31%	+19,135 / +81%	+162%
Total liabilities	**139,137**	**149,602**	**180,016**	**225,173**	**281,503**	**+10,465 / +8%**	**+30,414 / +20%**	**+45,157 / +25%**	**+56,330 / +25%**	**+102%**
of which: preferred stock (in equity)	0	0	0	0	18,023	—	—	—	+18,023 / n/m	—
Stockholders' equity	**362,916**	**386,867**	**415,265**	**478,746**	**640,480**	**+23,951 / +7%**	**+28,398 / +7%**	**+63,481 / +15%**	**+161,734 / +34%**	**+76%**
Total liabilities & equity	**502,053**	**536,469**	**595,281**	**703,919**	**921,983**	**+34,416 / +7%**	**+58,812 / +11%**	**+108,638 / +18%**	**+218,064 / +31%**	**+84%**

Table 33 — Quarter-end balance sheets, Q2-25 → Q2-26 ($m). Q1-26 includes the Wiz acquisition (goodwill +$24bn); Q2-26 includes ~$49.6bn of new common and mandatory convertible preferred equity and a $99bn mark-up of equity stakes.

Quarterly cash flow ($m)	Q2-25	Q3-25	Q4-25	Q1-26	Q2-26	Δ Q3-25 vs Q2-25	Δ Q4-25 vs Q3-25	Δ Q1-26 vs Q4-25	Δ Q2-26 vs Q1-26	YoY Q2-26 vs Q2-25
Net income	28,196	34,979	34,455	62,578	112,193	**+6,783 / +24%**	-524 / -1%	**+28,123 / +82%**	**+49,615 / +79%**	**+298%**
Depreciation & amortisation	4,998	5,611	6,040	6,482	7,104	**+613 / +12%**	+429 / +8%	+442 / +7%	+622 / +10%	**+42%**
Stock-based compensation	5,998	6,368	7,071	6,751	7,957	+370 / +6%	**+703 / +11%**	-320 / -5%	**+1,206 / +18%**	**+33%**
(Gains) on equity securities	(1,451)	(10,855)	(2,354)	(36,804)	(98,999)	**-9,404 / -648%**	**+8,501 / +78%**	**-34,450 / n/m**	**-62,195 / -169%**	**n/m**
Deferred income taxes	(444)	8,726	1,218	6,920	20,618	**+9,170 / n/m**	**-7,508 / -86%**	**+5,702 / +468%**	**+13,698 / +198%**	**n/m**
Change in working capital	(10,110)	3,783	4,707	(1,402)	(11,700)	**+13,893 / +137%**	**+924 / +24%**	**-6,109 / -130%**	**-10,298 / -735%**	**-16%**
Other operating items*	560	(198)	1,265	1,265	1,896	-758 / -135%	+1,463 / +739%	+0 / +0%	+631 / +50%	+239%
Net cash from operating activities	**27,747**	**48,414**	**52,402**	**45,790**	**39,069**	**+20,667 / +74%**	**+3,988 / +8%**	**-6,612 / -13%**	**-6,721 / -15%**	**+41%**
Purchases of property & equipment (capex)	(22,446)	(23,953)	(27,851)	(35,674)	(44,924)	-1,507 / -7%	**-3,898 / -16%**	**-7,823 / -28%**	**-9,250 / -26%**	**-100%**

Net (purchase) / sale of marketable securities	(1,572)	(1,270)	(23,233)	6,902	(37,070)	+302 / +19%	-21,963 / n/m	+30,135 / +130%	-43,972 / -637%	n/m
Acquisitions (incl. Wiz)	(13)	(1,072)	(167)	(33,621)	(76)	-1,059 / n/m	+905 / +84%	-33,454 / n/m	+33,545 / +100%	-485%
Other investing*	(513)	(1,482)	(525)	(996)	(363)	-969 / -189%	+957 / +65%	-471 / -90%	+633 / +64%	+29%
Net cash from investing activities	**(24,544)**	**(27,777)**	**(51,776)**	**(63,389)**	**(82,433)**	-3,233 / -13%	-23,999 / -86%	-11,613 / -22%	-19,044 / -30%	-236%
Debt issued	26,846	6,624	26,562	31,379	24,847	-20,222 / -75%	+19,938 / +301%	+4,817 / +18%	-6,532 / -21%	-7%
Debt repaid	(13,876)	(7,697)	(6,333)	(1,477)	(3,776)	+6,179 / +45%	+1,364 / +18%	+4,856 / +77%	-2,299 / -156%	+73%
Share repurchases	(13,238)	(11,504)	(5,499)	0	0	+1,734 / +13%	+6,005 / +52%	+5,499 / +100%	—	+100%
Dividends paid	(2,543)	(2,536)	(2,536)	(2,542)	(2,689)	+7 / +0%	+0 / +0%	-6 / -0%	-147 / -6%	-6%
Taxes on net share settlement of equity awards	(2,621)	(3,270)	(5,166)	(5,483)	(6,573)	-649 / -25%	-1,896 / -58%	-317 / -6%	-1,090 / -20%	-151%
Other financing (incl. 2026 equity & preferred issuance)*	(400)	0	0	3,200	49,434	+400 / +100%	—	+3,200 / n/m	+46,234 / n/m	n/m
Net cash from financing activities	**(5,832)**	**(18,383)**	**7,028**	**25,077**	**61,243**	-12,551 / -215%	+25,411 / +138%	+18,049 / +257%	+36,166 / +144%	n/m
FX & other*	0	0	0	0	0	—	—	—	—	—
Net change in cash & equivalents	**(2,629)**	**2,254**	**7,654**	**7,478**	**17,879**	+4,883 / +186%	+5,400 / +240%	-176 / -2%	+10,401 / +139%	+780%
Free cash flow (CFO – capex)	**5,301**	**24,461**	**24,551**	**10,116**	**(5,855)**	+19,160 / +361%	+90 / +0%	-14,435 / -59%	-15,971 / -158%	-210%

Table 34 — Quarterly cash flows, Q2-25 → Q2-26 ($m).

A.6 · Material variance listing (annual and QoQ, significant lines)

Statement	Line	Period	Δ $m	Δ %	Dir.	Driver	Explanation	Nature
Income statement	Revenues	FY23 vs FY22	+24,558	+9%	—	Ad recovery + Cloud	Revenue +8.7%: ads recovered from the 2022 slowdown; Cloud +26%.	Trend
Income statement	Revenues	FY24 vs FY23	+42,624	+14%	—	Search + Cloud	Revenue +13.9%: Search +13%, YouTube ads +15%, Cloud +31%.	Trend

Income statement	Revenues	FY25 vs FY24	+52,818	+15%	—	Search + Cloud + AI	Revenue +15.1% to $403bn; Cloud and Search both accelerated in H2.	Trend
Income statement	Gross profit	FY24 vs FY23	+29,650	+17%	—	Mix + leverage	Gross margin 58.2% (+1.6pp): TAC grew slower than revenue.	Trend
Income statement	Gross profit	FY25 vs FY24	+36,589	+18%	—	Mix + leverage	Gross margin 59.7% (+1.5pp) despite depreciation +38%.	Trend
Income statement	Research & development	FY23 vs FY22	-5,927	-15%	—	AI + severance	AI investment and Q1-23 severance charges.	Partly one-off
Income statement	Research & development	FY25 vs FY24	-11,761	-24%	—	AI compute + talent	R&D +24% to $61bn; rising depreciation of AI infrastructure and compensation.	Structural
Income statement	General & administrative (incl. legal charges)	FY24 vs FY23	+2,237	+14%	—	Lower legal charges	Lapping 2023 legal settlements and severance.	Normalisation
Income statement	General & administrative (incl. legal charges)	FY25 vs FY24	-7,294	-51%	—	Legal charges	EU ad tech fine (~$3.5bn charge, Q3-25) and other legal settlements.	Largely one-off
Income statement	Operating income	FY23 vs FY22	+9,451	+13%	—	Volume	Operating income +13%; margin 27.4%.	Trend
Income statement	Operating income	FY24 vs FY23	+28,097	+33%	—	Operating leverage	Operating income +33%; margin 32.1% after the 2023 cost reset.	Trend
Income statement	Operating income	FY25 vs FY24	+16,649	+15%	—	Volume, less legal	Operating income +15% despite ~$3.5bn EU fine; margin 32.0%.	Trend

Income statement	Gains on equity securities, net	FY23 vs FY22	+4,112	+67%	—	Smaller losses	Losses on equity securities narrowed from 2022.	Non-operating
Income statement	Gains on equity securities, net	FY24 vs FY23	+4,323	+210%	—	Market recovery	Swing from 2023 losses to gains on equity securities.	Non-operating
Income statement	Gains on equity securities, net	FY25 vs FY24	+21,976	+972%	—	Stake revaluations	~$24bn gains, mostly unrealised mark-ups of non-marketable stakes.	Non-operating, volatile
Income statement	Income before taxes	FY25 vs FY24	+39,011	+33%	—	Operating + gains	Operating growth plus ~$24bn of equity gains.	Partly non-operating
Income statement	Provision for income taxes	FY24 vs FY23	-7,775	-65%	—	Profit + ETR	Higher pretax income; ETR 16.4% from 13.9%.	Trend
Income statement	Net income attributable to common	FY23 vs FY22	+13,823	+23%	—	Operating growth	EPS +27%.	Trend
Income statement	Net income attributable to common	FY24 vs FY23	+26,323	+36%	—	Operating growth	EPS +39%.	Trend
Income statement	Net income attributable to common	FY25 vs FY24	+32,052	+32%	—	Operating + gains	EPS +34%; ex equity gains net income rose ~15%.	Partly non-operating
Balance sheet	Non-marketable & other equity investments	FY25 vs FY24	+30,705	+81%	—	Stake mark-ups	Revaluation of private stakes and new investments.	Non-operating
Balance sheet	Property & equipment, net	FY24 vs FY23	+36,188	+24%	—	AI capex	Capex $52.5bn: servers, data centres, TPUs.	Structural
Balance sheet	Property & equipment, net	FY25 vs FY24	+77,194	+42%	—	AI capex	Capex $91.4bn; net PP&E +$77bn.	Structural
Balance sheet	Long-term debt	FY25 vs FY24	+35,664	+328%	—	Bond issuance	Debt raised to fund capex (issuance $64.6bn,	Policy

							repayments $32.4bn).	
Balance sheet	Stockholders' equity	FY25 vs FY24	+90,181	+28%	—	Retained earnings	Net income $132bn less $56bn of buybacks and dividends.	Trend
Cash flow statement	Net cash from operating activities	FY24 vs FY23	+23,553	+23%	—	Earnings	Operating income +33%.	Trend
Cash flow statement	Net cash from operating activities	FY25 vs FY24	+39,414	+31%	—	Earnings + deferred tax	CFO $164.7bn; OBBBA expensing lowered cash taxes.	Trend
Cash flow statement	Purchases of property & equipment (capex)	FY24 vs FY23	-20,284	-63%	—	AI capex	Capex +63% to $52.5bn.	Structural
Cash flow statement	Purchases of property & equipment (capex)	FY25 vs FY24	-38,912	-74%	—	AI capex	Capex +74% to $91.4bn.	Structural
Cash flow statement	Share repurchases	FY25 vs FY24	+16,513	+27%	—	Capital reallocation	Buybacks cut to $45.7bn from $62.2bn as capex rose.	Policy
Cash flow statement	Dividends paid	FY25 vs FY24	-2,686	-36%	—	Dividend	First full year of dividends (initiated Q2-24).	Policy
Cash flow statement	Free cash flow (CFO − capex)	FY23 vs FY22	+9,485	+16%	—	Capex flat	FCF +16% to $69.5bn.	Trend
Q · income statement	Revenues	Q3-25 vs Q2-25	+5,918	+6%	Fav.	Search + Cloud	Revenue +16% YoY; first $100bn quarter.	Trend
Q · income statement	Revenues	Q4-25 vs Q3-25	+11,483	+11%	Fav.	Seasonal + Cloud	Holiday ad season; Cloud +48% YoY.	Seasonal
Q · income statement	Revenues	Q2-26 vs Q1-26	+9,900	+9%	Fav.	Cloud + Search	Revenue +24% YoY; Cloud +82% to	Trend

							$24.8bn; Search +17%.	
Q · income statement	Gross profit	Q3-25 vs Q2-25	+3,588	+6%	Fav.	Volume	Gross margin 59.6%.	Trend
Q · income statement	Gross profit	Q4-25 vs Q3-25	+7,085	+12%	Fav.	Seasonal volume	Gross margin 59.8%.	Seasonal
Q · income statement	Gross profit	Q2-26 vs Q1-26	+5,228	+8%	Fav.	Volume + mix	Gross margin 61.6% (−0.8pp QoQ) as depreciation rose ~42% YoY.	Trend
Q · income statement	Research & development	Q4-25 vs Q3-25	-3,421	-23%	Unfav.	AI compute	Higher depreciation and AI talent costs.	Structural
Q · income statement	General & administrative (incl. legal charges)	Q3-25 vs Q2-25	-2,184	-42%	Unfav.	Legal charge	EU ad tech fine (~$3.5bn charge).	One-off
Q · income statement	General & administrative (incl. legal charges)	Q4-25 vs Q3-25	+2,052	+28%	Fav.	Reversal	Lapping the Q3 fine.	Normalisation
Q · income statement	General & administrative (incl. legal charges)	Q1-26 vs Q4-25	+1,050	+20%	Fav.	Lower legal	No large legal charge.	Normalisation
Q · income statement	General & administrative (incl. legal charges)	Q2-26 vs Q1-26	-2,170	-51%	Unfav.	Legal charge	$1.5bn PriceRunner (EU Shopping follow-on) charge.	One-off
Q · income statement	Operating income	Q4-25 vs Q3-25	+4,706	+15%	Fav.	Seasonal + lapping fine	Operating margin 31.6% from 30.5%.	Mixed
Q · income statement	Operating income	Q1-26 vs Q4-25	+3,762	+10%	Fav.	Leverage	Operating margin 36.1%.	Trend
Q · income statement	Gains on equity	Q3-25 vs	+9,331	+675%	Fav.	Stake mark-ups	$10.7bn of equity-security	Non-operating

	securities, net	Q2-25					gains.	
Q · income statement	Gains on equity securities, net	Q4-25 vs Q3-25	-8,424	-79%	Unfav.	Lower mark-ups	Gains fell to $2.3bn.	Non-operating
Q · income statement	Gains on equity securities, net	Q1-26 vs Q4-25	+34,661	n/m	Fav.	Stake revaluation	$37bn gains on private stakes (e.g. Anthropic, SpaceX).	Non-operating
Q · income statement	Gains on equity securities, net	Q2-26 vs Q1-26	+61,889	+167%	Fav.	Stake revaluation	~$99bn gains on the Anthropic and SpaceX stakes.	Non-operating
Q · income statement	Provision for income taxes	Q4-25 vs Q3-25	+4,346	+48%	Fav.	Lower ETR	ETR 11.9% on lower gains.	Timing
Q · income statement	Provision for income taxes	Q1-26 vs Q4-25	-10,172	-218%	Unfav.	Tax on gains	Deferred tax on equity gains.	Non-operating
Q · income statement	Provision for income taxes	Q2-26 vs Q1-26	-11,726	-79%	Unfav.	Tax on gains	Deferred tax on ~$99bn gains.	Non-operating
Q · income statement	Net income attributable to common	Q3-25 vs Q2-25	+6,783	+24%	Fav.	Gains + operating	Net income +24% QoQ, mostly equity gains.	Partly non-operating
Q · income statement	Net income attributable to common	Q1-26 vs Q4-25	+28,123	+82%	Fav.	Equity gains	Net income $62.6bn; ex gains ~$33bn.	Non-operating
Q · income statement	Net income attributable to common	Q2-26 vs Q1-26	+49,529	+79%	Fav.	Equity gains	Net income $112bn ($9.11 EPS); ex gains ~$34bn (adjusted EPS $2.85).	Non-operating
Q · balance sheet	Cash, cash equivalents & marketable securities	Q4-25 vs Q3-25	+28,347	+29%	—	Bond issuance	Cash up with $26.6bn of new debt.	Financing
Q · balance	Cash, cash equivalents &	Q2-26 vs	+115,634	+91%	—	Capital raise + securities	~$49.6bn of common and	Financing

sheet	marketable securities	Q1-26					preferred equity, $24.8bn of debt, and higher marketable-securities balances.	
Q · balance sheet	Non-marketable & other equity investments	Q1-26 vs Q4-25	+38,259	+56%	—	Stake revaluation	Mark-ups of private stakes.	Non-operating
Q · balance sheet	Property & equipment, net	Q1-26 vs Q4-25	+34,711	+13%	—	AI capex	Capex $35.7bn in the quarter.	Structural
Q · balance sheet	Property & equipment, net	Q2-26 vs Q1-26	+42,377	+14%	—	AI capex	Capex $44.9bn in the quarter.	Structural
Q · balance sheet	Goodwill & intangibles	Q1-26 vs Q4-25	+33,838	+101%	—	Acquisition	Wiz acquisition closed (~$33.6bn cash paid).	Structural
Q · balance sheet	Long-term debt	Q1-26 vs Q4-25	+30,954	+67%	—	Bond issuance	$31.4bn issued to fund Wiz and capex.	Financing
Q · balance sheet	Long-term debt	Q2-26 vs Q1-26	+20,664	+27%	—	Bond issuance	$24.8bn issued.	Financing
Q · balance sheet	Stockholders' equity	Q2-26 vs Q1-26	+161,734	+34%	—	Gains + issuance	Net income $112bn plus ~$49.6bn of new equity incl. $18bn preferred.	Mixed
Q · cash flow	Net cash from operating activities	Q3-25 vs Q2-25	+20,667	+74%	—	Working capital	Working-capital inflow and deferred tax.	Timing
Q · cash flow	Net cash from operating activities	Q1-26 vs Q4-25	-6,612	-13%	—	Working capital	Seasonal outflow (bonuses, taxes).	Seasonal
Q · cash flow	Net cash from operating activities	Q2-26 vs	-6,721	-15%	—	Working capital + tax	Working-capital outflow (–	Timing

		Q1-26					$11.7bn) and tax payments.	
Q · cash flow	Purchases of property & equipment (capex)	Q1-26 vs Q4-25	-7,823	-28%	—	AI capex	Capex $35.7bn.	Structural
Q · cash flow	Purchases of property & equipment (capex)	Q2-26 vs Q1-26	-9,250	-26%	—	AI capex	Capex $44.9bn; 2026 guide $195–205bn.	Structural
Q · cash flow	Acquisitions (incl. Wiz)	Q1-26 vs Q4-25	-33,454	n/m	—	Acquisition	Wiz ($33.6bn).	One-off
Q · cash flow	Share repurchases	Q1-26 vs Q4-25	+5,499	+100%	—	Buyback pause	No repurchases in Q1–Q2 2026.	Policy
Q · cash flow	Net cash from financing activities	Q2-26 vs Q1-26	+36,166	+144%	—	Capital raise	Equity and preferred issuance plus new notes.	Financing
Q · cash flow	Free cash flow (CFO − capex)	Q1-26 vs Q4-25	-14,435	-59%	—	Capex	FCF $10.1bn as capex rose.	Structural
Q · cash flow	Free cash flow (CFO − capex)	Q2-26 vs Q1-26	-15,971	-158%	—	Capex	FCF −$5.9bn, the first negative quarter.	Structural

Table 35 — material variance listing with drivers (annual and quarterly; $m; significant lines). Direction is profit-economic; balance-sheet and cash-flow lines are left neutral.

A.7 · Follow-up questions for unexplained or one-off variances

- **Equity gains:** what are the carrying values of the Anthropic and SpaceX stakes, which parts are marketable vs non-marketable, and what is the deferred-tax liability created?
- **Depreciation path:** what are the 2027 depreciation and useful-life assumptions for servers (currently six years) given ~$200bn of 2026 capex?
- **Cash bridge Q2-26:** split the +$116bn in cash and marketable securities between the equity raise, new debt, securities purchases and stake reclassification.
- **Legal accruals:** the $17.4bn accrued at Q2-26 less the $5.2bn Android payment in July; the expected DMA charge (~€890m) in Q3-26.

- **Buybacks:** will repurchases resume, or is the $40bn ATM programme a sign of continued net issuance?

APPENDIX A — FY2025 RATIO SNAPSHOT, EVERY PEER

Company	Op. margin	ROIC	Rev. gr.	R&D/rev	Capex/rev	Current	ND/EBITDA	FCF mgn	P/E	EV/EBITDA
Alphabet ●	32.0	35.8	15.1	15.2	22.7	2.00	-0.45	18.2	28.6	24.7
Microsoft	45.6	37.2	14.9	11.5	22.9	1.35	-0.21	25.4	36.3	23.2
Amazon	11.2	—	12.4	—	18.4	1.05	0.21	1.1	31.9	17.2
Meta Platforms	41.4	31.4	22.2	28.5	34.7	2.60	0.02	22.9	27.6	16.4
Apple	32.0	103.9	6.4	8.3	3.1	0.89	0.30	23.7	33.6	26.3
Oracle	31.4	15.5	8.4	17.2	37.0	0.75	3.83	-0.7	37.3	23.0
Salesforce	21.5	11.2	9.6	14.4	1.4	0.76	0.61	34.7	26.4	16.3
ServiceNow	13.7	18.5	20.9	22.3	6.9	1.00	-1.51	34.1	91.8	61.1
Adobe	36.6	59.3	10.5	18.1	0.8	1.00	0.01	41.4	18.5	13.9
Netflix	29.5	36.7	15.9	7.5	1.5	1.19	0.18	20.9	36.0	13.3
The Trade Desk	20.3	26.8	18.5	18.1	7.2	1.61	-1.23	27.0	40.8	24.4
Tencent	33.1	19.4	13.9	—	15.0	1.44	-0.07	25.3	21.6	15.4

Table 36 — FY2025 ratios by company (fiscal year mapped to calendar 2025: Microsoft FY ends Jun 2025, Oracle May 2025, Salesforce Jan 2026, Adobe Nov 2025, Apple Sep 2025).

APPENDIX B — METHOD & DATA NOTES

- **Peers (n = 11):** MSFT, AMZN, META, AAPL, ORCL, CRM, NOW, ADBE, NFLX, TTD, Tencent (0700.HK). σ is the sample standard deviation across peers, after excluding values more than 5 robust-σ (1.4826×MAD) from the median when at least 7 peers remain.
- **Definitions:** ROIC = EBIT×(1–t) / average (total debt + equity − cash). EBITDA = operating income + D&A from the cash-flow statement (Netflix's includes content amortisation). FCF = CFO − capex. Trailing P/E 'ex gains' removes gains on equity securities at a 21% tax rate, for all companies.
- **Alphabet balance-sheet items:** cash includes marketable securities. Non-marketable and other equity investments ($131bn at Q2-26) and the $18bn mandatory convertible preferred enter the equity bridge for the EV-based methods, the SOTP and the DCF, but not the EV multiples shown for comparison.
- **DCF:** FY26E revenue $495bn; WACC 10.36% (normalised rf 4.5%, β 1.21 from yfinance, ERP 5%); value-driver terminal value with g 3.5% and RONIC 25%. Capex path 40%, 34%, 28%, 24%, 21% of revenue; D&A 10%, 12%, 14%, 15%, 16%.
- **SOTP:** the Waymo stake (~80%) is an analyst assumption; Alphabet does not disclose its exact ownership after outside rounds.

- **Scenario overlay:** probabilities and value hits are analyst judgement anchored on Barclays, legal-expert surveys, Polymarket and the research agent's estimates. They are illustrative.
- **Street figures:** StockAnalysis (S&P Global), MarketBeat, TipRanks, Zacks and FactSet consensus; broker actions from MarketBeat, TipRanks, Benzinga and press. Some firm-level targets conflict across sources (e.g. RBC $425 vs $475); we use the most recent dated action. The MarketBeat FY26 EPS of $10.91 appears stale and is not used.

APPENDIX C — SOURCES

1. Alphabet Form 10-Q Q2 2026, Note 10 Legal Matters (2026-07-23) — https://www.sec.gov/Archives/edgar/data/1652044/000165204426000071/goog-20260630.htm
2. Alphabet Form 10-K FY2025, Note 10 Legal Matters (2026-02-05) — https://www.sec.gov/Archives/edgar/data/1652044/000165204426000018/goog-20251231.htm
3. Bloomberg Law - Google Avoids Breakup as Judge Orders Ad Tech Unit Changes (2026-09-02) — https://news.bloomberglaw.com/antitrust/google-avoids-ad-exchange-sale-as-judge-orders-tec...
4. MLex - Google's Texas adtech trial delayed until Virginia judge rules on DOJ remedies (2025-07-17) — https://www.mlex.com/mlex/antitrust/articles/2366348/google-s-texas-adtech-trial-delayed-u...
5. Insurance Journal/Reuters - Judge lets publishers' ad tech claims go to trial (2026-10-05) — https://www.insurancejournal.com/news/national/2026/10/05/887945.htm
6. European Commission - Commission fines Google €890 million for breaches of the Digital Markets Act (2026-07-23) — https://cyprus.representation.ec.europa.eu/news/commission-fines-google-eur890-million-bre...
7. MLex - Google appeals €890m gatekeeper fines (2026-10-08) — https://www.mlex.com/mlex/articles/2535310
8. Bloomberg Law - Google Loses EU Court Fight Over €4.1 Billion Android Fine (2026-07-02) — https://news.bloomberglaw.com/antitrust/google-loses-eu-court-fight-over-4-1-billion-andro...
9. Bloomberg Law - Google Told to Pay Klarna Nearly $2 Billion in Shopping Spat (2026-07) — https://news.bloomberglaw.com/antitrust/google-ordered-to-pay-klarna-nearly-2-billion-in-a...
10. Fortune - European regulators probe Google's use of web content for AI (2025-12-11) — https://fortune.com/2025/12/11/google-illegally-scraped-the-web-to-fix-its-ai-problems-and...
11. Law360 - Google Faces EU Antitrust Probe Over AI Content Practices (2025-12) — https://www.law360.com/ip/articles/2419703
12. TechCrunch - EU's top court ruling on Android Auto antitrust referral (2025-02-25) — https://techcrunch.com/2025/02/25/eus-top-court-ruling-on-android-auto-antitrust-referral-...
13. MLex - Google must grant Android Auto interoperability despite no 'indispensability', EU court rules (2025-02-25) — https://www.mlex.com/mlex/articles/2302339/google-must-grant-android-auto-interoperability...
14. MLex - Google, Epic withdraw bid to modify US Play Store injunction (2026-07) — https://www.mlex.com/mlex/antitrust/articles/2501221/google-epic-withdraw-bid-to-modify-us...
15. PYMNTS - Judge approves Google's $700 million Play Store settlement (2026-08-19) — https://www.pymnts.com/cpi-posts/judge-approves-googles-700-million-play-store-settlement/
16. The Star/Reuters - Google faces UK court over app store charges (2026-10-06) — https://www.thestar.com.my/tech/tech-news/2026/10/06/google-faces-uk-court-over-app-store-...
17. Global Legal Post - App developers agree record £260m UK collective action settlement with Google (2026-09-01) — https://www.globallegalpost.com/news/app-developers-agree-record-ps260m-uk-collective-acti...
18. GOV.UK - CMA proposes package of measures to improve Google search services in UK (2026-01-28) — https://www.gov.uk/government/news/cma-proposes-package-of-measures-to-improve-google-sear...
19. Advanced Television - CMA imposes Google publisher AI opt-out (2026-06-03) — https://www.advanced-television.com/2026/06/03/cma-imposes-google-publisher-ai-opt-out/
20. MLex - Japan publishes second Apple, Google smartphone-law compliance reports (2026-10) — https://www.mlex.com/mlex/articles/2505882/japan-publishes-second-apple-google-smartphone-...
21. exchange4media - NCLAT slashes Google penalty to Rs 217 cr from Rs 936 cr (2025-03-28) — https://www.exchange4media.com/digital-news/android-case-nclat-slashes-google-penalty-to-r...
22. exchange4media - SC to hear Google, CCI, ADIF appeals against NCLAT ruling in Play Store antitrust case (2025) — https://www.exchange4media.com/digital-news/sc-to-hear-google-cci-adif-appeals-against-ncl...

23. Korea JoongAng Daily - FTC opts to give Google a chance to resolve unfair YouTube bundling (2025-05-22) — https://www.koreajoongangdaily.com/business/ftc-opts-to-give-google-a-chance-to-resolve-un...
24. Daily Sabah - Türkiye slaps Google with $75M fine over market dominance abuse (2024-12-13) — https://www.dailysabah.com/business/tech/turkiye-slaps-google-with-75m-fine-over-market-do...
25. Competition Bureau Canada - Tribunal dismisses Google's constitutional challenge (2026-03-04) — https://www.canada.ca/en/competition-bureau/news/2026/03/statement-by-acting-commissioner-...
26. SiliconANGLE - Canada's Competition Bureau seeks to force Google to divest ad tech tools (2024-11-28) — https://siliconangle.com/2024/11/28/canadas-competition-bureau-seeks-force-google-divest-a...
27. MediaPost - Google Appeals $425M Privacy Verdict (2026-09-22) — https://www.mediapost.com/publications/article/418199/google-appeals-425m-privacy-verdict....
28. Missouri Lawyers Media/Reuters - Google blocks $2 billion privacy penalty (2026-02-03) — https://molawyersmedia.com/2026/02/03/google-blocks-2-billion-privacy-penalty/
29. Leagle - Brown v. Google LLC, 172 F.4th 1128 (9th Cir. 2026) (2026-04-20) — https://www.leagle.com/decision/infco20260420120
30. MediaPost - Google To Pay $1.375 Billion To Resolve Texas Privacy Battle (2025-05-12) — https://www.mediapost.com/publications/article/405803/google-to-pay-1375-billion-to-resolv...
31. Hachette Book Group - Publishers and authors file class action against Google over Gemini (2026-07-13) — https://www.hachettebookgroup.com/news/publishers-and-authors-file-class-action-lawsuit-ag...
32. ChatGPT Is Eating the World - Judge Lee instructs plaintiffs to define classes ahead of Feb 20 class certifica (2026-02-12) — https://chatgptiseatingtheworld.com/2026/02/12/judge-lee-instructs-plaintiffs-in-ai-copyri...
33. Northeast Times/Reuters - Federal judge throws out publishers' antitrust suits over Google AI summaries (2026-10-01) — https://northeasttimes.com/2026/10/01/federal-judge-throws-out-publishers-antitrust-suits-...
34. Summary notice - pending class action involving Alphabet Class A/C shares (2026-07-27) — https://www.yourwyominglink.com/pending-class-action-lawsuit-involving-the-purchase-and-or...
35. Pomerantz - Class certification for Alphabet investors (2026-05) — https://pomlaw.com/news/pomerantz-llp-secures-class-certification-for-alphabet-inc-investo...
36. D&O Diary - Alphabet settles antitrust-related derivative suit for $500 million (2025-06) — https://www.dandodiary.com/2025/06/articles/shareholders-derivative-litigation/alphabet-se...
37. Bloomberg Law - Alphabet $500 Million in Reforms Accord Gets First Court Nod (2025) — https://news.bloomberglaw.com/securities-law/alphabet-500-million-reforms-settlement-gets-...
38. DOJ Appeals Google Antitrust Ruling, Seeks Chrome Divestiture (WinBuzzer) (2026-02-05) — https://winbuzzer.com/2026/02/05/doj-appeals-google-antitrust-ruling-chrome-divestiture-xc...
39. USA, et al v. Google LLC, D.C. Cir. No. 26-5023 docket (Justia) (2026-06-02) — https://dockets.justia.com/docket/circuit-courts/cadc/26-5023
40. Judge Rejects DOJ Bid to Divest Google's Ad Tech Business (iClarified) (2026-09-02) — https://www.iclarified.com/101969/judge-rejects-doj-bid-to-divest-googles-ad-tech-business
41. The court just unsealed Judge Brinkema's remedies decision: here's your TL;DR (AdExchanger) (2026-09-15) — https://www.adexchanger.com/platforms/the-court-just-unsealed-judge-brinkemas-remedies-dec...
42. A US court says Google keeps its ad exchange. The Commission said only a sale would work (The Next Web) (2026-09-02) — https://thenextweb.com/news/google-ad-exchange-no-divestiture-brinkema-ruling-eu-adtech-2-...
43. EU Fines Google €2.95 Billion Over Ad Tech Antitrust Violations (Today's General Counsel) (2025-09-05) — https://todaysgeneralcounsel.com/eu-fines-google-e2-95-billion-over-ad-tech-antitrust-viol...
44. EU fines Google 890 million euros and gives it 60 days to fix search (PPC Land) (2026-07-23) — https://ppc.land/eu-fines-google-890-million-euros-and-gives-it-60-days-to-fix-search/
45. Google Search given nine months to implement (Classic FM / LBC business) (2026-06-03) — https://www.classicfm.com/radio/news/business/google-search-given-nine-months-to-implement...
46. Complying with Japan's Mobile Software Competition Act (Google blog) (2025-12) — https://blog.google/company-news/inside-google/around-the-globe/google-asia/complying-with...
47. Google and Apple face Japan's toughest mobile platform rules yet (PPC Land) (2025-12) — https://ppc.land/google-and-apple-face-japans-toughest-mobile-platform-rules-yet/
48. Google Play violates S.4(2)(e) ... NCLAT reduces penalty to ₹216 Cr (Taxscan) (2025) — https://www.taxscan.in/google-play-violates-s-42e-of-competition-act-through-restrictive-a...
49. USTR seeks 'outcomes' on digital regulation with S. Korea, Australia, EU (Korea Times / Yonhap) (2026-04-23) — https://www.koreatimes.co.kr/amp/world/20260423/ustr-seeks-outcomes-on-digital-regulation-...
50. EU Digital Omnibus On AI Enters Into Force (Mondaq) (2026-07-27) — https://www.mondaq.com/eu-digital-omnibus-on-ai-enters-into-force/1825722

51. EU Lawmakers Reach Provisional Agreement to Delay Key EU AI Act Obligations (Sidley Data Matters) (2026-06-22) — https://datamatters.sidley.com/2026/06/22/eu-lawmakers-reach-provisional-agreement-to-dela...
52. President Trump Signs Executive Order Challenging State AI Laws (Paul Hastings) (2025-12) — https://www.paulhastings.com/insights/client-alerts/president-trump-signs-executive-order-...
53. US AI regulatory update: federal AI orders, Colorado ADMT reset (Vorp Labs) (2026-07) — https://vorplabs.com/ai-regulatory-updates/united-states/2026-07/federal-ai-orders-colorad...
54. Why the federal government is going after California's AI laws (Governing) (2026-03-16) — https://www.governing.com/magazine/why-the-federal-government-is-going-after-californias-a...
55. Authors, publishers sue Google over alleged AI copyright infringement (Al Jazeera) (2026-07-15) — https://www.aljazeera.com/amp/economy/2026/7/15/authors-publishers-sue-google-over-alleged...
56. Judge approves record $1.5 billion AI copyright settlement involving Anthropic (JURIST) (2026-07) — https://www.jurist.org/news/2026/07/judge-approves-record-1-5-billion-settlement-involving...
57. Amazon, Meta, and Alphabet report plunging tax bills thanks to AI investment and new rules in Washington (Fort (2026-02-10) — https://www.aol.com/articles/amazon-meta-alphabet-report-plunging-161229967.html
58. Elizabeth Warren Probes AI Tax Breaks at Amazon, Google, Meta, Microsoft (GadgetReview) (2026-09-28) — https://www.gadgetreview.com/?p=416602
59. OECD Releases Guidance on Side-by-Side System (BDO) (2026-01-08) — https://www.bdo.com/insights/tax/oecd-releases-guidance-on-side-by-side-system
60. The Pillar Two side-by-side safe harbour: what it means for UK and EU business (Macfarlanes) (2026-01) — https://www.macfarlanes.com/insights/102mlmp/the-pillar-two-side-by-side-safe-harbour-what...
61. DST Testimony (Tax Foundation) (2026-06) — https://taxfoundation.org/wp-content/uploads/2026/06/DST_Testimony.pdf
62. Trump threatens 100% tariff on any country that imposes digital services tax (The Star) (2026-06-27) — https://www.thestar.com.my/news/world/2026/06/27/trump-threatens-100-tariff-on-any-country...
63. Trump escalates EU tech fight with new tariff threat (Axios) (2026-07-24) — https://www.axios.com/2026/07/24/trump-eu-tariff-threat-tech-regulation
64. Google fine creates uncertainty for EU-US trade deal, US Trade Representative says (Euronews) (2026-07-23) — https://www.euronews.com/2026/07/23/google-fine-creates-uncertainty-for-eu-us-trade-deal-u...
65. Nvidia H200 deliveries to China remain stalled after Trump-Xi summit (Implicator) (2026-05-15) — https://www.implicator.ai/nvidia-h200-deliveries-to-china-remain-stalled-after-trump-xi-su...
66. U.S. grants conditional export of Nvidia H200 AI chips to China under 25% fee (Guru3D) (2026-01) — https://www.guru3d.com/story/us-grants-conditional-export-of-nvidia-h200-ai-chips-to-china...
67. Temu and Shein pull U.S. advertising (Practical Ecommerce) (2025-04-20) — https://www.practicalecommerce.com/temu-and-shein-pull-u-s-advertising
68. Google earns solid $3B from China despite stranded plans to re-enter the country (KrASIA / The Information) (2019-02-28) — https://amp.kr-asia.com/google-earns-solid-3b-from-china-despite-stranded-plans-to-re-ente...
69. China rare earth export pause nears expiry amid persistent supply concentration (Mining Technology) (2026-04-27) — https://www.mining-technology.com/news/china-rare-earth-export-pause-nears-expiry-amid-per...
70. China Formalizes Rare Earth Curbs Suspension After Trade Truce (Bloomberg) (2025-11-07) — https://news.bgov.com/international-trade/china-formalizes-rare-earth-curbs-suspension-aft...
71. Google's TPU Supply Chain (Data Gravity) (2026-06) — https://www.datagravity.dev/p/googles-tpu-supply-chain
72. Google plans to work with Samsung on next AI processors (Menorca.info / The Information) (2026-06-12) — https://www.menorca.info/actualidad/tecnologia-videojuegos-1/2026/06/12/2648859/google-pla...
73. President Trump announces new 25% Section 232 tariff on narrow category of semiconductors critical to AI (Thom (2026-01-15) — https://thompsonhinestaging.contentpilot.net/insights/president-trump-announces-new-25-sec...
74. Is Google shifting its Pixel manufacturing hub from China to India? (The Week / Nikkei) (2026-08-18) — https://www.theweek.in/news/biz-tech/2026/08/18/is-google-shifting-its-pixel-manufacturing...
75. FERC Show Cause Orders Signal Broad Reform to Large Load Interconnection Policies (Orrick) (2026-07) — https://www.orrick.com/en/Insights/2026/07/FERC-Show-Cause-Orders-Signal-Broad-Reform-to-L...
76. FERC sets June deadline to rewrite large-load grid rules for AI-era power demand (POWER) (2026-04) — https://powermag.com/ferc-sets-june-deadline-to-rewrite-large-load-grid-rules-for-ai-era-p...
77. Russia fined Google $20 decillion (NBC San Diego / CNN) (2024-10-31) — https://www.nbcsandiego.com/news/national-international/russia-fined-google-20-decillion-w...
78. Blocking of YouTube in Russia (Wikipedia) (2026) — https://en.wikipedia.org/wiki/Blocking_of_YouTube_in_Russia
79. DPDP Rules 2025 Notified (India Briefing) (2025-11-17) — https://www.india-briefing.com/news/dpdp-rules-2025-india-data-protection-law-compliance-4...

80. Google confirms $15bn data center project in Andhra Pradesh, India (DCD) (2025-10) — https://www.datacenterdynamics.com/en/news/google-confirms-15bn-data-center-project-in-and...
81. Pentagon deal for Google AI services (NBC Washington) (2026-04-29) — https://www.nbcwashington.com/news/tech/pentagon-deal-google-ai-services/4098132/
82. Google eyes AI deal with Pentagon to deploy Gemini AI in classified ops (Business Today) (2026-04-17) — https://www.businesstoday.in/amp/technology/story/google-eyes-ai-deal-with-pentagon-to-dep...
83. Administration advances H-1B policy changes as court upholds $100,000 fee (SBAM) (2026-01) — https://www.sbam.org/administration-advances-h-1b-policy-changes-as-court-upholds-100000-f...
84. H-1B Visa Updates: New Selection Rules, $100k Fee Withstands Legal Challenge (CalChamber) (2026-01) — https://hrwatchdog.calchamber.com/2026/01/h-1b-visa-updates-new-selection-rules-100k-fee-w...
85. Barclays (Ross Sandler): probability of a Chrome divestiture 'low but increased' (pre-Mehta remedies) — https://finance.yahoo.com/news/alphabet-stock-could-fall-as-much-as-25-in-black-swan-event...
86. Legal experts surveyed by Daily Journal on the DOJ's D.C. Circuit cross-appeal — https://dailyjournal.com/article/390101-experts-doubt-court-will-break-up-google-s-chrome
87. Polymarket, 'Will China invade Taiwan by December 31, 2027?' (via Orrery, 29 Jul 2026; $2.3M lifetime volume) — https://orrery.me/markets/will-china-invade-taiwan-by-december-31-2027
88. Polymarket same contract (via SimpleFunctions, 9 Jul 2026) — https://simplefunctions.dev/answer/china-invade-taiwan-december-31
89. SimpleFunctions aggregate, 'China x Taiwan military clash before 2027' — https://simplefunctions.dev/answer/china-x-taiwan-military-clash
90. Senate vote stripping the 10-year state-AI-law moratorium (99-1), indicating limited congressional appetite fo — https://statescoop.com/?p=73698
91. European Commission (Ribera): 'Brussels will not compromise its regulatory framework in response to American p — https://algeriatech.news/?p=25964
92. Eurasia Group Top Risks 2026, #8 'AI eats its users' — https://www.eurasiagroup.net/issues/top-risks-2026
93. Wolfe Research — 2026-04-10 (2026-04-10) — https://www.marketbeat.com/stocks/NASDAQ/GOOGL/forecast
94. Bank of America Securities — 2026-04-30 (2026-04-30) — https://www.placera.se/telegram/alphabet-seen-delivering-strong-ai-driven-growth-and-margi...
95. Susquehanna — 2026-04-30 (2026-04-30) — https://finance.yahoo.com/markets/stocks/articles/wall-street-lifts-alphabet-price-1615595...
96. Jefferies — 2026-05-04 (2026-05-04) — https://www.placera.se/telegram/jefferies-adjusts-price-target-on-alphabet-to-445-from-400...
97. JPMorgan — 2026-05-09 (2026-05-09) — https://www.tikr.com/es/blog/jp-morgan-named-alphabet-its-top-pick-for-2026-heres-what-the...
98. Oppenheimer — 2026-05-15 (2026-05-15) — https://www.placera.se/telegram/oppenheimer-lifts-price-target-on-alphabet-to-445-from-425...
99. Wells Fargo — 2026-07-21 (2026-07-21) — https://www.webull.com/news/15266193290372096
100. Citizens JMP — 2026-07-22 (2026-07-22) — https://tradersunion.com/news/financial-news/show/2768307-alphabet-ai-spending-price-targe...
101. Evercore ISI — 2026-09-16 (2026-09-16) — https://stockhub.kr/en/news/news_7b261127a6b7
102. Tigress Financial — 2026-09-17 (2026-09-17) — https://stockhub.kr/en/news/news_1b9fd1549126
103. Piper Sandler — 2026-09-28 (2026-09-28) — https://parameter.io/alphabet-googl-stock-analyst-projects-tpu-revenue-to-soar-to-104b-by-...
104. KeyBanc — 2026-10-01 (2026-10-01) — https://www.tipranks.com/stocks/googl/forecast
105. UBS — 2026-10-14 (2026-10-14) — https://stockanalysis.com/stocks/googl/forecast/
106. Zacks (via Nasdaq.com article) (2026-07-23) — https://www.nasdaq.com/articles/alphabet-heavy-etfs-consider-capex-woes-offset-cloud-stren...
107. WARC Media Q3 2026 forecast (back-calculated from 2026 $1,343bn and stated +10.0% growth in 2024 and 2025) (2026-10-07) — https://www.relevantaudience.com/digital-marketing-en/warc-global-ad-spend-2026-social-med...
108. WARC Media Global Ad Spend Forecast Q3 2026 (2026-10-07) — https://ppc.land/warc-forecasts-social-media-ad-spend-gains-21-3-to-394-6bn-in-2026/
109. MAGNA Global Ad Forecast Summer 2025 (2024 implied from 2025 $979bn / 1.049) (2025-06-16) — https://magnaglobal.com/?p=9255
110. WPP Media This Year Next Year Dec 2025 (2025-12-10) — https://www.wppmedia.com/news/report-this-year-next-year-december-2025

111. WPP Media This Year Next Year Midyear 2026 (revised up from +7.1%) (2026-06-16) — https://www.wppmedia.com/de/news/report-this-year-next-year-midyear-2026
112. EMARKETER Worldwide Ad Spending H1 2026 (2026-05-13) — https://www.emarketer.com/content/worldwide-ad-spending-h1-2026
113. MAGNA Summer 2024 update (2024-06-17) — https://wa.campaignbrief.com/magna-raises-ad-growth-forecast-after-stronger-than-expected-...
114. WPP Media Midyear 2026 (>$270bn; 21.8% of global ad revenue) (2026-06-16) — https://www.medianews4u.com/wpp-media-raises-global-ad-market-forecast-to-1-3-trillion-as-...
115. EMARKETER via PPC Land (1.3% of US search ad spend) (2026-06) — https://ppc.land/wpp-media-sees-ai-as-advertisings-1-3-trillion-growth-engine-in-2026/
116. Synergy Research Group (2025-02-28) — https://www.voronoiapp.com/business/Amazon-and-Microsoft-Stay-Ahead-in-Global-Cloud-Market...
117. Synergy Research Group (CAGR = 2025/2024 growth, derived) (2026-02-06) — https://www.techtarget.com/it-infrastructure/news/366638805/GenAI-drives-119B-cloud-revenu...
118. Synergy (2025-07-31) — https://techinsights.com/ja/node/61576
119. Synergy (public IaaS+PaaS grew 30%) (2025-11-19) — https://www.srgresearch.com/articles/cloud-market-share-trends-big-three-together-hold-63-...
120. Synergy (TTM $455bn) (2026-04-29) — https://www.srgresearch.com/articles/cloud-market-annual-revenue-run-rate-topped-half-a-tr...
121. Synergy (TTM $500bn; fastest growth in 8 years) (2026-07-30) — https://www.srgresearch.com/articles/q2-cloud-market-passes-143-billion-highest-growth-rat...
122. Omdia (2026 growth forecast +27%) (2026-03-26) — https://www.businesswire.com/news/home/20260326200238/en/omdia-global-cloud-infrastructure...
123. Gartner (2025-09-17) — https://www.gartner.com/en/newsroom/press-releases/2025-09-17-gartner-says-worldwide-ai-sp...
124. Gartner (2026-10-14) — https://www.gartner.com/en/newsroom/press-releases/2026-10-14-gartner-says-over-us-dollars...
125. Menlo Ventures (2025-12-09) — https://menlovc.com/perspective/2025-the-state-of-generative-ai-in-the-enterprise/
126. Goldman Sachs Research (2026-04-30) — https://www.goldmansachs.com/insights/articles/robotaxis-to-become-a-400-billion-dollar-ma...
127. McKinsey Quantum Technology Monitor 2025 ($650-750m; >$1bn expected 2025) (2025-06-23) — https://www.mckinsey.com/capabilities/mckinsey-digital/our-insights/the-year-of-quantum-fr...
128. Gartner headline: '>$1 billion in 2027' (body not retrievable) (2026-10-08) — https://www.gartner.com/en/newsroom/press-releases/2026-10-8-gartner-says-global-quantum-c...
129. Sensor Tower State of Mobile 2026 (games ~$82bn; non-game +21%) (2026-01) — https://sensortower.com/blog/state-of-mobile-2026
130. StatCounter (2026-10-14) — https://gs.statcounter.com/search-engine-market-share
131. EMARKETER US Search Advertising Forecast 2026 (first time <50% in 20+ yrs; Amazon biggest share gainer) (2026-05-14) — https://www.emarketer.com/content/us-search-advertising-forecast-2026
132. EMARKETER via ElectronLibre (Meta $243.5bn vs Google $239.5bn net ad revenue 2026) (2026-04-13) — https://electronlibre.info/articles/105358-unprecedented-meta-is-set-to-overtake-google-in...
133. Datos/SparkToro State of Search Q1 2026 (EU/UK 1.72%) (2026-04-27) — https://ppc.land/ai-still-under-2-but-growing-datos-q1-2026-state-of-search-report/
134. SparkToro/Datos (2026-03-02) — https://ppc.land/google-holds-73-7-of-desktop-searches-chatgpt-is-smaller-than-you-think/
135. Similarweb 2026 GenAI Landscape (derived ratio) (2026-06) — https://www.searchenginejournal.com/ai-search-isnt-replacing-google-its-layering-on-top-si...
136. Similarweb via Momentic (2026-08) — https://momenticmarketing.com/blog/top-ai-chatbots
137. Nielsen The Gauge (record; streaming 49.0%) (2026-09-10) — https://www.nielsen.com/news-center/2026/tv-usage-kicks-usual-summer-slowdown-fueled-by-wo...
138. Nielsen via MediaPost (Netflix 7.9%) (2026-08-18) — https://www.mediapost.com/publications/article/417308/
139. Nielsen via PPC Land (2026) — https://ppc.land/nielsen-gauge/
140. StatCounter (2026-10) — https://gs.statcounter.com/os-market-share/mobile/worldwide
141. Alphabet 10-K / Q4 2025 release (2026-02-04) — https://s206.q4cdn.com/479360582/files/doc_financials/2025/q4/2025q4-alphabet-earnings-rel...

142. Alphabet Q2 2026 release/call (2026-07-22) — https://www.marketbeat.com/instant-alerts/alphabet-q2-earnings-call-highlights-2026-07-22/
143. Platformonomics 2025 retrospective (2026-02-25) — https://platformonomics.com/?p=34926
144. Microsoft FQ4 2026 call; Platformonomics (2026-07-29) — https://www.marketbeat.com/instant-alerts/microsoft-q4-earnings-call-highlights-2026-07-29...
145. Platformonomics Q2 2026 scoreboard (2026-07-31) — https://platformonomics.com/2026/07/follow-the-capex-q2-2026-scoreboard/
146. Google Cloud annual run-rate (2026-07-22) — https://www.sec.gov/Archives/edgar/data/0001652044/000165204426000066/googexhibit991q22026...
147. Gemini app MAU (2026-08-11) — https://fox11online.com/news/nation-world/google-gemini-passes-1-billion-monthly-users-as-...
148. AI Mode in Search MAU (2026-07-22) — https://futurumgroup.com/insights/alphabet-q2-fy-2026-google-cloud-leads-growth-amid-risin...
149. Paid consumer subscriptions (2026-04-29) — https://www.fool.com/earnings/call-transcripts/2026/04/29/alphabet-googl-q1-2026-earnings-...
150. YouTube Music & Premium subscribers (2025-03-05) — https://www.musicweek.com/digital/read/youtube-music-and-premium-hits-125-million-global-s...
151. Google One subscribers (2025-05-15) — https://9to5google.com/2025/05/15/google-one-150-million/
152. NFL Sunday Ticket subscribers (2023-10-13) — https://thedesk.net/news/nfl-sunday-ticket-number-of-subscribers-youtube/
153. Waymo expansion (2026-02-03) — https://www.electrive.com/2026/02/03/waymo-raises-16-billion-from-investors
154. IFI CLAIMS 2021 Top 50 (embedded table, accurate as of 2022-01-05) — https://www.ificlaims.com/rankings/top-50-2021/
155. IFI CLAIMS 2022 Top 50 (accurate as of 2023-01-05) — https://www.ificlaims.com/rankings/top-50-2022/
156. IFI CLAIMS 2023 Top 50 (accurate as of 2024-01-04); WIPO PCT annex 2025 — https://www.ificlaims.com/rankings/top-50-2023/
157. IFI CLAIMS 2024 Top 50 (accurate as of 2025-01-07); WIPO PCT annex 2025 — https://www.ificlaims.com/rankings/top-50-2024/
158. IFI CLAIMS 2025 Top 50 (accurate as of 2026-01-06); Harrity Patent 300 (2026); WIPO PCT annex 2026; IFI Global — https://www.ificlaims.com/rankings/top-50-2025/
159. Harrity 2025 AI Patent 100 report; Harrity 2026 AI Patent 100 release (2026-05-20) — https://harrityllp.com/news/blog/harrity-patent-analytics-releases-the-2026-ai-patent-100-...
160. WIPO press release PR/2024/921 (2024-07-03) — https://www.wipo.int/pressroom/en/articles/2024/article_0009.html
161. Google Patents record US10452978B2 — https://patents.google.com/patent/US10452978B2/en
162. USPTO PTAB decision; Bloomberg Law (2026-02-06) — https://news.bloomberglaw.com/ip-law/ai-patent-eligibility-has-shifted-with-one-machine-le...
163. PatentVest quantum rankings via Barchart/GlobeNewswire (2025-08-19); GreyB quantum landscape — https://www.barchart.com/story/news/34254988/patentvest-releases-first-ever-quantum-comput...
164. DOJ N.D. Cal. press release (2026-01-29) — https://www.justice.gov/usao-ndca/pr/former-google-engineer-found-guilty-economic-espionag...
165. Google v. Sonos: Federal Circuit validates strategic continuation practice (Patently-O) (2025-08-28) — https://patentlyo.com/patent/2025/08/validates-strategic-continuation.html
166. Sonos says Google's bid for zero damages comes too late (Daily Journal) (2025-12-02) — https://dailyjournal.com/article/388790-sonos-says-google-s-bid-for-zero-damages-comes-too...
167. Google settles $1.67bn patent infringement lawsuit (DCD) (2024-01-24) — https://www.datacenterdynamics.com/en/news/google-settles-167bn-patent-infringement-lawsui...
168. Google, Singular Computing patent lawsuit (Boston Globe) (2024-01-24) — https://www.bostonglobe.com/2024/01/24/business/google-singular-computing-patent-lawsuit
169. EcoFactor v. Google en banc opinion (CAFC) (2025-05-21) — https://www.cafc.uscourts.gov/opinions-orders/23-1101.OPINION.5-21-2025_2518737.pdf
170. Federal Circuit issues rare en banc decision (Venable) (2025-05-27) — https://www.venable.com/insights/publications/2025/05/federal-circuit-issues-rare-en-banc-...
171. Fed. Circ. backs Google PTAB wins that moot $12M verdict (Law360) (2026-05-13) — https://www.law360.co.uk/amp/articles/2477269

172. CAFC Rule 36 judgment 25-1010 (2026-05-13) — https://www.cafc.uscourts.gov/opinions-orders/25-1010.RULE_36_JUDGMENT.5-13-2026_2692956.p...
173. CAFC Rule 36 judgment, Google v. Touchstream (2025-10-14) — https://www.cafc.uscourts.gov/opinions-orders/24-1207.RULE_36_JUDGMENT.10-14-2025_2587107....
174. Google ordered to pay $338 million in Chromecast patent case (Android Central) (2023-07-24) — https://androidcentral.com/apps-software/court-orders-google-pay-millions-chromecast-paten...
175. Gilstrap signs off on Google's jury victory in video IP case (Law360) (2020-12-01) — https://www.law360.com/articles/1333592
176. Google LLC v. Oracle America, Inc. opinion (supremecourt.gov) (2021-04-05) — https://www.supremecourt.gov/opinions/20pdf/18-956_d18f.pdf
177. Anthony Levandowski (Wikipedia; covers Waymo v. Uber settlement) (2026) — https://en.wikipedia.org/wiki/Anthony_Levandowski
178. Ex-Google engineer has AI espionage conviction vacated (BP Money) (2026-08-21) — https://bpmoney.com.br/noticias/google-ex-engenheiro-tem-condenacao-por-espionagem-de-ia-a...
179. In re Google Generative AI litigation tracker (ChatGPT Is Eating the World) (2026-09-09) — https://chatgptiseatingtheworld.com/category/in-re-google-generative-ai-litigation/
180. Publishers defend bid to join authors' copyright suit over Google's AI training (Publishing Perspectives) (2026-02) — https://publishingperspectives.com/2026/02/as-key-hearing-draws-near-publishers-defend-the...
181. Alphabet Q1-2024 earnings release (8-K Exhibit 99.1) — https://www.sec.gov/Archives/edgar/data/1652044/000165204424000047/googexhibit991q12024.ht...
182. Alphabet Q1-2024 10-Q (paid clicks/CPC, revenue backlog, — https://www.sec.gov/Archives/edgar/data/1652044/000165204424000053/goog-20240331.htm
183. Alphabet Q2-2024 earnings release (8-K Exhibit 99.1) — https://www.sec.gov/Archives/edgar/data/1652044/000165204424000076/googexhibit991q22024.ht...
184. Alphabet Q2-2024 10-Q (paid clicks/CPC, revenue backlog, — https://www.sec.gov/Archives/edgar/data/1652044/000165204424000079/goog-20240630.htm
185. Alphabet Q3-2024 earnings release (8-K Exhibit 99.1) — https://www.sec.gov/Archives/edgar/data/1652044/000165204424000115/googexhibit991q32024.ht...
186. Alphabet Q3-2024 10-Q (paid clicks/CPC, revenue backlog, — https://www.sec.gov/Archives/edgar/data/1652044/000165204424000118/goog-20240930.htm
187. Alphabet Q4-2024 earnings release (8-K Exhibit 99.1) — https://www.sec.gov/Archives/edgar/data/1652044/000165204425000010/googexhibit991q42024.ht...
188. Alphabet Q4-2024 10-K (paid clicks/CPC, revenue backlog, — https://www.sec.gov/Archives/edgar/data/1652044/000165204425000014/goog-20241231.htm
189. Alphabet Q1-2025 earnings release (8-K Exhibit 99.1) — https://www.sec.gov/Archives/edgar/data/1652044/000165204425000040/googexhibit991q12025.ht...
190. Alphabet Q1-2025 10-Q (paid clicks/CPC, revenue backlog, — https://www.sec.gov/Archives/edgar/data/1652044/000165204425000043/goog-20250331.htm
191. Alphabet Q2-2025 earnings release (8-K Exhibit 99.1) — https://www.sec.gov/Archives/edgar/data/1652044/000165204425000056/googexhibit991q22025.ht...
192. Alphabet Q2-2025 10-Q (paid clicks/CPC, revenue backlog, — https://www.sec.gov/Archives/edgar/data/1652044/000165204425000062/goog-20250630.htm
193. Alphabet Q3-2025 earnings release (8-K Exhibit 99.1) — https://www.sec.gov/Archives/edgar/data/1652044/000165204425000087/googexhibit991q32025.ht...
194. Alphabet Q3-2025 10-Q (paid clicks/CPC, revenue backlog, — https://www.sec.gov/Archives/edgar/data/1652044/000165204425000091/goog-20250930.htm
195. Alphabet Q4-2025 earnings release (8-K Exhibit 99.1) — https://www.sec.gov/Archives/edgar/data/1652044/000165204426000012/googexhibit991q42025.ht...
196. Alphabet Q1-2026 earnings release (8-K Exhibit 99.1) — https://www.sec.gov/Archives/edgar/data/1652044/000165204426000043/googexhibit991q12026.ht...
197. Alphabet Q1-2026 10-Q (paid clicks/CPC, revenue backlog, — https://www.sec.gov/Archives/edgar/data/1652044/000165204426000048/goog-20260331.htm
198. Alphabet Q2-2026 earnings release (8-K Exhibit 99.1) — https://www.sec.gov/Archives/edgar/data/1652044/000165204426000066/googexhibit991q22026.ht...

Provenance. PRISM deep-dive for Alphabet Inc., extended edition (ratio σ panel, SOTP, TAM, patents and IP, geopolitical and structural scenarios, litigation, policy, Wall Street comparison, annual and QoQ statement analysis). Content hash e883f1d6c16fe9c0 · 2026-10-15. **Not investment advice.**